

52ND ANNUAL GREAT PLAINS TAX INSTITUTE
OMAHA, NEBRASKA
DECEMBER 4, 2014

**Important Developments in
Federal Income Taxation**

Edward A. Morse
PROFESSOR OF LAW
MCGRATH NORTH MULLIN & KRATZ ENDOWED CHAIR IN BUSINESS LAW
CREIGHTON UNIVERSITY SCHOOL OF LAW
MORSE@CREIGHTON.EDU

This outline covers significant developments in federal income taxation along with a few other interesting or noteworthy tax topics. It is not intended to provide exhaustive coverage, but it offers a selective treatment of items likely to interest practitioners and advisors within a broad range of professional practices. Coverage in this outline generally includes events from the prior Institute through December 1, 2014.

Table of Contents

I.	Gross Income	7
A.	Timing Issues and Accounting Methods.....	7
1.	Supermarket's accrual for promotional expenses fails all events test, Giant Eagle, Inc. v. Commissioner, T.C. Memo 2014-146.	7
2.	Guidance Regarding Deduction and Capitalization of Expenditures Relating to Tangible Property, 79 Fed. Reg. 42189-01 (July 21, 2014).	8
4.	Failure to engage in home construction fatal to completed contract method, Howard Hughes Co. v. Commissioner, 142 T.C. No. 20 (2014).....	10
B.	Exclusions.	11
1.	Reacquisition of home triggers gain under section 1038 despite section 121 exclusion on original installment sale, Debough v. Commissioner, 142 T.C. No. 17 (2014).	11
2.	"Thank you points" lead to underreported income, Shankar v. Commissioner, 143 T.C. No. 5 (2014).....	12
3.	Malpractice settlement against accountants partially excluded from gross income, Cosentino v. Commissioner, T.C. Memo 2014-186.	13
4.	Pastor received taxable compensation despite vow of poverty, Cortes v. Commissioner, T.C. Memo 2014-181.	13
5.	Taxable settlement proceeds despite alleged workers' compensation claim, Sharp v. Commissioner, T.C. Memo 2013-290.	14

6.	Guarantor did not recognize discharge of indebtedness income, <i>Mylander v. Commissioner</i> , T.C. Memo 2014-191.	15
7.	Proposed regulations remove 36 month rule for 1099-C reporting, REG-136676-13, 79 Fed. Reg. 61791-01 (October 15, 2014).	16
8.	Disposition of encumbered property can trigger COD income and trigger suspended passive activity losses , CCA 201415002 (April 11, 2014).	16
9.	Section 121 exclusion limited to pro rata share of apartment building occupied by owner, <i>Curtis v. Commissioner</i> , T.C. Memo 2014-19.	16
10.	Local lodging can be working condition fringe, T.D. 9696, 79 Fed. Reg. 59112-01 (October 1, 2014).	16
11.	<i>Freedom From Religion Foundation v. Lew</i> , 2014 WL 5861632 (7 th Cir., Nov. 13, 2014).17	
C.	Deferred Income.....	17
1.	Misappropriated funds distributed from IRA not taxable in year of distribution, <i>Roberts v. Commissioner</i> , 141 T.C. No. 19 (2013).	17
2.	IRA withdrawals used to fund payment to increase Civil Service Retirement System annuity were taxable, <i>Bohner v. Commissioner</i> , 143 T.C. No. 11 (2014).	18
3.	Attempt to make “alternative investment” with IRA causes taxable distribution, <i>Dabney v. Commissioner</i> , T.C. Memo 2014-108.	19
4.	IRS extends deferral period for livestock under section 1033(e), Notice 2014-60, 2014-43 I.R.B. 741.	20
5.	Updated limits for 2015 retirement savings, IR-2014-99 (Oct. 23, 2014)	20
D.	Characterization.	20
1.	Fracking bonus payment from oil and gas agreement was not capital gain, <i>Dudek v. Commissioner</i> , TC Memo 2013-272.	20
2.	No capital gains for this inventor, but deductions for payments of expenses attributed to corporation, <i>Cooper v. Commissioner</i> , 143 T.C. No. 10 (2014).	21
3.	Sale of interest in lawsuit was capital gain, <i>Long v. Commissioner</i> , __ F.3d __, 2014 WL 6480554 (11 th Cir., Nov. 20, 2014), reversing and remanding in part, T.C. Memo 2013-233. 22	
II.	Deductions from Gross Income	23
A.	Losses.	23
1.	Abandoning securities produces capital loss, not ordinary loss, <i>Pilgrim’s Pride Corp. v. Commissioner</i> , 141 T.C. No. 17 (2013).	23
2.	No deductions for loan gone bad, <i>Bunch v. Commissioner</i> , T.C. Memo 2014-177. .	24
B.	Business Expenses.....	25
1.	Lease termination expense is deductible, not capital, <i>ABC Beverage Corp. v. United States</i> , 756 F.3d 438 (6 th Cir. 2014).	25

2.	Cattle operation not for profit, <i>Gardner v. Commissioner</i> , T.C. Memo 2014-148.....	26
3.	Taxpayer win in horse business case, <i>Roberts v. Commissioner</i> , T.C. Memo 2014-74 27	
4.	Artist was engaged in trade or business and eligible for schedule C deductions, <i>Crile v. Commissioner</i> , T.C. Memo 2014-202.	27
5.	Real estate activities lacked continuous and regular involvement sufficient to become trade or business, <i>Ohana v. Commissioner</i> , T.C. Memo 2014-83.	28
6.	Nondeductible fine paid to Commission of EU, <i>Guardian Industries Corp. v. Commissioner</i> , 143 T.C. No. 1 (2014).	28
7.	Characterization of FCA settlement for purposes of section 162(f) depends on underlying economic reality, <i>Fresenius Medical Care Holdings, Inc. v. United States</i> , 763 F.3d 64 (1 st Cir. 2014).	29
8.	The end of a long dark Knight: final regulations under section 67(e), T.D. 9664, 79 Fed. Reg. 26616-01 (May 9, 2014).	30
9.	Origin of the claim test applies to disallow deduction for settlement costs, <i>Ash Grove Cement Co. v. United States</i> , 562 Fed. Appx. 697 (10 th Cir. 2014), affirming 2013 WL 451641 (D. Kan. 2013).	30
10.	Compensation was not reasonable for purposes of computing R&E credit, <i>Suder v. Commissioner</i> , T.C. Memo 2014-201.	30
11.	Cash basis taxpayer cannot deduct past-due mortgage interest capitalized into principal, <i>Copeland v. Commissioner</i> , T.C. Memo 2014-226.	31
12.	Motocross expenses were deductible for construction business, <i>Evans v. Commissioner</i> , TC Memo 2014-237.	31
C.	Charitable Deductions.	32
1.	Conservation easement sustained for \$1.1 million, <i>Schmidt v. Commissioner</i> , T.C. Memo 2014-159.	32
2.	Charitable contribution of disregarded entity presents issues for trial, <i>Reri Holdings I, LLC v. Commissioner</i> , 143 T.C. No. 3 (2014).	32
D.	Alimony and Family Issues.	34
1.	Support vs. property settlement, <i>Peery v. Commissioner</i> , T.C. Memo 2014-151.....	34
2.	No “nunc pro tunc” for you!, <i>Baur v. Commissioner</i> , T.C. Memo 2014-117.....	34
3.	Alimony vs. child support, <i>Johnson</i> , T.C. Memo 2014-67.	35
4.	Alimony vs. property settlement when agreement is silent on termination, <i>Wignall v. Commissioner</i> , T.C. Memo 2014-22	35
5.	Alimony vs. child support, <i>Farahani v. Commissioner</i> , T.C. Memo 2014-111.	35
6.	Unsigned 1998 divorce decree fails § 152 requirements for dependency exemption, <i>Swint v. Commissioner</i> , 142 T.C. No. 6 (2014).	36
7.	No mortgage interest deduction based on equitable ownership claim, <i>Puentes v. Commissioner</i> , T.C. Memo 2014-224	37

III. Payment, Collection, Litigation	37
A. Transferee Liability.....	37
1. Transferee of a transferee is liable for unpaid taxes, Frank Sawyer Trust of May 1992 v. Commissioner, T.C. Memo 2014-59	37
2. State law did not support collapsing transactions into single transfer for purposes of imposing transferee liability, Julia R. Swords Trust v. Commissioner, 142 T.C. No. 19 (2014).....	38
B. Notable Penalties (with some Criminal Tax Cases, too).....	39
1. Accuracy penalty appropriate for attorney-taxpayer, Rogers v. Commissioner, T.C. Memo 2014-141.....	39
2. Penalty for gross valuation misstatement not reduced for reasonable cause in post-2006 carryforward, Chandler v. Commissioner, 142 T.C. No. 16 (2014).....	40
3. Failure to present entire charge on good-faith defense to criminal tax evasion was harmless, United States v. Montgomery, 747 F.3d 303 (5 th Cir. 2014).....	41
4. Fifth Circuit restricts substantial valuation penalty, Whitehouse Hotel LP v. Commissioner, 755 F.3d 236 (5 th Cir. 2014).....	42
5. Gains, not selling price of investments, counts as gross income for purposes of applying statute of limitations for underreported income, Barkett v. Commissioner, 143 T.C. No. 6 (2014).....	43
6. R-E-S-P-E-C-T!, Jones v. Commissioner, T.C. Memo 2014-101.....	43
7. A warning this time, Haag v. Commissioner, T.C. Memo 2014-11.....	44
C. Innocent Spouse.	44
1. Knowledge precludes innocence, Work v. Commissioner, T.C. Memo 2014-190....	44
2. Equitable relief granted due to retirement account withdrawals, Molinet v. Commissioner, T.C. Memo 2014-109.	45
3. No equitable relief for retirement account withdrawals, Hammernik v. Commissioner, T.C. Memo 2014-170.....	46
4. Husband should have known better, Hall v. Commissioner, T.C. Memo 2014-171..	46
5. Innocent spouse relief granted based in part on marital settlement, Demeter v. Commissioner, T.C. Memo 2014-238.	47
D. Other Notable Cases.....	48
1. Corporations formed through statutory mergers are the “same taxpayer” for purposes of computing interest netting for over/underpayments in refund claims, Wells Fargo & Co. v. United States, 117 Fed. Cl. 30 (2014).....	48
2. Inherited IRAs are not “retirement funds” exempt from creditors’ claims in bankruptcy, Clark v. Rameker, 134 S.Ct. 2242 (2014).....	48
3. Tax debt is nondischargeable due to willful evasion of taxes, In re Vaughn, 765 F.3d 1174 (10 th Cir. 2014).....	48

4.	Failure to plead statute of limitations in Tax Court petition causes waiver, <i>Bruce v. Commissioner</i> , T.C. Memo 2014-178.	50
5.	Tax court rejects IRS attempt to resist taxpayer use of “predictive coding” in electronic discovery response, <i>Dynamo Holdings Ltd. Partnership v. Commissioner</i> , 143 T.C. No. 9 (2014).	50
6.	Presidential removal provision does not violate separation of powers, <i>Kuretski v. Commissioner</i> , 755 F.3d 929 (D.C. Cir. 2014), cert filed, Nov. 26, 2014.	51
IV.	Administrative Practice.....	51
1.	A little more Loving means less regulation by the IRS, <i>Loving v. Internal Revenue Service</i> , 742 F.3d 1013 (D.C. Cir. 2014) & <i>Ridgely v. Lew</i> (D.D.C. 2014).	51
2.	Amendments to Circular 230, T.D. 9668 (effective June 12, 2014).	52
3.	Guidance on virtual currencies, Notice 2014-21, 2014-16 IRB 938.	52
4.	Whistleblower entitled to Tax Court review when providing information to IRS before and after effective date of section 7623(b), <i>Whistleblower 11332-13W v. Commissioner</i> , 142 T.C. No. 21 (2014).	53
5.	Letter rejecting whistleblower award was a determination for purposes of conferring jurisdiction on Tax Court, <i>Comparini v. Commissioner</i> , 143 T.C. No. 14 (2014).	53
6.	No jurisdiction to vacate final Tax Court judgment, <i>Snow v. Commissioner</i> , 142 T.C. No. 23 (2014).	54
7.	No jurisdiction over levy when request for hearing fails to raise issues that could justify relief, <i>Buczek v. Commissioner</i> , 143 T.C. No. 16 (2014).	54
V.	Partnerships.....	55
1.	Undistributed partnership income allocations recognized by transferor when attributable to a nonvested capital interest in the partnership, <i>Crescent Holdings LLC v. Commissioner</i> , 141 T.C. No. 15 (2013).	55
2.	Proposed regulations regarding section 752, REG-136984-12, 78 Fed. Reg. 76092 (Dec. 13, 2013).	57
3.	Proposed regulations under sections 752 and 707 regarding disguised sales, 79 Fed. Reg. 4826 (Jan. 29, 2014).	57
4.	Start-up costs, T.D. 9681, 79 Fed. Reg. 42679-01 (July 23, 2014).	57
5.	Tax Court has jurisdiction to determine outside basis in partner-level proceeding, <i>Greenwald v. Commissioner</i> , 142 T.C. No. 18 (2014).	58
6.	No charitable deduction or loss allowed on partnership cemetery scheme, <i>McElroy v. Commissioner</i> , T.C. Memo 2014-163.	58
7.	Taxpayers bound by partnership level proceeding when they failed to opt-out, <i>Bedrosian v. Commissioner</i> , 143 T.C. No. 4 (2014).	59
8.	Notes did not increase basis in partnership interest, <i>VisionMonitor Software, LLC v. Commissioner</i> , T.C. Memo 2014-182.	60

9. Community property funding partnership made spouse a partner for tax purposes, Carrino v. Commissioner, T.C. Memo 2014-34.	60
VI. Corporations.....	61
A. S Corporations.....	61
1. Basis of Indebtedness of S Corporations to Their Shareholders, T.D. 9682, 79 Fed. Reg. 42675-01 (July 23, 2014).	61
2. Earn-out restriction creates substantial risk of forfeiture for purposes of section 83, Austin v. Commissioner, 141 T.C. No 18 (2013).	61
B. C Corporations	62
1. Bonus to sole shareholder not deductible to close corporation, Vanney Assoc. v. Commissioner, T.C. Memo 2014-184.	62
2. Nothing to distribute here, folks: no goodwill in liquidation, Bross Trucking, Inc. v. Commissioner, T.C. Memo 2014-107.	63
VII. Selected International Tax Litigation/Developments.	64
1. Tax Court has jurisdiction over foreign tax credit claims, Sotiropoulos v. Commissioner, 142 T.C. No. 15 (2014).....	64
2. Slot machine gambling not a trade or business for foreign taxpayer; substantial variance doctrine bars alternative legal theory, Free-Pacheco v. United States, __ Fed. Cl. __, 2014 WL 3533968 (June 25, 2014).	65
3. FBAR penalties for online poker accounts – Oh My!, United States v. Hom, 2014 WL 2527177 (N.D. Cal. June 4, 2014).....	66
4. Sale of line of business did not reduce 936 credit cap, OMJ Pharmaceuticals, Inc. v. United States, 753 F.3d 333 (1 st Cir. 2014).	67
5. Taxpayer was not a German resident, and thereby not entitled to treaty benefits for U.S. income, Topsnik v. Commissioner, 143 T.C. No. 12 (2014).....	68
6. Taxpayer’s tax home was in Iraq, making him eligible for the foreign earned income exclusion under § 911, Eram v. Commissioner, T.C. Memo 2014-60.	69
7. Sand in the Bearings for Inversions? Notice 2014-52, 2014-42 I.R.B. 712.	69
VIII. Selected Tax Shelter Litigation.	69
1. Another Son-of-Boss bites the dust, The Markell Co. v. Commissioner, T.C. Memo 2014-86.	69
2. Disallowed losses from disposition of stripped investment in money market funds, Principal Life Ins. Co. v. United States, 116 Fed. Cl. 82 (2014).	70
3. Sham partnership disallowed, opening door for penalties, Chemtech Royalty Associates, LP v. United States, 766 F.3d 453 (5 th Cir. 2014).	71
4. Tax Court determined listed transaction reporting penalty base in the context of collection action, Yari v. Commissioner, 143 T.C. No. 7 (2014).	72
5. More finesse on the economic substance doctrine, Reddam v. Commissioner, 755 F.3d 1051 (9 th Cir. 2014).	73

6.	More distress for investors in distressed debt scheme, <i>Kenna Trading, LLC v. Commissioner</i> , 143 T.C. No. 18 (2014).....	74
IX.	Selected Employment Tax Issues.	74
1.	LLC membership status continues controversy on self-employment tax front. <i>IRS CCA 201436049</i> , 2014 WL 4383321 (Issued Sept. 5, 2014).	74
2.	CRP Payments excluded from self-employment tax base, <i>Morehouse v. Commissioner</i> , 769 F.3d 616 (8 th Cir. 2014), reversing 140 T.C. No. 16 (2013).....	74
3.	Supreme Court clarifies severance payments are FICA wages, <i>United States v. Quality Stores</i> , 134 S.Ct. 1395 (2014).	75
4.	Tax Court has jurisdiction over informal determination that was not a NDWC, <i>SECC Corp. v. Commissioner</i> , 142 T.C. No. 12 (2014).....	75
X.	Selected Affordable Care Act Developments.	76
1.	Rules Regarding the Health Insurance Premium Tax Credit, T.D. 9683, 79 Fed. Reg. 43622-01 (July 28, 2014).	76
2.	Conflicting rulings on “Exchange” treatment for premium tax credits, <i>Halbig v. Burwell</i> , 758 F.3d 390 (D.C. Cir. 2014); <i>King v. Burwell</i> , 759 F.3d 358 (4 th Cir. 2014); <i>State of Oklahoma v. Burwell</i> , 2014 WL 4854543 (E.D. Okla., Sept. 30, 2014).....	76
3.	Controversies continue over question of substantial burden for nonprofits based on accommodation issued by DHS, <i>Assoc. of Christian Schools Int’l v. Burwell</i> , No. 14-cv-02966-PAB, (D. Colo. Nov. 26, 2014); <i>Insight for Living Ministries v. Burwell</i> , No. 4:14-cv-675 (E.D. Tex. Nov. 25, 2014).	77
4.	No standing based on indirect effects of taxing scheme in ACA, <i>Association of American Physicians and Surgeons, Inc. v. Koskinen</i> , 768 F.3d 640 (7 th Cir. 2014).	78
XI.	Notable Legislation (or Lack Thereof): Expiring Provisions.	78

I. Gross Income

A. Timing Issues and Accounting Methods.

1. Supermarket’s accrual for promotional expenses fails all-events test, *Giant Eagle, Inc. v. Commissioner*, T.C. Memo 2014-146.

Taxpayer offered a discounted fuel promotion called “fuelperks!” to its customers through a customer loyalty card. With each \$50 purchase, the customer earned a \$.10 credit against the retail price of fuel for up to 30 gallons at participating stations. These credits expired three months after they were earned and could not be redeemed for cash.

Taxpayer sought to deduct the estimated cost of redeeming unexpired and unredeemed credits at the end of each tax year, but the Service disallowed the deductions. The Tax Court ruled in favor of the Service, concluding that the deduction was not permitted under the all events test in Treas. Reg. 1.461-1(a)(2)(i), which states in part: “Under an accrual method of accounting, a liability (as defined in § 1.446–1(c)(1)(ii)(B)) is incurred, and generally is taken

into account for Federal income tax purposes, in the taxable year in which all the events have occurred that establish the fact of the liability, the amount of the liability can be determined with reasonable accuracy, and economic performance has occurred with respect to the liability.” Here, the purchase of gas was a condition precedent to the redemption of the credits. Therefore, no liability would arise until after the close of the taxable year, when such purchase occurred.

Taxpayer argued that it should be eligible for an exception to the all events test provided in Treas. Reg. § 1.451-4(a)(1), which permits an accrual method taxpayer who issues trading stamps to match sales revenues with the expenses incurred in generating sales revenues by deducting currently a portion of the coupons that will eventually be redeemed. However, the Tax Court agreed with the Service that this regulation is limited those situations where the coupon was redeemable in “merchandise, cash, or other property”. Relying upon Rev. Rul. 78-212, which the court noted was “not substantive authority” but respected according to its “power to persuade”, the court focused on the fact that the fuel credit was conditioned upon a future purchase. Thus, it resembled the coupons in the ruling, on which an accrual was not allowed. According to the court, those coupons, which allowed a reduction in the future price of purchased goods, did not present a problem of mismatching revenues and expenses, which the regulation was intended to remedy.

Comment: The result here under the coupon exception is questionable, at least to the extent that the credits would be redeemed from an unrelated fuel supplier. Sales from the grocery store in year 1 would indeed be better matched by accruing the expense of redemption in year 2 for ten-cents worth of gas out of every gallon (which is, indeed, a redemption for goods). Oddly, the court also noted that even if it had concluded that the 1.451-4 regulation applied, it would not have allowed a deduction because there was no substantiation of the amount. However, the Service had conceded the second prong of the all events test, i.e., that the amount could be determined with reasonable accuracy!

2. Guidance Regarding Deduction and Capitalization of Expenditures Relating to Tangible Property, 79 Fed. Reg. 42189-01 (July 21, 2014).

In the continuing saga of the capitalization vs. expensing tension in the tax code, Treasury issued correcting amendments to address errors in the prior regulations and to clarify the treatment of rotatable spare parts (i.e., an election to capitalize and depreciate under MACRS rules).

3. Completed contract method clearly reflected income of home contractor, Shea Homes, Inc., 142 T.C. No. 3 (2014).

Taxpayers with long-term contracts – those where the contract is not completed in the same tax year – may be eligible for special accounting methods that allow deferral. Most taxpayers are required to use the percentage of completion method (with variations as prescribed), but certain home construction firms may also be eligible for additional deferral under the completed contract method. See IRC § 460(e)(1)(a). In this case, an eligible homebuilder (one of the largest in the U.S.) engaged in development through several entities. Their business model focused on providing the features and lifestyle of a community to potential buyers, not merely “bricks and sticks” of a home. The process began with land acquisition, followed by design of the community and then construction of the homes and common

amenities. Local governments also maintained some control over infrastructure requirements such as roads and traffic lights.

Taxpayer used financial tracking software to document the costs incurred in each development. Using regulations under the completed contract method, taxpayer determined completion based on the “use of the subject matter of the contract by the customer for its intended purpose (other than testing) and at least 95 percent of the total allocable contract costs attributable to the subject matter have been incurred by the taxpayer.” The regulations also require that, in applying the 95% completion test, the taxpayer “must separate the portion of the gross contract price and the allocable contract costs attributable to the incomplete secondary item(s) from the completed contract.”

Taxpayer and the Service agreed that the contracts here were home construction contracts under section 460(e), but they disagreed as to the scope of the contract for purposes of determining completion. The Service argued that each house was a separate contract, or alternatively, that in applying the 95% completion test to the entire development, the cost of common improvements must be excluded because they are secondary items. Taxpayer argued that the entire development was the contract, and that there were no secondary items.

The Tax Court ruled for the taxpayer, finding that the documents and state law supported an integrated approach to the construction activities associated with a development. Moreover, the court also noted that the regulations also contemplate that a home construction contract can involve more than the house on a particular lot, and it rejected a restrictive interpretation of those regulations offered by the Service. Here, the Service did not claim that it was entitled to deference in the matter of interpretation, and the court did not accord deference, applying instead common law standards for interpretation. The court also rejected the Service’s argument that the amenities were secondary items, which are not defined in the regulation, on the basis of the evidence that these amenities were an essential element of the purchase contract for the home.

While finding that the completed contract method was permissible, the Tax Court then considered whether the Commissioner’s authority to determine whether a method clearly reflects income could be invoked to require a change in method. Here, the Service raised some questions about the manner in which Taxpayer applied the completed contract method. Ultimately, however, the court rejected the Service’s position, concluding that that the Commissioner may not change Taxpayer’s method, which was proper under the regulations, even though the Commissioner’s proposed method “more clearly reflects income.”

Comment: This is a significant case for home developers, who may want to study the facts carefully. Constraint on the Commissioner’s authority to determine clear reflection of income for a permitted method of accounting is also notable. On this topic, see my article, Reflections on the Rule of Law and Clear Reflection of Income: What Constrains Discretion?, 8 Cornell J. of L & Pub. Policy 445 (1999). For another case in which the taxpayer failed to establish that it was engaged in home construction, see Howard Hughes Co. v. Commissioner, below.

4. Failure to engage in home construction fatal to completed contract method, *Howard Hughes Co. v. Commissioner*, 142 T.C. No. 20 (2014).

Howard Hughes Company faced an uphill battle in this case, in which the Service not only argued that it was not engaged in long-term contracting, but also that the company was not engaged in home construction contracts. The Taxpayer here was a successor owner of property originally owned by a corporation owned by Howard Hughes. That property was slated for development and was called Summerlin, after the maiden name of Hughes' paternal grandmother. The Summerlin property comprises 22,500 acres on the western rim of Las Vegas Valley, and as of the end of 2010 it had about 100,000 residents living in 40,000 homes. The development is integrated, including commercial, educational, and recreational properties. The development took place in stages in villages of about 500 acres. Those villages are divided into parcels that contain individual lots. The parcels were sold in different approaches: sometimes lots were sold to builders, sometimes entire parcels were sold after construction of homes and infrastructure were completed. Due to the magnitude of the project and local regulatory laws, the development was subject to a development agreement with the applicable local government that set certain restrictions upon the property, such as density, amenities such as parks and recreation facilities, roadways and other transportation considerations, utilities, and environmental concerns. The Taxpayer designed all common improvements and monitored and maintained approval control over all construction within the development, including that conducted by independent builders.

Taxpayer used the completed contract method (CCM) of accounting for the sale of residential real property. They reported gain when they had incurred 95% of the estimated costs, and they used various allocation approaches to assign costs for common items among the villages according to their acreage. The Service challenged Taxpayer's eligibility for CCM during 2007-08, computing a section 481 adjustment of nearly \$240 million based on the percentage of completion method, although other adjustments reduced the total proposed deficiency to a much lower figure.

The Tax Court approached this issue as a determination of the Commissioner's clear reflection of income power. In order to prevail, the Taxpayer must show that the Commissioner abused his discretion in requiring the change in method of accounting. However, the Commissioner may not change a method of accounting that clearly is an acceptable method and clearly reflects income.

First, the court had to determine if long-term construction contracts were involved. This included a determination that the *de minimis* rule in the regulations, which precludes long-term contract status to those sales in which construction costs are less than 10% of the total contract price, was not applicable. Here, the Service argued that any obligations imposed by a master agreement could not be treated as part of the sale contract. However, the Court concluded that the regulations permitted taxpayers to include allocable costs if the taxpayer is contractually obligated or required by law to construct the common improvement. Thus, the contracts qualified as construction contracts.

Unfortunately, section 460 permits a completed contract method in limited circumstances, which includes home construction contracts. Here, the court noted: "Deferral of

income tax, like exemptions and deductions, is a matter of legislative grace, and exceptions to the normal income recognition rules must be strictly construed.” When, as here, some of the contracts did not involve the seller building a house or improvements on the lots they sold, they did not meet the requirement for a home construction contract. According to I.R.C. § 460(e)(6), such a contract requires 80% or more of the estimated contract costs to be attributed to dwelling units and “improvements to real property directly related to such dwelling units and located on the site of such dwelling units.”

The Service argued that only the costs of building the house or improvements thereto qualify for this 80% test, which was a much narrower view of the statute as compared to the Taxpayer’s approach, which included a much broader range of construction activity. Unfortunately for the Taxpayer, the court adopted a narrower view, which would require the construction costs to be more closely attributed to the construction of the dwelling unit. In some cases, the lots were sold with improvements far in advance of building the actual homes. According to the court:

Our Opinion today draws a bright line. A taxpayer's contract can qualify as a home construction contract only if the taxpayer builds, constructs, reconstructs, rehabilitates, or installs integral components to dwelling units or real property improvements directly related to and located on the site of such dwelling units. It is not enough for the taxpayer to merely pave the road leading to the home, though that may be necessary to the ultimate sale and use of a home. If we allow taxpayers who have construction costs that merely benefit a home that may or may not be built, to use the completed contract method of accounting, then there is no telling how attenuated the costs may be and how long deferral of income may last. We cautioned in a footnote in *Shea Homes, Inc. & Subs. v. Commissioner*, 142 T.C. at n. 24 (slip op. at 82), that there is a temporal component to the home construction contract exception and contract completion. We think it consistent with congressional intent that a line should be drawn here so as to exclude petitioners' contracts, when we cannot conclude that qualifying dwelling units will ever be built. [Footnote omitted.]

Comment: This case, along with Shea Homes, above, provides important guidance on the completed contract method for home construction. As the court also observes, you need not construct the actual home (i.e., electrical subcontracting work on a home could be covered), but without home construction you will not have an eligible contract. The Taxpayer tried to put itself in the position of being a subcontractor to the actual builder, but this was to no avail. (A clever idea, though, indeed!)

B. Exclusions.

1. Reacquisition of home triggers gain under section 1038 despite section 121 exclusion on original installment sale, *Debough v. Commissioner*, 142 T.C. No. 17 (2014).

Taxpayer sold a personal residence and 80 acres of surrounding land for \$1.4 million in 2006, using a contract for deed that allowed for a down payment of \$250,000 and the balance of \$1.15 million in installments, plus interest. Taxpayer’s basis in the property totaled \$742,204, and since it was a personal residence for Taxpayer and his late wife, he used the \$500,000 exclusion under section 121 to compute the gross profit percentage for purposes of applying the

installment method to report gains in the year of sale and subsequent years. Unfortunately, in 2009, the purchasers defaulted and Taxpayer reacquired the property.

Taxpayer treated this reacquisition of the property as one in full satisfaction of indebtedness under 1038, which Taxpayer computed to require \$97,153 in long-term capital gains. However, the IRS argued that the repossession of the property triggered \$443,644 in gains because section 1038 requires the taxpayer to treat as income the amount of money received before repossession “to the extent that these amounts have not previously been reported as income.” Thus, since section 121 allowed an exclusion from income, the IRS took the position that it was not previously reported and thus taxable under the section 1038 regime.

Taxpayer was in a bad spot because of section 1038(e), which provides taxpayers who sell principal residences within one year after repossession to ignore section 1038. However, this taxpayer did not sell his property. The Service argued that section 1038(e) showed that Congress knew of the problem, and that it allowed only limited relief. The Tax Court agreed, stating that “we are disinclined to carve out other exceptions to section 1038 where Congress has not expressly done so.”

Comment: Sometimes the law is an ass. Section 1038 has a remedial purpose and taxpayer-friendly origins, as explained in the case. But in this context, it is unfriendly indeed. This outcome surely counsels against the use of seller financing in connection with a principal residence where section 121 is in play. The case is on appeal to the Eighth Circuit – stay tuned. See 230 BNADTR K-1 (Dec. 1, 2014).

2. “Thank you points” lead to underreported income, *Shankar v. Commissioner*, 143 T.C. No. 5 (2014).

Married taxpayers in this case challenged the IRS disallowance of IRA contributions and its inclusion of \$668 in gross income due to the redemption of so-called “thank you points” for an airline ticket. Before the Tax Court, the taxpayer argued that the limitation on IRA deductions for active participants in certain pension plans, found in IRC § 219(g), was an unconstitutional violation of equal protection. The court dismissed that argument, noting that other cases have similarly dismissed equal protection claims and also stating in part: “Whether the individual or the spouse (or each) is an active participant, the economic family unit has the ability to save in a tax-favored manner as much as Congress thinks proper through active participation in an employer-sponsored plan (or plans) and to the extent IRA contribution deductions are allowed.”

Of perhaps greater interest is the court's treatment of taxpayer's redemption of points obtained from Citibank for an airline ticket valued at \$668. Taxpayer had apparently earned these points from Citibank and redeemed them through Citibank to purchase the ticket. Citibank sent a Form 1099-MISC in 2009 reflecting the value of the ticket redeemed by the taxpayer. The Service introduced as evidence an affidavit and other records from Citibank showing this transaction. However, the taxpayer did not introduce evidence concerning the reason these points were earned. The Tax Court assumed that it was dealing with a premium for making a deposit or maintaining a balance in a bank account. Moreover, taxpayer did not object when counsel for the IRS asserted that interest had been omitted from their return. Thus, the Tax Court agreed with the service that taxpayers had omitted an item of gross income from their return.

Comment: Citibank has come under fire for its practice of issuing Form 1099 in this context. However, it is hard to argue that an item of gross income has not been received when, as here, the taxpayer received an airline ticket from Citibank on account of depositing funds with the bank. More difficult questions might be presented, however, to the extent that the points arose from purchases or other kinds of loan relationships. Notably, the Tax Court mentioned these points were not within the scope of Announcement 2002-18, which pronounces a tax immunity of sorts over miles redeemed for business or official travel. Thanks to Mr. Schaefer, a student in my income tax class, for bringing this case to my attention.

3. Malpractice settlement against accountants partially excluded from gross income, *Cosentino v. Commissioner*, T.C. Memo 2014-186.

Taxpayers filed a complaint in state court against the accounting firm that allegedly advised him to participate in an abusive tax shelter. After discovering that the scheme was an abusive tax shelter, Taxpayers paid the correct taxes due and filed this lawsuit. The damages claimed included fees, costs, income taxes (including the lost opportunity to use legitimate tax deferral methods), interest, and penalties for both state and federal returns. In 2007, the defendants entered into a settlement agreement in which they paid \$375K, roughly half the claimed damages. Taxpayers did not report this amount as taxable income when they filed their 2007 return, and the Service assessed a deficiency deeming all of it taxable income.

Before the Tax Court, the taxpayers argued that what they had received was a return of lost capital, rather than taxable income. Relying in part on *Clark v. Commissioner*, 40 BTA 333 (1939), in which a payment from a return preparer to indemnify a taxpayer from a higher tax bill caused by his error was treated as a return of capital, not as a payment of taxes under *Old Colony Trust*, the taxpayer claimed the settlement was tax exempt. The Tax Court mostly agreed, although not for the entire settlement. Amounts for which a prior tax benefit had been received were taxable, consistent with other authorities interpreting *Clark*, along with other amounts that did not represent a loss incurred by the taxpayers. The damage amounts were allocated pro rata based on the settlement.

Comment: Often victims of malpractice suffer twice: first when they pay the fees and then again when they pay the taxes and penalties. The Tax Court rebuffed the Commissioner's efforts to distinguish these authorities, though it should be noted that a 2013 Chief Counsel Advisory also tries to distinguish Clark. See CCA 201306018 (Feb. 8, 2013).

4. Pastor received taxable compensation despite vow of poverty, *Cortes v. Commissioner*, T.C. Memo 2014-181.

Taxpayer was the founding pastor of the Christian Fellowship of Seventh Day Adventists. His wife served as secretary. In 2001, the couple met the Gardners, whom they invited to give a presentation on church organization and vows of poverty. Later that year, Taxpayer set up a Corporation and signed a vow of poverty. However, his corporation, Living Waters Ministries, had three bank accounts at Wells Fargo Bank. Moreover, he continued to receive compensation in connection with his pastoral work at the Seventh Day church, which was deposited into those accounts, along with certain other checks made out to cash. He paid his mortgage and all living expenses from the Living Waters accounts.

On their tax returns, the Taxpayers reported only the wife's earnings while reporting that the husband was unemployed. They did not tell their paid preparer about the Living Waters arrangement. On audit, the Service treated the deposits into the Living Waters accounts as gross income, though they allowed a deduction for a parsonage allowance at \$24,000 per year. The Tax Court agreed with the Service, finding that Taxpayer received compensation for services which was deposited into the accounts that the couple had controlled. This was not affected by any vow of poverty. An accuracy penalty applied, as the amounts were substantial and they did not discuss their activities with their return preparer, which would not allow for reasonable reliance.

Comment: You might also compare Rogers v. Commissioner, T.C. Memo 2013-177, where the court explained more fully how the vow of poverty doctrine was not applicable in a similar context.

5. Taxable settlement proceeds despite alleged workers' compensation claim, Sharp v. Commissioner, T.C. Memo 2013-290.

Taxpayer settled claims against her former employer, the University of Northern Iowa, concerning negligent behavior that made her work life unmanageable. She was diagnosed with severe depression, anxiety disorder, and posttraumatic stress disorder. Although one of her legal claims involved worker's compensation, the second involved negligence and a conspiracy among employees to make her quit her job. The settlement agreement reached involved a total payment of \$210,000 in three annual installments of \$70K each. It stated that she was being paid for "emotional distress damages only."

Taxpayer sought to exclude the \$70K received in 2010 as being a worker's compensation claim, see IRC § 104(a)(1), or alternatively as damages from emotional distress due to physical injury or sickness, see IRC § 104(a)(2). The worker's compensation claim was based on the Iowa statute, which might otherwise qualify, but in this case she failed to show that the settlement agreement was in fact related to that claim. The only evidence was ambiguous – a reference buried in the agreement to settling her "W.C. claim." This was held to be insufficient. After all, there was an emotional distress claim based on negligence, which would not be sufficient. Moreover, Taxpayer failed to prove that her physical manifestations amount to physical injuries which would otherwise be required for an exclusion under 104(a)(2).

The Tax Court also sustained penalties. Although Taxpayer had disclosed her exclusion on the basis of section 104(a)(2) on the advice of her attorney, she could not show that she had substantial authority, a reasonable basis for believing the amounts were excludable, or that she had reasonable cause and good faith reliance on a tax professional. Here, she had only her self-serving testimony concerning tax advice – the attorney representing her before the Tax Court was the same one who provided the advice. But in light of the extensive case law holding that emotional distress, even coupled with physical manifestations, was not excludable, the Tax Court found: "It is difficult to imagine how petitioner, a professional, accomplished woman, could reasonably rely on an attorney whose tax advice was so contrary to such an established body of law. In any case, the record fails to reflect that petitioner reasonably believed her attorney to be a competent tax adviser with sufficient expertise to justify reliance."

Comment: Although Taxpayer had formerly been a professor, there is no indication in the record that she was a tax expert. Although the 104(a)(2) claim was a dog that would not hunt,

the worker's compensation claim (although not referenced in her return) was indeed presented here, and there was at least some vague reference in the agreement. After all, what else does "W.C. claim" mean? She was not injured in the WC, as Europeans might say. Nevertheless, trial lawyers who are not tax lawyers, please take note: proceed with caution in drafting settlements with tax consequences in mind and even moreso in giving return advice. For another case in which a claim for exclusion based on a worker's compensation theory was rejected because there was nothing in the settlement to support that theory, see Green v. Commissioner, T.C. Memo 2014-23.

6. Guarantor did not recognize discharge of indebtedness income, Mylander v. Commissioner, T.C. Memo 2014-191.

Taxpayers (Mylanders) invested in a golf course development. In order to induce Koch to invest, they agreed to personally guarantee his investment in the event the development failed (which it did). Koch then sought payment from the Mylanders.

At about the same time, the Mylanders met the Ledbetters, who had also been involved in a failed business venture. The Ledbetters filed for bankruptcy in 1989, and they were being sued for fraud by Murray. The Ledbetters agreed to settle with Murray in exchange for \$500K in promissory notes. However, Murray conditioned the deal on having the Mylanders guarantee these notes. Ledbetter somehow convinced the Mylanders to do this by agreeing to pay off Koch by transferring a convenience store he owned, which would thus satisfy their guarantee. The Mylanders thus agreed to an unconditional guarantee of up to \$300K of the notes to Murray.

Unbeknownst to anyone, the Ledbetter convenience store had no equity, and Koch was thus required to service debt on the store to the tune of \$50K/month. (That fraud claim, perhaps, should have been a warning sign to all!) Koch was eventually able to find a buyer and broke even on the deal, but this left the Mylanders still owing him \$400K on the guarantee. They eventually paid him.

But now, the Mylanders still owed \$300K on the guarantee of the Ledbetter notes to Murray, which the Ledbetters failed to pay. Murray sued on the guarantee. After the Mylanders made payments to satisfy about two-thirds of the debt, he eventually he settled with them by cancelling the remaining debt of \$102K in 2010.

After all these travails, the Mylanders then faced a tussle with the Service, which alleged that they had received discharge of indebtedness income. Taxpayers argued that their guarantee was covered by *Landreth v. Commissioner*, 50 T.C. 803 (1968), in which the court reasoned that a guarantor, unlike the principal debtor, does not receive an increase in wealth when he is relieved of a contingent liability. The Service sought to distinguish *Landreth* on the ground that Taxpayers had become primary obligors on the debt, and also because the Taxpayers received consideration in exchange for the guarantee.

The Tax Court rejected the Service position on both counts. First, the mere fact that under state law a guarantor becomes a primary obligor when sued upon the guarantee did not change the fact that the guarantor did not receive the proceeds of the loan, which is the reason for discharge of indebtedness income. Second, the convenience store transferred to Mr. Koch did

not have any value, as they continued to owe the guarantee to him after the transfer when it was discovered that the store was highly leveraged.

Comment: These taxpayers did not have an accession to wealth in any sense of the word, and it is disappointing that the Service forced them to litigate to determine this outcome. Witness the words of Polonius to Laertes (Hamlet, Act I, Scene 3): “Neither a borrower nor a lender be, for loan oft loses both itself and friend, and borrowing dulls the edge of husbandry. This above all: to thine own self be true, and it must follow, as the night the day, thou canst not then be false to any man.” Good advice, Polonius. See also Proverbs 11:15.

7. Proposed regulations remove 36 month rule for 1099-C reporting, REG-136676-13, 79 Fed. Reg. 61791-01 (October 15, 2014).

Creditors are required to submit form 1099-C in eight enumerated circumstances, one of which includes the expiration of a 36-month non-payment testing period. Based on concerns that this creates confusion for taxpayers (who may in fact still owe on the debt and thus not have gross income at that time), the proposed regulations eliminate this requirement.

Comment: Earlier this summer, Treasury sought comments on the matter of cancellation of indebtedness reporting. They estimated that the annual burden of 1099-C compliance totals 854,892 hours. See 79 Fed. Reg. 38669-01 (July 8, 2014). In other words, that means about 427 full-time workers.

8. Disposition of encumbered property can trigger COD income and trigger suspended passive activity losses, CCA 201415002 (April 11, 2014).

Section 469(g)(1)(A) allows a taxpayer who disposes of his entire interest in a passive activity in a “fully taxable transaction” to deduct previously suspended passive losses. So what if the disposition is a foreclosure in which nonrecourse debt is cancelled, thereby triggering an exclusion from gross income under section 108? Chief Counsel has opined that this does not affect the ability to take into account the suspended losses. But note, of course, that tax attribute adjustments may be required in the taxable year following the disposition. However, that would not affect a taxpayer that used up all the suspended losses in the year of the disposition, right? (See IRC 108(b)(2)(F)).

Comment: I don’t usually include CCAs in the survey, but this one presents a fascinating fact pattern and is remarkably friendly to the taxpayer position.

9. Section 121 exclusion limited to pro rata share of apartment building occupied by owner, Curtis v. Commissioner, T.C. Memo 2014-19.

Taxpayer bought an 11 room apartment building, of which he occupied 165 of the total of 3,306 square feet of living space. The building was taken in an eminent domain proceeding, and consequently he was allowed only to exclude 5% of the gain from the involuntary conversion of the apartment from his gross income.

10. Local lodging can be working condition fringe, T.D. 9696, 79 Fed. Reg. 59112-01 (October 1, 2014).

In regulations effective October 1, the Treasury has amended regulations under section 262 and 162 to permit certain employer-provided lodging expenses to be excluded from an

employee's gross income as a working condition fringe. This exclusion is generally available if there is a bona fide condition or requirement imposed by an employer, and the lodging is necessary for the individual to participate fully or be available for a business meeting, conference, training, or other business function, provided that the event does not exceed five calendar days or recur more frequently than once per quarter. The lodging also may not be lavish or extravagant.

Comment: Note that this regulation does not cover meals, only lodging.

11. Freedom From Religion Foundation v. Lew, 2014 WL 5861632 (7th Cir., Nov. 13, 2014).

The Seventh Circuit vacated and remanded a federal district court opinion, 983 F.Supp. 2d 1050 (W.D. Wis. 2013), which had granted summary judgment to foundation and its atheist co-presidents challenging the tax exemption in section 107 of the Code as violating the establishment clause of the First Amendment and equal protection clause under the Fifth Amendment. The Seventh Circuit held that these plaintiffs lacked standing to bring the claim, as they were not harmed by the exemption and failed to suffer any injury that would confer standing up on them.

C. Deferred Income.

1. Misappropriated funds distributed from IRA not taxable in year of distribution, Roberts v. Commissioner, 141 T.C. No. 19 (2013).

Taxpayer was separated from his wife during at least a portion of 2008, permanently separated in 2009, and divorced in 2010. During 2008, his wife apparently made unauthorized withdrawals from his IRA account, which she deposited in their joint checking account. She allegedly spent the money on personal items and, according to the Taxpayer, not to satisfy any legal obligation of his.

Taxpayer discovered the IRA withdrawals when he received form 1099s from the custodian. He initially thought there was a theft, but he did not suspect his wife. However, he later discovered that checks were issued to his name and that his endorsement had been forged. And he discovered that his wife was behind the scheme during divorce proceedings. In 2010, these withdrawals were taken into account in the couple's division of assets.

Adding to Taxpayer's problematic situation, he allowed his wife to prepare his tax return for 2008, which of course had excluded the IRA distribution and made certain other errors. (The facts state that Taxpayer was an employee of the Air Force, and it is unclear whether some kind of deployment played into this arrangement.) He claims not to have seen the final return, but his wife filed his return as "single" contrary to his instruction to file jointly. This status was erroneous, as the couple was still married.

The Service proposed a deficiency and a penalty tax on premature distributions in connection with this distribution. Section 408(d)(1) specifically includes an IRA distribution in the gross income of the "payee or distributee". According to the court, there was a lack of guidance into the meaning of "payee" or "distributee" because they are usually easily identifiable

and present little controversy. However, in this context, the court concluded that “common sense dictates” that the IRA owner should not be taxed on the distribution.

When, as here, the taxpayer did not request, receive, or benefit from the distributions, he should not be treated as a payee or distributee. Although funds were deposited into a joint checking account, this did not confer an economic benefit on Taxpayer, a fact that the court noted was “the crucial factor” in determining whether he had gross income. These funds were not used to satisfy any of his legal obligations. Although the Service argued that Taxpayer effectively ratified the withdrawals by not making a claim to have the funds restored, the court noted that this would not affect his tax liability for 2008, as in any event any such ratification could not have occurred until a later tax year. Thus, Taxpayer avoided the section 72(t) penalty as well.

Comment: Would Taxpayer have gross income in 2010, when he presumably received credit for the funds his wife took from him in the 2008 tax year in the form of a property settlement? After all, that sounds like an economic benefit, which is “the crucial factor” in determining whether he had gross income. But what about section 1041? There may be more controversy ahead. But in the meantime, some valuable lessons are presented here about misplaced trust. And those who are victims of domestic forgery may take comfort that the Commissioner’s position, which would automatically tax the IRA owner, was not adopted.

2. IRA withdrawals used to fund payment to increase Civil Service Retirement System annuity were taxable, *Bohner v. Commissioner*, 143 T.C. No. 11 (2014).

In this divided opinion, the Tax Court wrestled with the question of whether an IRA withdrawal was a tax-free rollover contribution or whether it was taxable income. Taxpayer was a former employee of the federal government who participated in the Civil Service Retirement System (CSRS). Upon his retirement in 2010, the Office of Personnel Management sent him a letter that he could increase his retirement annuity if he remitted nearly \$18K to fund retirement contributions for a period in which none had been withheld from his salary. The letter did not say whether this remittance could occur through a tax-free rollover contribution. He initially borrowed from a friend and made the remittance through those funds, but later he took a distribution from an IRA in order to reimburse his friend. The IRA trustee reported this on Form 1099-R. Taxpayer reported this distribution on his return, but he treated all of it as nontaxable.

Although the Service agreed that the CSRS was a trust that could be an eligible retirement plan for purposes of the rollover provisions in section 408, it argued that there was no rollover contribution here under section 408(d)(3) because the CSRS does not accept rollovers and did not accept the remittance as a rollover in this case. The letter sent to Taxpayer was silent on the matter of a rollover. Regulations governing CSRS do not specifically permit rollover contributions or require them to be accepted. Moreover, section 408(d)(3) only permits a rollover distribution from an IRA to another qualified account to the extent that the IRA distribution is includable in gross income. According to the majority, there is no framework for allowing pretax contributions by an employee in these circumstances.

A vigorous dissent focused instead on the plain language of section 408. In a tour of authorities which require the rules as written to be followed, not rewritten by the court, the

dissent finds no such proscription against funding with pretax contributions, and thus would allow a rollover, rather than preclude one based on the lack of an affirmative grant of authority.

Comment: Query whether the dissent's recitation of authorities for following rules as written will make it into the upcoming analysis of the Affordable Care Act? See part X, infra.

3. Attempt to make “alternative investment” with IRA causes taxable distribution, *Dabney v. Commissioner*, T.C. Memo 2014-108.

Taxpayer had an IRA with Charles Schwab. In 2009, he found investment property that he thought was undervalued, and he wanted to use the IRA funds to acquire it. Charles Schwab informed him that they did not permit an alternative investment, but Taxpayer arranged for what he believed to be a viable way of making the investment: have Schwab wire the funds to the seller, and then have title placed in the name of the IRA. At this time, he was below age 59 ½, and he filled out a distribution arrangement with Schwab that selected “early distribution, no known exception”, although he testified that he believed his distribution was not taxable.

He ended up finding an error, in that the title was put into his name. He received a “scrivener’s affidavit” from the title company, Chicago Title, in which the company admitted fault. He ended up owning the property until 2011, when he sold it for a profit. He then sought to redeposit this amount into his IRA as a “rollover contribution”, which Schwab accepted. Taxpayer did not report this income on his 2009 return.

Before the Tax Court, Taxpayer argued that his transaction resembled that of *Ancira*, 119 T.C. 135 (2002), in which a Taxpayer successfully acquired stock that was not publicly traded through a check written directly to the company in purchase of the stock, which issued the stock showing that the IRA was the owner. Although the taxpayer in *Ancira* delivered the check to the company, the taxpayer was not in constructive receipt of the funds. Moreover, a delay in the time when the stock was actually delivered to the custodian was inadvertent, and this did not alter the ownership of the stock.

In contrast, this Taxpayer had a different arrangement. The trustee in this case, Schwab, did not have the legal power to hold real estate. Focusing on California law, the court found that the trustee only has powers as conferred by the trust instrument or by statute. Neither the statute nor the instrument requires the trustee to accept real estate, and the trust in this case, consistent with Schwab policies, did not permit such investments. Thus, it would have been impossible to treat Taxpayer as acting as an agent for the trustee in acquiring this property, as had been the case in *Ancira*.

Moreover, the distribution here was not a trustee to trustee transfer, but instead was viewed as a taxable distribution to the Taxpayer. He owed the section 72(t) penalty tax, but he avoided an accuracy penalty as the court found he acted with reasonable cause and good faith in researching the matter, even though he reached the wrong conclusion.

Comment: This was an “honest mistake of law”, according to the court, and the lack of sophistication of the taxpayer with no background in tax or accounting ultimately worked in his favor. The court thought he went to “great lengths” to ensure that this would be nontaxable,

even to the extent of filing a scrivener's affidavit. (By the way, another Chicago "fix" of an "error"!?!)

4. IRS extends deferral period for livestock under section 1033(e), Notice 2014-60, 2014-43 I.R.B. 741.

Taxpayers who sold livestock (other than poultry) held for draft, breeding, or dairy purposes on account of drought, flood, or related weather conditions get to extend the period in which they are allowed to defer gain by replacing that livestock with similar or related property. The replacement period, ordinarily four years after the close of the first taxable year in which any part of the gain from conversion is realized, can be extended where drought or other weather related conditions persist. Several counties in Iowa, Nebraska, and South Dakota are designated as eligible for this extension.

5. Updated limits for 2015 retirement savings, IR-2014-99 (Oct. 23, 2014)

In new guidance, the Service updated amounts affected by inflation adjustments, including 401(k) and 403(b) contributions (increased from \$17.5K to \$18K) and the various income phase-out levels for IRA contributions (which, incidentally, remain capped at \$5500 with a catch-up of \$1000 for those over 50. See [http://www.irs.gov/uac/Newsroom/IRS-Announces-2015-Pension-Plan-Limitations;-Taxpayers-May-Contribute-up-to-\\$18,000-to-their-401\(k\)-plans-in-2015](http://www.irs.gov/uac/Newsroom/IRS-Announces-2015-Pension-Plan-Limitations;-Taxpayers-May-Contribute-up-to-$18,000-to-their-401(k)-plans-in-2015)

D. Characterization.

1. Fracking bonus payment from oil and gas agreement was not capital gain, *Dudek v. Commissioner*, TC Memo 2013-272.

A Pennsylvania-based attorney and CPA purchased property that was subject to oil and gas lease agreements. After these initial leases expired, he entered into a new agreement that would permit a gas driller, EOG, to develop the property in exchange for royalty payment equal to 16% of net profits from oil and gas extracted from the property. The agreement with EOG would run for an initial term of five years, then it would extend indefinitely if gas was being produced. If gas was not being produced, the agreement was renewable for five years upon the payment of \$2,500 per acre by EOG.

In order to induce taxpayer to enter into the agreement, EOG tendered a payment of \$883,250, which did not depend on any extraction or production of gas. EOG submitted a 1099 reporting this payment as a royalty. However, taxpayer reported it as long-term capital gain.

Although the Supreme Court has long held that the receipt of a bonus payment by a lessor pursuant to an oil and gas lease is taxable as ordinary income, see *Burnet v. Harmel* (1932), the taxpayer argued that the agreement was not a lease but was in substance a sale of rights to his oil and gas. However, the Tax Court rejected this position on the ground that the agreement involves a retained economic interest in the oil and gas deposits, which legally requires lease treatment under settled law. No amount of artful drafting would change that emphasis on the substance of the rights conferred in the agreement. Therefore, the payment was taxable as ordinary income, not a capital gain.

Adding insult to injury, the court also rejected taxpayer's alternative argument that the payment should be eligible for a percentage of depletion deduction, which is not applicable to amounts payable without regard to production. While there might have been a deduction allowable for cost depletion (which is not based on production), the taxpayer did not present any evidence to allow for this computation. Since deductions are matters of legislative grace, no deduction was allowed. Further, an accuracy penalty applied as the taxpayer was unable to establish reasonable cause and good faith.

Comment: A tax disappointment, but a good economic result given that the underlying property had cost taxpayer \$225K. Also a good lesson can be found here re: preparing for alternative arguments at trial.

2. No capital gains for this inventor, but deductions for payments of expenses attributed to corporation, *Cooper v. Commissioner*, 143 T.C. No. 10 (2014).

Taxpayer (Cooper) was an inventor holding numerous patents involving audio and video technology. He entered into a commercialization agreement which assigned these patent rights to VidPro, a corporation owned with his attorney. However, Cooper later terminated the agreement, and believing that the patent rights reverted to him, he formed a new corporation, TLC, which he owned with his wife, sister-in-law, and a friend.

Being unsophisticated in tax or licensing matters, the Coopers consulted an attorney, who advised them that section 1235 required that they could not control TLC and they could not own more than 25% of the stock if they wanted to obtain capital gain treatment from royalties paid out by the corporation on any of his patent rights. Accordingly, they restricted ownership interests in the corporation. However, as a practical matter, Cooper controlled TLC, including all arrangements concerning his patents. The sister-in-law and friend served as directors, but their duties did not reflect independent decisions in accordance with their duties to TLC. For example, they chose to transfer valuable patents back to Mr. Cooper for almost no consideration, and they limited their ability to transfer shares of stock in a manner that was not applied to the Coopers. They also received limited compensation from TLC. On this basis, the Service challenged capital gain treatment reported for royalties received on these patents.

Taxpayer also paid some expenses for professional fees in connection with reverse engineering services, which were used to determine whether manufacturers were infringing on his patents. However, those patents were then owned by either TLC or another corporation he owned, Watonga. The Service disallowed the deduction, arguing that these were not proper expenses for the taxpayer, but instead were expenses of the corporations.

Here, the Tax Court ruled that the indirect control exercised by Cooper prevented capital gain treatment, despite the fact that Taxpayer otherwise satisfied the requirements of transferring patents that he held to a corporation in which he and his wife owned less than 25% of the outstanding stock. This was an issue of first impression in the Tax Court, though it followed a similar precedent in the Court of Claims (*Charlson v. United States* (1975)). When, as here, retention of control places the patent holder in essentially the same position as if the patent had not been transferred, section 1235 does not apply to convert ordinary income into capital gain.

As for the expenses incurred for professional fees, the Tax Court ruled that under *Lohrke v. Commissioner*, 48 T.C. 679 (1967), the expenses could be allowed where the taxpayer's primary motive was to protect or promote his business, and the expenditures constituted ordinary and necessary expenses. Here, the court agreed that the expenses were sufficiently related to his business as an inventor, including the need to stay apprised of current developments and engineering practices, as to satisfy the *Lohrke* test.

Taxpayer also asserted a bad debt deduction in connection with loans made to a related corporation. However, the Tax Court ruled that they failed to show that the debt had become worthless during the year in question. Among other things, the corporation still had royalty rights that would have generated income indefinitely into the future. According to the court, the taxpayer's own assertion that their counsel told them litigation would be futile, without providing the underlying analysis to support that conclusion, was insufficient to meet their burden of proof.

Comment: Penalties applied here because, among other things, taxpayer did not follow the advice of the counsel regarding indirect control of TLC after they formed it, and they did not introduce evidence concerning professional advice regarding the bad debt deduction. Consulting lawyers is not enough to avoid trouble if you don't follow their advice, and that advice needs to be documented and proven at trial to avoid a penalty on the return.

3. Sale of interest in lawsuit was capital gain, *Long v. Commissioner*, __ F.3d __, 2014 WL 6480554 (11th Cir., Nov. 20, 2014), reversing and remanding in part, T.C. Memo 2013-233.

The Eleventh Circuit delivered a partial victory to this taxpayer concerning the characterization of his gain from the disposition of an interest in a lawsuit for specific performance of a contract to sell land to an entity in which he would participate in developing the property. After a favorable trial judgment and while an appeals was pending, Taxpayer sold his interest in the lawsuit to a third party for \$5.75 million.

If the sale of land had occurred, Taxpayer would have presumably developed the land into condominium units and sold them in the ordinary course of business, presumably generating ordinary income. Therefore, the IRS argued that the "substitution for ordinary income" doctrine applied here, and that the money he received from selling his interest was ordinary income, not capital gain as the taxpayer had alleged.

Although the Tax Court agreed with the IRS, the Eleventh Circuit reversed on this issue. According to the Eleventh Circuit, the Tax Court missed a crucial point: Taxpayer did not sell land, but an interest in a judgment representing the right to acquire the land. First, he did not sell judgments in the ordinary course of his business. Second, that interest in the judgment that would permit him to acquire land and develop it was akin to a right to earn income in the future, not entitlement to income that accrued from owning the property (as, for example, the sale of future rights to receive rents on real property). "Taxing the sale of a right to create – and thereby profit – at the highest rate [applicable to ordinary income] would discourage many transfers of property that are beneficial to economic development."

Comment: The Eleventh Circuit followed its own precedents, including Womack (2007), to narrowly construe the scope of capital income under section 1221 in this case. Of course, that is taxpayer-friendly when a gain results; for a loss, not so much.

II. Deductions from Gross Income

A. Losses.

1. Abandoning securities produces capital loss, not ordinary loss, *Pilgrim's Pride Corp. v. Commissioner*, 141 T.C. No. 17 (2013).

Taxpayer was successor in interest to GK Co-op, which purchased \$98.6 million in securities from Southern States in 1999. In 2002, Southern States began to defer the payment of dividends on these securities, and they offered to redeem them for only \$20 million. GK, which was in the process of merging into a C corporation and taking the company public, decided that it would be better to clean up the books by abandoning the securities and taking a tax deduction for the loss. At this time, GK valued the securities at \$38.8 million for financial accounting purposes. However, it took a deduction of \$98.6 million as an ordinary loss under section 165. Taxpayer had acquired GK by 2007 and, unfortunately, by 2008, it had filed a Chapter 11 bankruptcy petition.

On audit, the Service disallowed the ordinary deduction and imposed an accuracy penalty, which it conceded at trial. Taxpayer petitioned the Tax Court after restrictions imposed by bankruptcy laws were removed. The case presents the following issue, as explained by the court:

In the case of a corporation, capital losses from sales or exchanges of capital assets are allowed only to the extent of capital gains from sales or exchanges of capital assets. Sec. 1211(a). Although by its terms section 1211 does not apply to gain or loss resulting from a disposition that is not a “sale or exchange”, *see, e.g., Helvering v. William Flaccus Oak Leather Co.*, 313 U.S. 247, 61 S.Ct. 878, 85 L.Ed. 1310 (1941) (demonstrating that the term “sale or exchange” is narrower than the term “sale or other disposition”), Congress has enacted numerous statutes that require capital gain and/or loss in certain situations where the dispositions are technically not sales or exchanges, including, *inter alia*, section 165(g), applicable to losses for worthless securities, and section 1234A, applicable to certain terminations of rights or obligations with respect to property that is (or on acquisition would be) a capital asset. [Footnote omitted.] If a disposition of a capital asset is not a sale or exchange or required by statute to be treated as such, section 1211 does not apply and the loss allowable under section 165 is an ordinary loss.

The Tax Court raised the question whether section 1234A applied here, which would require capital loss treatment. Ultimately, it rejected the Taxpayer’s argument that 1234A was restricted to derivatives and other contractual rights, finding instead that the statutory language, “right or obligation with respect to property” also included the property itself. This view was supported by the plain language, and the court also found that the legislative history supported it as well.

Taxpayer had also pointed to an amendment to Treas. Reg. § 1.165-5 in 2008, which was after the abandonment transaction, as further support that the Treasury did not interpret section 1234A to apply to property ownership rights from stock. According to the Taxpayer, there would be no mention in the regulations of the need to characterize a loss as a capital loss if section 1234A had applied to produce that result in any event. But this argument was unavailing, as the Tax Court showed that section 165(g) allows stock of affiliated corporations to give rise to ordinary loss, thus providing a basis for clarification in the underlying regulations. Moreover, the court also found that the fact that the regulation was not amended until 2008 to be irrelevant, since “[t]he Commissioner is not required to assert a particular position as soon as the statute authorizes such an interpretation.” Similar logic was used to reject Taxpayer’s arguments regarding a Revenue Ruling position. Thus, Taxpayer was only permitted to have a capital loss under section 165(f) upon surrender of the securities.

Comment: Given the restrictions in section 1211(a) that allow capital losses to be used only to offset capital gains, this result may effectively disallow the loss indefinitely. In retrospect, \$20 million in cash looks pretty good in comparison with a capital loss carry forward in a company that is in reorganization proceedings. Alas, the only compensation for TP’s effort to clarify the law here was a conceded penalty.

2. No deductions for loan gone bad, Bunch v. Commissioner, T.C. Memo 2014-177.

Taxpayers filed their return for the 2006 tax year in which they claimed a bad debt deduction over just over \$4 million. In 2009, they filed an amended return in which they substituted a theft loss theory for the bad debt deduction. IRS audited the return and disallowed the deduction under both theories.

In 2000, Taxpayers and their family members had loaned \$10 million to USA Commercial Mortgage Co., of which Taxpayers contributed about \$4 million. The promissory note received in exchange for the loan provided for a 20% interest rate, with principal due in one year. The note also contained an acceleration clause in the event of default. The loan was not repaid according to these terms, but interest was paid regularly through March 31, 2006. In April 2006, the debtor filed for bankruptcy. The president of the company pleaded guilty to wire fraud in 2009. Thereafter, bankruptcy proceedings occurred in which unsecured creditors like Taxpayers were advised that they would be receiving pennies on the dollar for their claims.

Tax Court agreed with the IRS that a bad debt deduction was not allowable for 2006, in that the taxpayers had not yet sustained a loss. As Taxpayers were investors, this was a nonbusiness bad debt (for which a loss is treated as a capital loss, not ordinary). Moreover, the taxpayer was required to show that the debt was wholly worthless as of the close of the taxable year. This generally requires “reasonable grounds for abandoning any hope of recovery”. According to the court, their proof of claim in the bankruptcy court did not merely show the amount of their loss, but instead showed that they had some hope of at least a partial recovery, particularly since the debtor had asserted that it had assets in excess of its liabilities when the bankruptcy petition was filed. Moreover, unsecured creditors did receive interim distributions, thereby showing that a hope of recovery was not in vain.

As for the theft loss claim, the Tax Court found that the taxpayer had not made his case. A theft loss deduction is predicated on showing that the theft occurred under applicable state law, and that the resulting loss was sustained in the year in which the deduction is claimed. Although the president of the debtor company pleaded guilty to wire fraud in 2009, it was far from clear that theft had occurred in 2006. Even if theft had occurred in that year, so that the discovery rule would be applied to 2006, the taxpayer cannot prove a loss was sustained if there was a reasonable prospect of at least some recovery. For the reasons outlined above in the bad debt context, the theft loss deduction was also premature in 2006.

Comment: Timing matters, but so does characterization. Theft loss, if allowed, would be subject to the \$100 and 10% of AGI limitations in IRC § 165(c)(3), (h), which do not affect bad debt losses. But a theft would be an ordinary deduction, not a capital loss. When foul play is involved, a theft deduction might be more advantageous to an investor on account of an ordinary deduction. Does this disparity in treatment make sense?

B. Business Expenses.

1. Lease termination expense is deductible, not capital, ABC Beverage Corp. v. United States, 756 F.3d 438 (6th Cir. 2014).

ABC Beverage purchased a bottling plant, which it had formerly leased from the owner, because it thought the rent was too high. The property was appraised for \$2.75 million without the lease, and \$9 million with the lease. ABC paid \$11 million for the property. It then treated the \$6.25 million difference between the appraised value of the property alone (\$2.75 million) and the value with the lease (\$9 million) as a deductible business expense for terminating the lease. The Service challenged the deduction, resulting in the payment of tax and filing a refund claim. The district court granted the refund, based in part on the authority of *Cleveland Allerton Hotel, Inc. v. Commissioner*, 166 F.2d 806 (6th Cir. 1948).

On appeal, the Sixth Circuit affirmed the district court, holding that neither the impact of intervening Supreme Court decisions involving capitalization (including, among others, *INDOPCO*) nor the enactment of IRC § 167(c)(2), would change the outcome based on the application of that controlling case. It found that the concept of a deduction for a burdensome lease, as was present here, was contemplated by section 162(a). This was not an ancillary expense to the acquisition of a capital asset, which might otherwise require capitalization, but it was merely a product of separating an expenditure into capital and non-capital parts. Moreover, this would not adversely affect tax parity: if a third-party purchaser had paid \$2.75 million to buy the property, it would have been required to capitalize that cost. But as to the extra \$6.25 million paid to buy out the lease, the characterization of the expenditure is simply different depending on the circumstances. For ABC, the acquisition extinguished a liability; not so for a third-party purchaser, which would acquire an asset capable of producing future income, which would be capitalized under established authority.

As for section 167(c)(2), which generally requires that the basis of property acquired subject to a lease must include the value of the leasehold interest, rather than allocating the purchase price to a separate leasehold interest, the Sixth Circuit also found that the plain meaning of the statute did not require capitalization here. According to the court, the statute was ambiguous, but it was best understood to encompass only those acquisitions in which the lease

continues after the purchase. In reaching this conclusion, the court noted disagreement with the Tax Court's decision in *Union Carbide*, 115 T.C. 423, 432 (2000), thus creating a potential future conflict on the matter for other circuits.

Comment: This was a big win for the taxpayer and likely not the last word on the matter given the disappointing outcome for the government. Careful lawyering was clearly required in this case to navigate the intervening precedents and the impact of statutory change.

2. Cattle operation not for profit, *Gardner v. Commissioner*, T.C. Memo 2014-148.

Taxpayer in this case was engaged in the insurance business and earned substantial income from that business. In 2001, he decided to enter into the cattle breeding business. Through contracts with World Livestock, Inc., Taxpayer received consulting services as well as agreements to acquire embryos from donor cows, along with a lease of cows ready for breeding or embryo transfer. Taxpayer incurred substantial costs, most of which were financed by promissory notes. The terms of the notes were frequently not followed, and the same could be said of the terms of the contracts with World Livestock. Taxpayer testified that he was personally liable on all the notes, but the terms of the notes clearly stated they were nonrecourse.

Apart from these inconsistencies, there were real cows and throughout a 10 year history the cattle operation generated modest net income in 4 years but substantial net losses totaling over \$600,000 throughout the term. Moreover, it appears that some of the substantial losses tracked large increases in income from taxpayer's insurance business. Compounding taxpayer's problems, he failed to maintain careful records about the pedigree of the cows he was breeding, the amount of time he spent on the putative business (less than 100 hours per year over the phone), and even his financial records for the business.

Despite testimony from taxpayer's expert witness that genetic engineering undertaken by the taxpayer could produce cattle that sell for a higher price than cattle without this genetic background, taxpayer failed to maintain records of those genetics or to produce evidence of their superior value. In contrast, the government's expert discussed the problematic nature of a lack of production data, and he also assessed the value of the cattle owned by taxpayer as being no greater than common commercial cattle.

The Tax Court agreed with the government and disallowed deductions under section 183. Going through the traditional analysis of whether taxpayer engaged in this activity for profit, the court noted, among other things, the failure to maintain records that would support his claim to conducting the operation in a businesslike manner. Despite substantial losses in the early years, taxpayer did not track his expenditures but instead only seem to use them to offset other income for the purpose of gaining tax benefits from the deductions. Moreover, as the court noted, losses accrued during the years of operation totaled more than 3 times the amount of the fair market value of cattle he owned. This gravitated against finding any hope for profit from future appreciation. Although there were a few years of profit, those occasional profits did not justify the large losses incurred and the tax benefits generated for a taxpayer with this financial status. Moreover, the court noted that profits only seem to appear after the IRS had commenced an examination of taxpayer's cattle operation in 2005, a fact the court found "conspicuous". Accuracy penalties applied here.

Comment: It would seem that the government had several options to pursue this taxpayer's claim for deductions. Given that many of the deductions were financed by nonrecourse debt and taxpayer was not actively involved for many hours in the business, it would appear that the at-risk rules and passive activity rules might also have been invoked. Some expenses incurred in 2001, including a payment of \$100,000 for consulting services, part of which were to be rendered in the future, were also incurred before taxpayer owned any cattle, and thus may have been subject to capitalization rules. Nevertheless, this case might be instructive for what conduct to avoid if you don't want a section 183 problem.

3. Taxpayer win in horse business case, Roberts v. Commissioner, T.C. Memo 2014-74

Taxpayer, a successful nightclub owner, invested his profits in property and horses, building a first-rate boarding and training facility. Despite some successful race horses, the venture proved unprofitable overall. Nevertheless, the Tax Court, applying the traditional factors in section 183 cases, ruled that the Taxpayer demonstrated the requisite profit objective to deduct business expenses for later tax years, though not for earlier ones. Changes in his investment in the facility and his location contributed to the different result.

This taxpayer also invested in real estate with an intention to profit from it, which had some bearing on the outcome. He also had a business-like approach, though he had some problems with records, including records for 2007 which he claimed a spiteful girlfriend burned in the fireplace. That excuse was not sufficient for relief from a late filing penalty, as the court noted: "The wrath of a former girlfriend may be a formidable force, but it is not analogous to a hurricane-like natural disaster, and it does not constitute a reasonable cause outside petitioner's control."

Comment: This court recognized that horse racing is like wildcat oil drilling – risky but potentially capable of delivering large profits. For another case in which good records proved helpful in proving material participation in a horse business, see Tolin, T.C. Memo 2014-65. And yet another late-breaking horse-owner victory was won in Annuzzi v. Commissioner, T.C. Memo 2014-233 (taxpayer win despite profits in only 5 of 30 years from thoroughbred racing and breeding activities by owner who earned \$1 million salary from outside source).

4. Artist was engaged in trade or business and eligible for schedule C deductions, Crile v. Commissioner, T.C. Memo 2014-202.

Taxpayer was both an artist and a professor who maintained an independent studio in which she produced and sold over a \$1 million worth of art from 1971-2013. However, she generated losses in most years, apparently explained in large part by the practice of claiming Schedule C deductions for many expenses that are personal, rather than business expenses. As the Court observed, "For creative artists, the line between business and personal expenses may sometimes seem hard to discern. Petitioner is not alone in resolving doubts in favor of deductibility." After a traditional section 183 analysis, the taxpayer was held to have been engaged in the trade or business of being an artist.

Comment: In other words, merely overstating expenses may create a tax problem, but it is not necessarily the disallowance of all losses connected with the trade or business. This case shows

some creativity by the Court in looking not just at the face value of what the taxpayer reported on her returns as an indication of profit seeking, but instead looking at the economic realities of her activity. It specifically calls out the IRS for trying to use Portland Golf Club (SCT 1990) for the proposition that we must take the taxpayer's representations at face value in determining profit motive.

5. Real estate activities lacked continuous and regular involvement sufficient to become trade or business, *Ohana v. Commissioner*, T.C. Memo 2014-83.

Taxpayers were extensively involved in remodeling and renovating a home which was previously used as a principal residence. He also bought another property, which he intended to raze and construct his residence there. After that house was constructed, he moved in and began renting out his former residence. In the process, he also attempted to deduct various expenses as being in connection with carrying on a trade or business of buying and selling real estate.

The Tax Court ruled that Taxpayer was not “continuously or regularly” involved in such a business, citing several other cases involving rental real estate activity. Moreover, Taxpayer failed to show that the primary purpose of engaging in the activity was to make a profit. It was problematic here that Taxpayer improved properties that were or became his personal residence. If his business was buying and selling real estate, he only rented the first house, rather than trying to sell it (probably due to the weak real estate market in 2009, when he moved). And he told various parties (including the county government) that he bought the second house to be his home. Sketchy bookkeeping also did not help; TP claimed not to review his returns that were filed by a tax service, causing penalties to be imposed.

Comment: Those questioning whether to report on schedule C might consider some of the authorities discussed here distinguishing real estate business from investment.

6. Nondeductible fine paid to Commission of EU, *Guardian Industries Corp. v. Commissioner*, 143 T.C. No. 1 (2014).

In 2008, Guardian Industries paid a \$30.2 million fine (20 million euros) to the Commission of the European Community in connection with alleged anti-competitive conduct through its Luxembourg subsidiary. On audit, the IRS disallowed this payment under section 162(f) which provides in part that “no deduction shall be allowed for any fine or similar penalty paid to a government for the violation of any law.” Treasury regulations further clarify that a government can include an “agency or instrumentality of a foreign government”. Guardian challenged the application of section 162(f) on the ground that the Commission, which is part of the European Community and not limited to governing a particular state, did not meet the definition under the regulations. The Tax Court disagreed, holding that the European Commission is an instrumentality of the European Community member states. It also noted that this approach was consistent with a Second Circuit decision involving the Foreign Sovereign Immunities Act.

Comment: The case highlights the unusual features of multi-government cooperation in the European Union. According to the court, it would be an “odd result” that is “contrary to the statute’s purpose ... if a penalty imposed by one member state would be nondeductible under section 162(f), whereas the same penalty imposed by multiple member states, or an entity acting

on their behalf, would qualify for deduction.” That was a sufficient basis to avoid a literal approach to the regulation, as argued by Guardian.

7. Characterization of FCA settlement for purposes of section 162(f) depends on underlying economic reality, Fresenius Medical Care Holdings, Inc. v. United States, 763 F.3d 64 (1st Cir. 2014).

Taxpayer (FMC) had paid a civil settlement to the Government for more than \$486 million in connection with whistleblower-induced claims brought under the False Claims Act (FCA). Of this amount, \$101 million was earmarked as criminal fines. The remainder – some \$385 million – was “the price for Fresenius’s absolution from civil liability.” But characterization of that price is important for tax purposes, as section 162(f) precludes a deduction for penalties and fines. While the FCA permits treble damages, the Supreme Court has permitted multiple damages to compensate the government for losses, including delay and the costs of enforcement, which does not make them punitive. As the First Circuit noted, “plotting the hazy line that separates the compensatory from the punitive can be tricky business.”

The Government did not address the compensatory/punitive distinction in the settlement agreement. FMC grudgingly filed a return with no deduction and sought a refund of the tax based on full deductibility. The district court put the question to the jury: “what amount [was] necessary to put the government in the position it would have been had Fresenius not [engaged in the underlying misconduct]?” This put the burden of proof on FMC, while allowing the jury to “measure deductibility in terms of the economic realities of make-whole remediation”. It allowed a deduction for FMC.

The Government found fault with this approach, arguing instead for one that treated any amount beyond the single damages (except, perhaps, whistleblower fees) as punitive unless the parties have manifested a contrary intention in their settlement. But here, the settlement was silent. The First Circuit rejected this approach, noting that “such an exclusive focus would give the government a whip hand of unprecedented ferocity....” Moreover, this would create an anomalous result, in that a case taken to judgment must be evaluated based on the economic reality of the payment, objectively viewed. Settlements should not be evaluated differently from judgments, a tax tenet that the government’s position “inters ... in the graveyard of forgotten canons.”

Comment: This is a wonderful opinion that makes eminent sense. A hat tip to Prof. Annette Nellen for pointing out this case. See “To be or not to be compensatory:”, CORPORATE TAX INSIDER, October 30, 2014, available at http://www.cpa2biz.com/Content/media/PRODUCER_CONTENT/Newsletters/Articles_2014/CorpTax/To-Be-Or-Not-To-Be.jsp For those who like unusual words, try these gems from the opinion: civil settlements “released a gallimaufry of claims” [Middle French: hodgepodge]; the government “asseverates” [Latin: to affirm or declare positively or earnestly]. And we could all do with fewer ferocious whips chasing after us, not to mention staying out of those graveyards of forgotten canons, no?

8. The end of a long dark Knight: final regulations under section 67(e), T.D. 9664, 79 Fed. Reg. 26616-01 (May 9, 2014).

After the Supreme Court's decision in *Knight v. Commissioner* (2008) ruled that expenses incurred by trusts are miscellaneous itemized deductions subject to the two percent floor (and AMT treatment) if they would be commonly or customarily incurred by an individual holding property outside of a trust, the Service set out to promulgate regulations to provide additional guidance. The topic of bundled fees of fiduciaries, which do not distinguish among above-the-line and miscellaneous itemized deductions, was particularly problematic. Over six years later, final regulations have finally been promulgated, which generally reflect the approach in the proposed regulations published in 2011.

Comment: For a thorough summary, see Carol A Cantrell, Final Sec. 67(e) Regulations: The End of a Long Journey, THE TAX ADVISER (August 1, 2014); Philip N. Jones, Final Regulations on Trust Administration Expenses – No Surprises, J. TAX'N 25 (July 2014). Some good news, though: these regulations won't apply until 2015 in order to give taxpayers time to implement them, particularly the problem of unbundling. See 79 Fed. Reg. 41636-01 (July 17, 2014).

9. Origin of the claim test applies to disallow deduction for settlement costs, Ash Grove Cement Co. v. United States, 562 Fed. Appx. 697 (10th Cir. 2014), affirming 2013 WL 451641 (D. Kan. 2013).

Taxpayer incurred settlement costs of \$15 million plus \$43,345 for legal fees in connection with its defense of a class action lawsuit filed by minority shareholders over a plan of reorganization. Among other things, the suit alleged that the reorganization plan constituted self-dealing by the family that owned a controlling interest in the company, and it alleged that there was a lack of independence by the special committee appointed to oversee the transaction. Remedies pursued included rescission of the transaction, a constructive trust over any profits, and compensation for the class members. The payment settled those claims.

Taxpayer deducted these costs and the Service disallowed them on the grounds that they are capital expenditures. Refund litigation ensued, with the district court granting summary judgment to the Government. In this unpublished opinion, the Tenth Circuit affirmed. Following the "origin of the claim" test, the court found that these litigation expenses arose in connection with a corporate reorganization, which courts have long held to be capital, rather than ordinary and necessary business expenses. Here, they were defending a lawsuit that sought to rescind the reorganization, which was clearly within the ambit of these decisions, including INDOPCO.

10. Compensation was not reasonable for purposes of computing R&E credit, Suder v. Commissioner, T.C. Memo 2014-201.

Taxpayer was the majority shareholder of an S corporation engaged in research projects that qualified for the section 41 credit. The corporation took into account the compensation paid to Taxpayer and another shareholder-employee in computing that credit, and in order to be qualified, such compensation must satisfy the tests for deductibility under section 174. Section 174(e), which was added to the Code in 1989, imposes a reasonableness requirement on research expenditures. Regulations further provide that reasonableness is determined based on whether the amount would ordinarily be paid for like activities by like enterprises under like circumstances.

The Tax Court in this “matter of first impression” imposed reasonable salary considerations otherwise applied in the context of section 162 to disallow a portion of the compensation paid to the Taxpayer as unreasonable. A portion of the compensation, which approached \$10 million, was attributable to royalties, not services. The deductible portion was limited to around \$2.5 million for most of the years, thus reducing the credits. However, Taxpayer avoided accuracy penalties based on an “honest misunderstanding of tax law that was reasonable in light of all the facts and circumstances.” They appropriately trusted their longstanding CPA and a product development officer who had tracked the research expenditures for tax purposes.

Comment: According to the Court: “The research tax credit is one of the most complicated provisions in the Code. Its complexity is evidenced by the fact that it was the most commonly reported uncertain tax position on Schedule UTP, Uncertain Tax Position Statement, for 2010, 2011, and 2012.”

11. Cash basis taxpayer cannot deduct past-due mortgage interest capitalized into principal, *Copeland v. Commissioner*, T.C. Memo 2014-226.

Taxpayers restructured a home mortgage, in which past due interest was rolled into principal, which was as yet unpaid. Under longstanding authorities, that capitalization by the creditor to whom the interest was owed does not constitute payment by a cash method taxpayer. The rationale: the note may never be paid. The same rule applies to a discounted loan: no payment, no deduction for a cash method taxpayer.

12. Motocross expenses were deductible for construction business, *Evans v. Commissioner*, TC Memo 2014-237.

Taxpayers operated Dave Evans Construction (DEC) as a general contractor in Boise, Idaho. The firm generated over \$16M in annual revenues. Boise is a major center for motocross racing, and it is especially popular with the construction industry. Taxpayers had three sons and two daughters that all raced motorcycles, and one of them, Ben, had the talent to become a professional.

Although Taxpayers funded their children’s activities through personal resources, once Ben’s career started to take off they consulted their CPA who advised that his star power and talent might be the source of a valid promotional activity for DEC. In 2006 and 2007, DEC paid motocross related expenses of \$86K and \$74K, respectively, and they generated some income from the sale of motorcycle equipment and from a sponsorship from Honda. DEC did not engage in much other promotional activity apart from racing during these years. Eventually, Ben moved on to the professional circuit and the firm stopped funding this activity. Taxpayers were able to show some tangible benefits from motocross racing, including attracting some customers and even some financing opportunities through attention to Ben’s celebrity status in the industry.

The Tax Court upheld these deductions, with one minor exception, as being ordinary and necessary business expenses. It also held that they were reasonable in amount, despite the IRS argument that the taxpayer did not show that the amounts were in line with average advertising budgets of similar entities. It was the result that counted.

Comment: This case thus stands in line with others (also cited in the opinion) in which taxpayers were successful in showing that promotional activity connected to motocross racing was not only ordinary and necessary, but also reasonable in amount.

C. Charitable Deductions.

1. Conservation easement sustained for \$1.1 million, *Schmidt v. Commissioner*, T.C. Memo 2014-159.

Taxpayer, a McDonald's franchisee, had purchased 40 acres in Colorado for future development in the year 2000. He hired a land use planner to help evaluate the property, who suggested that he consider developing it in conjunction with adjoining landowners. That plan progressed over the next year, but eventually the co-developer dropped out of the deal. Taxpayer then sought to purchase adjacent property for the development, but in 2003, he terminated that purchase agreement, despite the fact that all of the zoning and other preparatory approvals from local government were nearing approval. Ultimately, another developer bought the adjacent property, but plans were delayed due to the discovery of the "Preble's meadow jumping mouse" on that property, which is a threatened species. It was ultimately approved for development.

However, sometime in 2003, Taxpayer inquired about a conservation easement for his property. He engaged experts and had the easement on the property appraised for \$1.6 million based on a "before and after" approach, which looked to the platted development potential for the property as reflected on the plans that were nearing approval in 2003. Due to income limitations, Taxpayer claimed only a portion of the deduction in 2003, carrying forward the balance through 2006 tax returns. The Service audited those returns and challenged the valuation of the easement, proposing valuation and accuracy penalties.

At trial, Taxpayer introduced additional expert testimony to bolster the report used in his return. The Service introduced an expert opinion that allowed a much smaller valuation. Ultimately, the court concluded that the conservation easement was worth only \$1.15 million, rather than the \$1.6 million claimed by the taxpayer, which was insufficient for a gross valuation penalty even after the 2006 amendments to that provision (see *Chandler*, supra). This finding, coupled with good faith reliance on expert testimony for the substantial understatement of tax, ensured that there was no penalty for the taxpayer, despite the adjustment.

Comment: The taxpayer did his homework. He even testified at trial about the Government's expert report, which was given "appropriate weight." As a McDonald's franchisee with three stores, he would know a few things about location, location, location, no? Note that there are also some façade easement cases this term, some of which are discussed in Part III.B., below, for their penalty implications.

2. Charitable contribution of disregarded entity presents issues for trial, *Reri Holdings I, LLC v. Commissioner*, 143 T.C. No. 3 (2014).

Taxpayer sought a charitable deduction of more than \$33 million for his interest in a disregarded entity which held a remainder interest in certain real property in California through a wholly-owned LLC (another disregarded entity). The property was a web hosting facility in Hawthorne, California, which had been leased to AT&T through 2016. It was financed by debt, which was secured by the lease payments due from AT&T plus a final balloon payment in 2016.

AT&T had the right to renew the lease for additional terms thereafter. After the property was acquired, the owners split the property interests into two components, a possessory interest extending through December 31, 2020 (presumably, this contemplated one five-year renewal term by AT&T) and a successor interest commencing upon the termination of the prior possessory interest. It was the latter interest that was ultimately the subject of the charitable donation, albeit after a couple of other transfers.

When the gift was made, Taxpayer hired an appraiser to determine the fair market value of the contributed interest. The appraiser focused on the underlying property, determined its value was \$55 million, and then applied the remainder interest actuarial factors under section 7520 to determine the value at \$32.9 million. However, in 2005 the donee, the University of Michigan, sold the LLC interest to an LLC owned by Taxpayer and one of his associates for only \$1.94 million. That LLC later sold the interest for \$3 million, and in December 2005, the new purchaser again donated the property to a charitable donee claiming a deduction of nearly \$30 million using a similar valuation technique. (One can understand how the IRS would become unglued over these transactions). Also complicating matters somewhat was a requirement imposed by the donor that the university must hold the interest for two years.

At issue here in this case of first impression was whether the IRS could obtain summary judgment on two issues: whether the Court should disregard the entity for purposes of applying the valuation rules, and if not, whether the section 7520 tables could nevertheless be applied to determine the value of the interest. In this case, the Tax Court denied summary judgment. Although the Tax Court ruled that the rationale of its decision in *Pierre* (2009), which held that a LLC interest would not be disregarded for purposes of the gift tax, also applied to the income tax context of a charitable contribution, it left open for trial the question of whether the application of valuation tables to the underlying property could in fact provide an acceptable substitute for the value of the interest. The two year holding requirement also presented a fact question for trial, as well as the impact of the disparity in values (i.e., \$30 million vs. \$2-3 million) presents an unreasonable valuation.

Moreover, the court also refused to find that the appraisal's focus upon the wrong property, i.e., the underlying real estate vs. the interest in the LLC, causes the appraisal to flunk the qualified appraisal requirement, which is a prerequisite to a deduction for an in-kind charitable contribution of this nature. When, as here, the property is wholly-owned by the LLC and there is no disparity in interests of ownership that might give rise to a difference in value, there is not necessarily any basis to disqualify the appraisal of the property as a substitute for the value of the interest. However, it left to trial whether any other defects in the appraisal might disqualify it.

Comment: Those involved in charitable giving (or advising those who do) will want to follow this case carefully. Given the valuation disparities here and the multiple usage of the same property, the Service will not let this one go quietly.

D. Alimony and Family Issues

1. Support vs. property settlement, *Peery v. Commissioner*, T.C. Memo 2014-151.

Taxpayer and his former spouse were divorced in Ohio on June 9, 2008. Pursuant to a decree of divorce that incorporated a separation agreement, Taxpayer wrote monthly checks for alimony of roughly \$4,300/month for the first few months of 2008. Then, in July 23, 2008, he wrote a check for \$63,500. The words “spousal support” were written and then crossed out. The separation agreement had indeed assigned to his wife “an award of property settlement in the sum of \$63,500.00, which amount shall be paid within thirty (30) days” of June 6, 2008. However, the separation agreement also required him to pay over a share of other monies earned in the form of alimony. Taxpayer claimed the payment of \$63,500, along with other monthly payments, was properly designated as alimony. He claimed that he had sold stock and was thus obligated to pay over a portion of the gains to her. The Service treated the \$63,500 payment as a property settlement.

The Tax Court held for the Service, finding no basis for Taxpayer’s attempt to characterize the payment as anything other than the property settlement designated in the separation agreement.

Comment: The court also gave credence to the “spousal support” notation on other checks, suggesting that this has some probative value of the parties’ intentions. When it comes to conformity with the terms of the divorce decree, careful attention to detail is warranted to ensure deductions are available. Accuracy penalties applied here.

2. No “nunc pro tunc” for you!, *Baur v. Commissioner*, T.C. Memo 2014-117.

Taxpayer and his former spouse were divorced in Illinois, and the dissolution judgment entered in 2009 incorporated the terms of a marital settlement agreement of the parties. Pursuant to that settlement, Taxpayer would pay \$3750/month to his former wife, plus additional amounts based on bonuses he received. However, paragraph 2.5 provided that this amount would be reduced to \$1800 per month in the event their minor children were emancipated or living outside the care of their mother. Paragraph 2.6 stated the intention that the amounts paid to Wife would be alimony under section 71 and 215 of the Code.

Taxpayer claimed an alimony deduction based on the entire amount of annual payments. However, in 2012, Taxpayer’s return was audited and a notice of deficiency proposed which reduced the alimony deduction and recharacterized a portion of it as child support. Apparently in pursuit of a remedy, Taxpayer went back to the court that issued the divorce decree and petitioned to “clarify intent of the judgment on dissolution of marriage.” The court issued an order stating that paragraph 2.5 was a scrivener’s error and vitiated *nunc pro tunc*.

The Tax Court sustained the adjustment disallowing the alimony deduction based on the fact that a portion of the payments were attributed to child support. The court refused to give effect to the state court’s judgment, as it looked instead to the record before it and found no mistake in the original judgment.

Comment: Nice try, and what a cooperative state court! Apparently there were no adverse interests, as the Government was not represented in those proceedings. But this creative taxpayer effort was insufficient to rectify a mistake in drafting the original agreement, which could have been avoided with some attention to the Code. However, one wonders whether it is appropriate to deny any effect to a nunc pro tunc judgment of a state court. Query whether the order issued will be effective to modify the agreement on a prospective basis, thereby fixing the problem in future tax years?

3. Alimony vs. child support, Johnson, T.C. Memo 2014-67.

Taxpayer and his wife divorced in Minnesota. Their divorce decree required spousal maintenance of \$6068/month, plus an additional \$500/month per child until any one of a series of events occurred. However, the spousal maintenance provision stated that it would terminate upon death or remarriage, as well as “the graduation of the youngest child.” The amount of spousal maintenance was later modified, but the termination clause remained the same. The divorce decree also stated the intention that the spousal maintenance qualify as alimony.

Taxpayer was audited and the IRS disallowed the entire payment to his spouse on the basis that the payment was subject to a contingency involving a child (including a child leaving school) was not alimony but child support. See IRC § 71(c)(2). The Tax Court agreed, finding that the language in the decree, not the intention of the parties, controlled the outcome. Taxpayer avoided penalties, however, due to reasonable reliance on a professional.

Comment: Penalty relief is some comfort, but this fact pattern, along with Bauer above, also raises the question of whether return preparers have adequate training to determine whether a payment is alimony. (These family lawyers apparently did not!) That second look could have saved these Taxpayers a lot of money, particularly if the spouse was amenable to modification. After all, the intention to make the payment taxable to the payee spouse was part of the decree in both cases. Query also: did the payee spouse file a refund claim in time to benefit from the defect in their agreement?

4. Alimony vs. property settlement when agreement is silent on termination, Wignall v. Commissioner, T.C. Memo 2014-22

Taxpayer and his wife were divorced in Oregon. Their “stipulated general judgment of marital dissolution” required Taxpayer to pay his former wife support of \$1900 for the term July 2006 to December 2011. It was silent as to whether the payment would terminate upon her death. At issue here was whether Oregon law contained an implied term to this effect, which would permit the payments to be treated as alimony. Fortunately for Taxpayer, the Tax Court ruled that Oregon common law supported termination at death.

Comment: Another example of a rookie mistake when a family lawyer drafts a settlement without understanding the tax rules of alimony. Taxpayer should not have had to incur litigation costs to win this point.

5. Alimony vs. child support, Farahani v. Commissioner, T.C. Memo 2014-111.

Taxpayer and his wife were divorced. Taxpayer was in arrears on his spousal and child support obligations, but in 2009 he received a backpay award of \$305K in a wrongful termination case filed in California that would allow him to catch up. The Oregon Division of

Child Support issued a notice of garnishment for past due child support, and the California court ultimately allocated some \$54K of the award to support amounts in arrears. Taxpayer ultimately claimed a portion of this amount was alimony, which the IRS allowed despite the fact that the Code does not permit alimony to be deductible to the extent the payor is behind on child support. See IRC § 71(c)(3). Taxpayer also had to repay disability payments he had received from California. However, he was a cash method taxpayer, and as a result, he could only deduct those amounts when he repaid them, which did not affect the current tax year.

Comment: The rule in section 71(c)(3) would ordinarily present a bar to alimony deductions. For payors in these circumstances, careful attention is required to ensure that the litigation settlement is viable. For example, what if the backpay award had been only \$54K? He could have ultimately owed the tax on that amount without the wherewithal to pay it, arguably making him worse off (though his child and former spouse better off, to be sure).

6. Unsigned 1998 divorce decree fails § 152 requirements for dependency exemption, Swint v. Commissioner, 142 T.C. No. 6 (2014).

Taxpayer's late husband had a child from a previous relationship, who was born in 1997. Pursuant to an agreed entry in the Court of Common Pleas between him and the mother of the child, they agreed that he would be able to claim the minor child as a dependent as long as he was current on child support obligations. The parties also agreed to execute all documents necessary to allow the exemptions to be claimed. Neither the father nor the mother had signed the pages of the entry. Taxpayer filed a joint return with her husband until his death in 2010. For the 2009 tax year, they claimed a dependent exemption and child credit pursuant to the entry, although the child did not reside with them. The Service disallowed these items, claiming that as noncustodial parents, they needed to comply with the written declaration required under section 152(e)(2), which must be made on either a completed Form 8332 or a statement conforming to its substance.

Before the Tax Court, the Taxpayer argued that the entry conformed to the substance of the Code. The Service argued that dictum in *Armstrong v. Commissioner*, 139 T.C. 468 (2012), suggests that a court order or separation agreement may not serve as a written declaration under the interpreting regulations. However, the court noted that the situation here predated the effective date of the regulations, thereby invoking a transition rule that determines validity based on the then-extant requirements at the time the declaration was executed. Previously in *Shenk v. Commissioner* (2013), the court had included dictum that a signed judgment copy of a court order cannot satisfy the statute. The court clarified that this dictum was inaccurate to the extent it rejects the possibility that such a document could satisfy the requirements in effect at the time the entry was made. Nevertheless, the court concluded that this entry did not qualify under the 1998 requirements because it was not signed by the custodial parent.

Comment: Filing Form 8332 is key, but this case suggests an unsigned judgment won't count, though perhaps a signed one would during those earlier years. For a recent case affirming this position, see Hendricks v. Commissioner, T.C. Memo 2014-192. Perhaps the noncustodial parent could have gotten the custodial parent to sign the Form 8332 before filing the return. If not, as this case shows, they have a tax problem regardless of what the court order says. Relying upon an unsigned judgment won't pass muster. Conversely, an agreement about who is considered the custodial parent does not overcome facts; a custodial parent for tax purposes is

the one with whom the child resides for the greater number of nights during the calendar year. See Harris v. Commissioner, T.C. Memo 2014-69.

7. No mortgage interest deduction based on equitable ownership claim, Puentes v. Commissioner, T.C. Memo 2014-224

Taxpayer lived in a home owned by her brother. In 2009, her brother lost his job. She began to pay the mortgage payments, including interest. She also paid property taxes and insurance. She had no legal obligation to make any of these payments, and the home was titled in his brother's name. The mortgage interest statement issued by the bank reflected only her brother's name. Nevertheless, she claimed a mortgage interest deduction.

The Tax Court ruled that despite the fact that Taxpayer "acted admirably to enable her family to retain its home at a time of economic difficulty", she was not entitled to a mortgage interest deduction. The regulations require that the taxpayer must be the "legal or equitable owner, even though the taxpayer is not directly liable upon the bond or note secured by such mortgage." The Ninth Circuit, to which appeal would lie, interprets this to refer to nonrecourse mortgages. Applying California law, the court found that the legal title holder is presumed to be the owner of full beneficial title, and that this can be rebutted only by showing an agreement or understanding to the contrary. Taxpayer could not make that showing here, as merely tracing funds coming from her that were temporarily used to service the debt was legally insufficient to rebut the presumption of ownership in the title holder.

Comment: This pro se taxpayer at least had the support of the literal language in the regulations. But that language did not mean what she wanted in this context. Presumably, some form of written agreement could suffice, but that would be a matter of state law that could not readily be ascertained from the language of the regulations. Tax law is hard, no?

III. Payment, Collection, Litigation

A. Transferee Liability.

1. Transferee of a transferee is liable for unpaid taxes, Frank Sawyer Trust of May 1992 v. Commissioner, T.C. Memo 2014-59

This case came back to the Tax Court after remand by the First Circuit, 714 F.3d 597 (2013), which had reversed the Tax Court and upheld the IRS position that a shareholder could be held liable under section 6901 and the Massachusetts Uniform Fraudulent Transfer Act as a "transferee of a transferee" for unpaid corporate income taxes. Taxpayer had sold all of its stock in various corporations to Fortrend International in a two-step transaction: first, Taxpayer's corporations sold all their assets and satisfied all of their nontax liabilities; second, Taxpayer sold the stock in these corporations, which then held only cash, to acquisition vehicles formed by Fortrend for consideration that was greater than their net book value. Fortrend was willing to pay more than the net book value for a company with no assets other than cash because it discounted the amount of the liability for state and federal taxes. It would borrow the funds needed to buy the stock, and then repay the loan with funds distributed from the acquired corporations.

To illustrate, one Fortrend company (Three Wood) paid \$32.5 million for the stock of taxi corporations owned by Taxpayer. At the time of the sale, the taxi corporations had a net book value of only \$25.3 million, as they owed some \$14.3 million in taxes following the asset sale. Three Wood was capitalized with \$2.7 million from Fortrend plus a \$30 million loan from Rabobank. After paying \$32.5 million to Taxpayer for the taxi corporation's stock, Three Wood would owe a total of 44.3 million (\$30 million to Rabobank plus \$14.3 million in taxes) but it would have assets worth only \$39.6 million. The only way this deal was going to work out for Three Wood was to ensure that some of those tax liabilities were not paid (as presumably Rabobank was not going to take a haircut) .

In order to establish liability under MUFTA, the Service was required to show that (1) Three Wood did not receive reasonably equivalent value for its payment (clearly established here, where it paid more than the taxi corporation stock was worth), and (2) Three Wood either engaged in a transaction where its remaining assets were unreasonably small in relation to the transaction or reasonably should have believed it was incurring debts beyond its ability to pay as they became due (satisfied here given the relationship of debt to assets).

Although Three Wood was a transferee of the corporations (because it had received cash distributions from them following its purchase of their stock), Taxpayer was a transferee of a transferee, as it received the consideration for its stock (i.e., in taxi corporation) from Three Wood. However, since Taxpayer lacked actual or constructive knowledge of postclosing activities that Fortrend had planned (in defeating the tax liabilities), Massachusetts law limits recovery to the amount that Taxpayer received in excess of the fair value of the stock (i.e., the net book value).

Comment: Section 6901 is more complicated than it seems due to the need to consult state law. Some difficult statute of limitations questions also lurk here. The result in this case deprives the selling taxpayer of the excess benefit from tax avoidance, which seems fair enough. But perhaps some will find this remedy insufficient to encourage taxpayer vigilance in suspicious situations like this one. When something seems too good to be true, should we expect taxpayers to recognize this, at least in the civil context? (Compare Montgomery, below, for a different answer in the criminal context). And for another recent "transferee of a transferee" case under Texas law, see Cullifer v. Commissioner, T.C. Memo 2014-208.

2. State law did not support collapsing transactions into single transfer for purposes of imposing transferee liability, *Julia R. Swords Trust v. Commissioner*, 142 T.C. No. 19 (2014).

Trusts benefitting heirs of the founder of Reynolds Metal Company (which brought Reynolds Wrap to our kitchens) owned a Virginia corporation, Davreyn, which functioned as a personal holding company. Davreyn held stock in Alcoa as a result of a 2000 merger between Reynolds and Alcoa, and it also held shares in a Goldman Sachs fund. In the late 1990s, BDO Seidman advised its local offices of an "opportunity" for PHC shareholders to sell their stock in a tax efficient manner. Other notable firms also participated in advising the trusts, which resulted in a transaction that would involving forming an LLC using the Goldman funds, distributing interests in the LLC to trust owners for a portion of their stock, and finally, selling the Devreyn stock to a purchaser for a stated value based on a discounted value for the Alcoa stock less estimated corporate income tax incurred in the transaction.

Following these transactions, the trusts ultimately reported capital gains from the stock sale and paid the tax due. However, Davreyn ultimately liquidated under new ownership, triggering the built-in gains on the Alcoa stock. However, it reported only a small capital gain, apparently using son-of-boss type transactions to reduce the total. On audit, the IRS determined that it had over \$13 million more capital gain than reported, and it determined a deficiency of \$4.6 million, plus an accuracy penalty and interest totaling nearly \$5 million more. It found that the purported stock sale transactions resembled an intermediary transaction tax shelter described in Notices 2001-16 and 2008-111, and it also sought to impose transferee liabilities on the trusts under section 6901. (Apparently, collecting from Davreyn would not have been a fruitful undertaking.)

The Tax Court's opinion rehearses a long litany of cases involving the assertion of transferee liability, in which all but one case the Tax Court found in favor of the taxpayer. According to the court, "In sum, section 6901 allows the Commissioner to collect a taxpayer's unpaid tax from another person if three conditions are met. First, the taxpayer must be liable for the unpaid tax. Second, the other person must be a "transferee" within the meaning of section 6901. Third, an independent basis must exist under applicable State law or State equity principles for holding the other person liable for the taxpayer's unpaid tax."

Here, the Tax Court found missing a basis under Virginia law for imposing liability upon the trusts for the unpaid corporate tax. In doing so, it rejected a "two-step" approach advocated by the Service which would first use federal law governing substance/form to recast the transaction and then apply state law to the transaction as recast. Noting that several circuit courts have also rejected that approach, the Tax Court refused to apply it here. Significantly, the court also found that there was no credible evidence that the trusts or their legal representatives knew about any plan on the part of the purchaser to illegitimately avoid the payment of any tax on the sale of the Alcoa stock by Davreyn.

Comment: This case could prove useful to those seeking to defend section 6901 claims. It also contains a significant list of related cases. Taxpayers who relied upon professional advisors in these matters may breathe a sigh of relief from this outcome, which leaves the Service trying to collect taxes from others.

B. Notable Penalties (with some Criminal Tax Cases, too).

1. Accuracy penalty appropriate for attorney-taxpayer, *Rogers v. Commissioner*, T.C. Memo 2014-141.

In what might otherwise be an unremarkable opinion involving omitted income, disallowed deductions, and an accuracy penalty imposed on the taxpayer, this lengthy case merits attention for the following comments:

Petitioners contend that the "level of detail required of taxpayer [sic] in this process has been very abnormal even for a naked audit." However, this contention neither provides reasonable cause for petitioners' underpayment nor indicates that petitioners exercised good faith. While the IRS may have conducted a rigorous examination of petitioners' tax returns and records, the level of thoroughness of the examining agents during this process does not affect or bear upon the reporting requirements imposed by the Code. The

requirement that taxpayers lawfully report their taxable income arises long before the examination process. See sec. 6001. Petitioners' record-keeping was in disarray; they failed to report large amounts of income; and they claimed substantial deductions for which they had no proof at all and others for which their proof was gravely deficient.

Petitioners are sophisticated business people. Mr. Rogers is a highly educated attorney with more than 40 years' experience dealing in a variety of complex tax matters. He was certainly able to distinguish personal from business expenses, yet the evidence he used to substantiate their deductions show that he failed to take care to make this distinction.

Comments: Although one might question whether attorneys face a higher standard in other cases, the result in this case would likely not have changed. But even so, our people should do better. Claiming we are singled out is not going to avoid penalties when we do not have the basic records we need. (However, we can all have some sympathy for the shoemaker whose children have bare feet – weariness that comes from investing a full professional effort at the office, which may explain neglect of personal responsibilities, is a familiar feature of the human condition, no?)

2. Penalty for gross valuation misstatement not reduced for reasonable cause in post-2006 carryforward, *Chandler v. Commissioner*, 142 T.C. No. 16 (2014).

Taxpayers owned homes in an historic area of Boston designated as a National Historic Landmark District. With guidance from National Park Service, which publicized a program concerning conservation easements which may entitle owners of historic buildings to tax deductions, Taxpayers granted easements on their properties. Appraisers obtained through the National Architectural Trust (NAT) valued the easement on one home at \$191,400 and the other at \$371,250. A professional accountant prepared the returns, which due to relevant limitations required a carry-forward for the deductible amounts, resulting in deductions for the 2004-2006 tax years. On audit, the Service determined that the easements had no value because they did not meaningfully restrict their properties more than local law restricted them. At trial, the Taxpayers abandoned their original appraisals but introduced new expert testimony to support the easements.

The Tax Court did not find this expert testimony to be credible. Moreover, the court also noted that its past cases involving easements on commercial property were not transferable here, when residential property was involved. It pointed to its decision in *Kaufman* (TC Memo 2014-52), in which a similar easement on a Boston property was found to have no value.

The Service also challenged the taxpayer's basis computations with regard to computing gain on the sale of the houses during the years at issue. During the audit, taxpayers could not produce their receipts. However, at trial, the Service argued for the first time that the renovation costs had been erroneously deducted as COGS through a business owned by taxpayer. Since this was a new theory, the Service bore the burden of proof, which it could not meet. Taxpayer got some, but not all, of the claimed increase in basis from renovations.

As for penalties, the Tax Court considered a new issue in this case: when, as here, the gross valuation penalty is amended in 2006, after the valuations were made, to eliminate the

reasonable cause defense in connection with charitable contribution property, can that amendment be applied to all of the years at issue here, when the valuations occurred prior to the effective date? The statute plainly covers returns filed after July 25, 2006, which thus covered only their 2006 return. Recall, the 2006 return included a carryforward for a deduction from prior years, when the reasonable cause defense was allowed. In this situation, the Tax Court allowed a reasonable cause defense for the 2004 and 2005 returns, which predated the statutory change, but it did not allow the defense for the 2006 return. In effect, the carryforward became a subsequent assertion of the previous valuation for purposes of applying the valuation penalty.

Despite a challenge from the Service based on the fact that one of the taxpayers had a law degree and should have known better, the taxpayers were deemed to have made a good faith attempt to determine value. Unlike *Kaufmann*, where the taxpayers submitted a tax deduction claim after being told by the NAT that there would be no devaluation of their home, the taxpayers here had no basis to question the appraisals. Accuracy penalties also applied to the understated basis in connection with the sale of the house.

*Comment: The court raises an important point: a carryforward of a prior deduction is a reassertion of the validity of the prior deduction. Thus, even if the earlier year is otherwise closed, by the statute of limitations, the carryover amount generally remains subject to examination. Also note that the Service is using the taxpayer's status as a lawyer against him in asserting that he should have known better in this case. The court did not buy it, noting that "Average taxpayers would not know where to start to value a conservation easement, and even well-educated taxpayers like petitioners must rely on the opinions of professionals." (Did you also notice: the National Park Service is apparently touting tax benefits for easements while the IRS is challenging them. That combination may not contribute to trust and confidence in government.) For another case involving façade easements and the gross valuation penalty, see *Reisner v. Commissioner*, T.C. Memo 2014-230 (rejecting the taxpayer's retroactivity argument based on *Chandler*).*

3. Failure to present entire charge on good-faith defense to criminal tax evasion was harmless, *United States v. Montgomery*, 747 F.3d 303 (5th Cir. 2014).

Taxpayers were convicted in a jury trial of conspiracy to avoid federal income tax and filing false tax returns. On appeal, they challenged the conviction on the ground that the jury was improperly instructed on the elements of tax evasion because the jury was not told that a defendant's good-faith misunderstanding of tax law may be objectively unreasonable and still be a valid defense. The Fifth Circuit concluded that the jury instructions were indeed erroneous in failing to explain that a reasonable belief was not required. However, the court ultimately found that this failure was harmless because of the overwhelming evidence showing that the taxpayers intentionally underreported their income. Over the course of 3 years the taxpayers underreported over \$2.1 million of gross receipts from their business. Their accountant testified that she had advised them that they were required to report all their income, but they refused to provide her with sufficient information, causing her to withdraw from representing them. Nevertheless, they persisted in signing her name as preparer of their returns. Moreover, the taxpayers did not show that the jury instructions prevented them in any way from presenting the full breadth of their good faith defense.

Comment: A good faith belief in the legal support for one's position is a valid defense to tax evasion, and that belief need not be rational or reasonable. In fact, according to Cheek v. United States, 498 U.S. 192 (1991), a good faith misunderstanding may be objectively unreasonable. A concurring opinion suggests that no such error occurred in this case where the instructions addressed only good faith belief, without stating that this belief could be unreasonable. According to the majority, there is apparently a significant difference between unreasonable and implausible.

4. Fifth Circuit restricts substantial valuation penalty, Whitehouse Hotel LP v. Commissioner, 755 F.3d 236 (5th Cir. 2014).

After the second time through the Fifth Circuit, the taxpayer seeking a historic preservation façade easement on a building in New Orleans got a mixed result. The Fifth Circuit had previously remanded the case to the Tax Court with instructions to look again at the valuation claimed for the easement. The Tax Court grudgingly did so, after explaining to the Fifth Circuit why it was wrong to request a fool's errand. Nevertheless, the Fifth Circuit ultimately upheld the Tax Court's valuation. Among other things, the Fifth Circuit rejected a reproduction cost method for computing the valuation of the easement, as there would be no valid business reason to restore a historic structure to its historic form if it were completely destroyed.

However, the Fifth Circuit took issue with the Tax Court's approach to the gross valuation overstatement penalty under IRC § 6664(c). In this case, the statute requires a qualified appraisal and "a good faith investigation of the value of the contributed property." The Tax Court would have required the taxpayer to show more than mere reliance upon accountants and tax attorneys in order to prove a "good faith investigation" into the valuation, but the Fifth Circuit found that this would impose too high of a standard upon the taxpayer, stating in part:

Valuation of assets is a difficult task, even with the advice and counsel of accountants, consultants, and tax attorneys. It is even more complicated when, as here, the valuation is divorced from a negotiated transaction between buyer and seller. In most transactions, presumably, the final sale price is forged from competing interests. That dynamic makes the sale price a good indicator of the fair market value of a given property. Even then, that price may be altered up or down by idiosyncratic characteristics of the parties. This is not the case here. This easement was a gratuitous transfer; the PRC did not haggle over price and did not pay a final sale price.

We are particularly persuaded by Whitehouse's argument that the Commissioner, the Commissioner's expert, and the tax court all reached different conclusions.

Id. at 250. Based on the totality of the facts and circumstances, the Fifth Circuit vacated the Tax Court's enforcement of the penalty and remanded for judgment in the taxpayer's favor on that issue.

Comment: Façade easements continue to present a challenging environment for valuation. Given the transaction costs, will taxpayers find it worthwhile to go after these tax benefits? One also wonders what "a good faith investigation" requires apart from consulting a qualified appraiser. Surely a tax advisor who has worked with appraisers and has some expertise on those issues should be sufficient. Is this requirement designed to present a safeguard, such as "too good to be true", which could call into question good faith?

5. Gains, not selling price of investments, counts as gross income for purposes of applying statute of limitations for underreported income, *Barkett v. Commissioner*, 143 T.C. No. 6 (2014).

Taxpayers omitted significant amounts of gross income from their 2006 (\$630K) and 2007 (\$432K) tax returns. The IRS did not propose a deficiency until after the generally applicable three year limitations period in section 6501(a) had expired. However, it claimed that section 6501(e) extended the limitations period to six years in these circumstances because the omitted amounts exceeded 25 percent of the amount of gross income stated in the return.

The Service claimed that the taxpayers reported gross income totaling \$271K and \$341K, respectively, and that the taxpayers thus far exceeded the 25 percent threshold. However, the taxpayers claimed that these amounts understated their total gross income, which was instead reflected in the amount realized from the sale of investment assets. Since they sold investment assets during these years in the range of \$7 million in 2006 and \$4 million in 2007, the omitted items would fail to meet the 25 percent threshold if these amounts were included in gross income.

Taxpayers relied upon the fact that in *Home Concrete* (SCT 2012), the Supreme Court invalidated a portion of Treas. Reg. § 301.6501(e)-1, in which the Service treated an overstated basis as an omitted gross income item for purpose of determining whether the extended limitations period applied. Accordingly, taxpayer argued that this invalidated the entire previous approach to computing gross income, in which only gains had been included, not the entire amount realized.

The Tax Court rejected that approach, ruling that *Home Concrete* did not disrupt its prior precedents in which only the gain, not the amount realized, was included in gross income. Although the regulations do allow gross income from the sale of goods or services to be taken into account prior to any diminution by the cost of sales or services, the Court found that this regulation was inapplicable, as they sold investment assets here, not goods or services.

Comment: This was a clever leap of logic to use Home Concrete in this way, but it was too clever by half. The rule in the case of goods or services is curiously taxpayer friendly, however, in that it does seem to expand the denominator above what might otherwise be considered.

6. R-E-S-P-E-C-T!, *Jones v. Commissioner*, T.C. Memo 2014-101.

Taxpayer petitioned the tax court in connection with deficiencies assessed for nine tax years. The Service alleged that taxpayers had significant income, including income from owning two seats on the NY Mercantile Exchange, which taxpayer did not report. In several years, he did not file returns at all. The Service also assessed penalties, including civil fraud penalties. The case was set for trial, but taxpayer did not appear.

The Tax Court ordered taxpayer to show cause why the case should not be dismissed for default, and taxpayer filed a response and a supplemental response, in which “he advanced only frivolous and meritless claims.” Not only did the Tax Court sustain the deficiencies, it also sustained the civil fraud penalties for failure to file returns as well as penalties for failure to pay taxes on a timely basis. Furthermore, it imposed the maximum penalty of \$25,000 for each of the consolidated cases, finding that the taxpayer’s reliance upon “tax-protester rhetoric that has

been universally rejected by this and other courts” had “wasted the Court’s and the [Service’s] limited resources and deserves a substantial penalty.”

Comment: \$225K is a steep penalty. This fellow would have done well to default and say nothing more. Or buy an ad in the newspaper to speak his mind – maybe the whole newspaper! Query whether that penalty is proportionate to the value of the government’s time spent to assess these taxes. Should there be a cap of some kind? Disrespect can be costly, indeed. In another “bad acts” case, the Tax Court imposed a \$5,000 civil penalty against Taxpayer asserting the frivolous argument that he should not have to pay a deficiency because the “IRS was never ratified by Congress”. See Kurka v. Commissioner, T.C. Memo. 2014-96. See also Rader v. Commissioner, 143 T.C. No. 19 (2014)(imposing \$10K penalty for maintaining frivolous arguments with an intent to delay).

7. A warning this time, Haag v. Commissioner, T.C. Memo 2014-11.

Taxpayer had litigated and lost innocent spouse claims in several prior forums, some of which were affirmed by the First Circuit. But she tried again before the Tax Court, which ruled that her claim was barred by res judicata. The Service sought sanctions under section 6673, but the court refused, stating in part: “This is not because the facts and law do not support the motions. Rather, the Court chooses to give petitioner and petitioner’s counsel a warning before imposing these sanctions. While the record supports such sanctions, the Court is circumspect about imposing them without a warning to the parties. Now that such a warning has been issued, the Court expects that petitioner and/or counsel will not continue to engage in efforts to relitigate a settled case.”

Comment: Query whether this is a policy that will be followed consistently in penalty cases invoking section 6673. For another case in which a professional tax protestor avoided a section 6673 penalty because it was the first time he petitioned the court, see Kernan v. Commissioner, T.C. Memo 2014-228 (noting that caution is required in imposing these penalties because “the doors of our courts must always remain open to persons seeking in good faith to invoke the protection of the law.”) (Citation omitted)). In Kernan, the taxpayer’s brief of 88 pages was also stricken, as the court found that it could be summarized in one sentence, i.e., that he did not have to file tax returns unless he received specific notification from the government. As the court noted, unlike other litigants, this taxpayer exceeded the page limits imposed by the least creative way of all: he just ignored them.

C. Innocent Spouse.

1. Knowledge precludes innocence, Work v. Commissioner, T.C. Memo 2014-190.

Husband sought innocent spouse relief from tax liabilities attributed to understatements upon their joint returns by his wife. Husband had technical degrees, including a bachelor’s in engineering management and an MBA in operations and systems. But this did not include economics, finance, or accounting. Wife sold real estate and engaged in other business activities. Each had their own checking account, and although the couple also maintained a joint account, Husband did not write checks on it or manage it.

Each year, they prepared their returns as follows: Husband would enter his W-2 information in their tax software, along with amounts that they received for interest, dividends, and itemized deductions. He then relied upon Wife to complete the return with her information. He never reviewed the return before the Wife submitted it, although she gave him a copy to file. Any amount due was to be paid from Husband's account, while any refund was deposited into their joint account.

Suffice it to say that Wife did not prepare her part of the return accurately. This included some items from an S corporation which was jointly owned with Husband. When audited, she also filled out Form 12508, stating that she did not want her husband to be jointly liable for her mistakes. Taxpayers were still married and living together at this time.

In order to qualify for innocent spouse relief under section 6015(b), the following conditions must be satisfied: "(A) a joint return was filed for the taxable year; (B) there is an understatement of tax attributable to an erroneous item of the nonrequesting spouse; (C) the requesting spouse establishes that in signing the return he or she did not know, and had no reason to know, of the understatement; (D) it is inequitable to hold the requesting spouse liable for the deficiency attributable to the understatement; and (E) the requesting spouse timely elects"

According to the Tax Court, the Husband failed item (C), above, in that he had a reason to know of an understatement based on his failure to inquire about the deductions his wife entered into the return. First, "although he did not pursue a degree in accounting, economics, or finance, he is highly educated." Second, although Husband claimed he could not verify his wife's finances because they were tracked on a password-protected computer, the court found he could have accessed accounts for their jointly owned corporation and their joint account, as well as the supporting documents provided to him for filing. Husband also claimed that his wife has "a temper", but to no avail.

As taxpayers remained married and living together, relief under section 6015(c) was not applicable. And further, the court rejected equitable relief under 6015(f) in these circumstances. Although the Husband met all the threshold conditions specified in Rev. Proc. 2013-34, § 4.01, the multi-factor analysis required under the Rev. Proc. (and not a streamlined analysis) was necessary here because they remained married. Husband could not satisfy those factors here, as five factors were neutral and two were against relief (i.e., they were still married and he had knowledge based on his failure to inquire).

Comment: The analysis in this case suggests that Husband still might not have obtained relief if the couple had divorced, in that Taxpayer did not provide evidence of economic hardship and his knowledge would also have proven problematic in those circumstances. For a case in which a lack of knowledge proved helpful, consider Varela v. Commissioner, T.C. Memo 2014-222, where relief was granted from the husband's independent actions about which wife neither knew nor had reason to know due to separating their finances prior to divorce.

2. Equitable relief granted due to retirement account withdrawals, Molinet v. Commissioner, T.C. Memo 2014-109.

In the final year of the couple's marriage, Husband withdrew substantial funds from his retirement account. He used the funds to pay off a mortgage on their home in Maryland and to

acquire a new home in Florida, where they had moved to address her health issues associated with the cold northern climate. She had previously emigrated from Cuba, and she continued to suffer from health issues after the move.

Wife disagreed with the withdrawals, but she thought she had no basis to prevent them. Moreover, she believed the couple had the wherewithal to pay the taxes due. The couple divorced soon thereafter, and the divorce court assigned the tax debt associated with the withdrawal to Husband. He did not pay it, and Wife petitioned for innocent spouse relief. The Tax Court granted equitable relief under section 6015(f), despite a lack of showing economic hardship to Wife in these circumstances. On balance, the equities favored the spouse here.

3. No equitable relief for retirement account withdrawals, Hammernik v. Commissioner, T.C. Memo 2014-170.

A married couple obtained a distribution from the Husband's retirement account after Husband's business fell on hard times. They reported this distribution as taxable income, but did not pay the tax with their return. A divorce ensued later that year, and both parties were held equally responsible for the tax debt in the divorce decree. Despite the fact that the distribution came from his account, Husband sought innocent spouse relief under section 6015(f).

Husband could not otherwise meet the threshold determinations in Rev. Proc. 2013-34, as the income was attributable to the Husband's own retirement account. However, an exception is available when the nonrequesting spouse had misappropriated funds. Husband asserted that Wife absconded with the funds he had reserved for payment of the taxes due. However, those funds were in a joint account, and he had known that Wife was withdrawing funds, some of which was apparently in response to withdrawals by Husband. He thus failed to prove that money was actually set aside for taxes in this case.

Comment: This case provides an interesting comparison with Molinet, in which the spouse was more likely innocent and deserving of relief. Family law practitioners take note: a divorce court's assignment of liability to one of the spouses does not bind the Government. Securing that payment or otherwise establishing the likelihood of innocent spouse protection seems a prudent course when facing these issues. And of course, separate returns may be a good idea where trust issues are present.

4. Husband should have known better, Hall v. Commissioner, T.C. Memo 2014-171.

Husband was an ophthalmologist and Wife was an attorney. In 2006, they were convicted for willful failure to file tax returns for the 1999-2001 tax years. They were each sentenced to 12 months in prison, another year of supervised release, and fined \$20K. They incurred professional fees for the lawyers who represented them, along with forensic accounting fees to properly determine their tax liability. These items were deducted on Schedule C in their 2006 return, which was filed in May 2007 along with returns for 2004 and 2005. The couple's returns were audited and they received a notice of deficiency challenging the tax treatment of these fees, which were reclassified as itemized deductions on schedule A, as well as other evidence of business expenses incurred by Wife in her business. (The couple also received a late filing penalty, in which the court dismissed their arguments for extension based on their prior criminal tax case to be "nonsensical.")

On the attorney fees and forensic fees, the court ruled that Taxpayers failed to prove the fees were in fact attributable to their separate businesses, rather than for their own defense. Although Taxpayers apparently sought to use *Lohrke* (see part II.D.2., above) to argue that the expenses were for the purpose of protecting their businesses, the court rejected this approach. Here, the purpose of the expenditure was to address criminal liability for failure to file tax returns – and that primarily benefitted them as individuals. Moreover, it did not arise in the business activities of their respective professional practices. (Some confusion here arises because Husband actually conducted his business as an S corporation, which he wholly owned. It is not clear how that was reported on the return.)

Finally, Husband sought innocent spouse relief, which was not granted. He claimed that Wife prepared the returns, and he did not review them. But the court noted, willful blindness does not count as a lack of knowledge. Even after Wife's return preparation (or lack thereof) put them both in jail, Husband persisted in not taking responsibility for filing the returns. Wife died during the pendency of the proceedings, but the couple was married when the returns were filed and they continued to file joint returns. The court found there was no evidence that the joint return results were the product of concealment, overreaching, or other wrongdoing by Wife, and that the errors which affected only the Wife were ones which Husband should not have known about in these circumstances. Even a full analysis of equitable relief under section 6015(f) could not help Husband in this case.

5. Innocent spouse relief granted based in part on marital settlement, *Demeter v. Commissioner*, T.C. Memo 2014-238.

Taxpayer and her then-husband filed joint tax returns for 2004-2006 in December 2007, after the due date, which showed tax payments due for each year. Taxpayer was a stay-at-home mom, and her husband was a contractor. The contracting business went south in 2008 (even though they lived in Florida), and the couple fell on hard times. They filed for divorce and for bankruptcy protection. Pursuant to the marital property settlement in 2009, Husband agreed to pay alimony, child support, fees, and all tax debts due. But Husband failed to meet his obligations under the settlement agreement, including the payment of tax debts. Taxpayer sued him to collect in 2010, after which Husband signed an innocent spouse affidavit in support of Taxpayer's claim, in which he reaffirmed his duty to pay back taxes.

Thereafter, Taxpayer found herself in penury and want, surviving on food stamps and the generosity of a boyfriend who pays the rent and utilities for her and her two minor children. After the Service rejected her innocent spouse claim, she filed a petition in the Tax Court. Husband then sought to intervene, claiming that he signed the original affidavit for relief under duress. However, the Tax Court granted relief under 6015(f), finding that although she had knowledge of Husband's difficulties in paying the taxes due, which counsels against relief, she did not know that he would not pay the amount due, as negotiated in the settlement agreement. On balance, the multiple factors considered in this context favored relief.

Comment: This case shows how marital settlement agreements can be helpful in generating relief for an innocent spouse. Even though that spouse might be aware of financial difficulties, a good faith negotiation between the former spouses appears to be given some weight in assigning the obligation to the former spouse. Compare Johnson v. Commissioner, T.C. Memo 2014-240, in

which the spouses divided tax liability associated with wife's sale of her dental practice. When wife sought relief, Husband (who paid his half) intervened, and the Tax Court refused relief. In that case, wife was earning income and child support, and after all, it was her practice that generated the bulk of the unpaid tax liability.

D. Other Notable Cases.

1. Corporations formed through statutory mergers are the "same taxpayer" for purposes of computing interest netting for over/underpayments in refund claims, Wells Fargo & Co. v. United States, 117 Fed. Cl. 30 (2014).

In this case of first impression, the Court of Federal Claims ruled that, following Wells Fargo's statutory mergers with other banks, it was the "same taxpayer" for purposes of netting the interest under section 6621(d). The court rejected the Government's argument that the "same taxpayer" would have to have the same taxpayer identification number at the time of the payment in order to engage in netting, agreeing instead that the plaintiff's approach better supported the remedial purpose that Congress intended for section 6601(d). The TIN was not determinative of the legal status for the taxpayer, as the non-surviving corporation discards its TIN. The merged identity of the two formerly separate corporations, which happens by operation of law, is also consistent with the plaintiff's "same taxpayer" approach. Moreover, the code and regulations under section 368, as well as IRS positions in other tax areas, also reflect this assumption of assets and liabilities as a consequence of merger, which supports the plaintiff's treatment.

Common: Even in the current low interest environment, the difference between large corporate overpayments (.5%) and large corporate underpayments (5%) is still very large. Netting to zero is clearly a taxpayer-friendly activity. Note that this opinion was amended in October – see 2014 WL 5318260 (Oct. 20, 2014).

2. Inherited IRAs are not "retirement funds" exempt from creditors' claims in bankruptcy, Clark v. Rameker, 134 S.Ct. 2242 (2014).

The Supreme Court has resolved a circuit split on the issue of whether an inherited IRA qualifies as retirement funds for purposes of the exemption in 11 U.S.C. § 522(b)(3)(c) of the Bankruptcy Code. Relying upon the ordinary meaning of "retirement funds", the SCT held that an inherited IRA does not meet that definition. First, unlike other retirement accounts, holders of an inherited IRA may not make additional investments, are required to withdraw funds regardless of retirement age, and face no penalties for such withdrawals. Moreover, this approach is also consistent with the purpose of an IRA exemption, which is designed to meet basic needs during retirement, in contrast to an inherited IRA which may be used for any purpose.

Comment: Estate planners should take note of this decision and the implications for inherited assets.

3. Tax debt is nondischargeable due to willful evasion of taxes, In re Vaughn, 765 F.3d 1174 (10th Cir. 2014).

Taxpayer engaged in a BLIPS transaction in 1999 under the advice of KPMG. In Taxpayer's case, he used those losses to offset significant gains from the sale of stock in the

company in which he served as CEO. After filing his 1999 tax return, the IRS issued Notice 2000-44, which did not name the BLIPS transaction specifically but generally addressed similar transactions which used partnership interests and debt to generate putative losses. KPMG informed their client about the notice in February 2001.

In March 2001, Taxpayer separated from his first wife, and they divorced later that year. A division of the marital property ensued, leaving Taxpayer with roughly half of their assets, including investment accounts valued at around \$9 million. By October 2001, he had married a second wife, who had a child.

In February 2002, KPMG representatives informed Taxpayer that he would likely be identified by the IRS as a BLIPS participant and subject to audit. They advised him to participate in a settlement initiative. Before submitting a voluntary disclosure to the IRS, Taxpayer transferred funds to a trust for his stepdaughter. He had also purchased a home for his second wife, which was titled in her name only. By May 2002, the IRS notified him that he was under audit, and that the BLIPS transaction was targeted.

Meanwhile, Taxpayer and his second wife “spent money in large amounts” during 2001-2003. They ultimately divorced and his second wife received more than half the couple’s assets, leaving Taxpayer with a net worth of less than \$4 million. By this time, the tax deficiencies from the BLIPs deal were coming due. Although a settlement program had been announced in 2004, Taxpayer was not able to participate because he lacked the resources to pay the tax due. Instead, Taxpayer faced a deficiency of \$8.6 million in June 2004, which with other adjustments and interest totaled more than \$14 million in 2006. After having tried and failed to obtain innocent spouse relief(!), Taxpayer filed for bankruptcy protection and sought to declare these tax debts to be dischargeable. However the Bankruptcy Court found that this debt was not dischargeable as he had filed a fraudulent return and willfully evaded taxes, which were two independent grounds for nondischargeability under 11 U.S.C. § 523(a)(1)(C).

The federal district court agreed on the matter of willful evasion, and the Tenth Circuit upheld that finding. The record supports the finding that the debtor’s actions were done voluntarily and intentionally in violation of his duty to pay the taxes due. In this regard, the fact that the taxes had not yet been assessed at the time that some of the actions which dissipated his estate had occurred did not bar a finding of willfulness. “[A]ctions taking with knowledge of an anticipated tax obligation can be considered willful, rather than negligent, thus rendering tax debts non-dischargeable in bankruptcy.” Taxpayer’s reliance upon KPMG did not prevent a willfulness finding here, as the court found that any assertion of innocent reliance was “simply not credible.” Moreover, even though similar facts might support a negligent underpayment penalty, see *Blum v. Commissioner*, 737 F.3d 1303 (10th Cir.2013), that does not mean that the associated conduct will not also be willful for bankruptcy purposes.

Comment: The willfulness standard for nondischargeability applied in this case should cause taxpayers to take notice. You may not dissipate your estate when you know that additional tax may be asserted against you. Whether a suspicion rises to the point of knowledge will undoubtedly be a topic for future litigation. And for those engaged in family law, wouldn’t a

separate tax return have been a good idea for the first (and second) Mrs. Vaughn? Will the second Mrs. Vaughn be a target for transferee liability?

4. Failure to plead statute of limitations in Tax Court petition causes waiver, *Bruce v. Commissioner*, T.C. Memo 2014-178.

Taxpayer was a tugboat captain who was induced to participate in a transaction that was later determined to be a tax shelter. Fortunately, the taxpayer was able to avoid penalties due to reasonable cause and good faith reliance upon the advice of counsel. Unfortunately, his trial counsel failed to include a statute of limitations defense in Taxpayer's petition to the Tax Court when he contested the penalty and deficiency proposed on audit. As the court pointed out, Rule 39 requires that a statute of limitations defense be alleged in the petition. Although the court may exercise discretion to consider an issue that is not timely raised, raising this issue for the first time on the brief unfairly prejudices the Service. Here, counsel for the Service claimed that the limitations period was extended, but he did not enter that evidence into the record because the statute was not raised as a defense.

Taxpayer also unsuccessfully claimed a deduction for legal fees in connection with entering into the tax shelter transaction, which was disallowed because the fees were not shown to be ordinary and necessary business expenses, as well as because fees for a sham transaction are disallowed.

Comment: This case is particularly useful for its factual discussion of the reasonable cause and good faith defense to penalties. Here, the court found that "it was objectively reasonable for [Taxpayer] to rely on [his attorney's] advice, even though we conclude that the advice was wrong".

5. Tax court rejects IRS attempt to resist taxpayer use of "predictive coding" in electronic discovery response, *Dynamo Holdings Ltd. Partnership v. Commissioner*, 143 T.C. No. 9 (2014).

In this case of first impression, the taxpayer sought to use a "predictive coding" response to an e-discovery request by the Service. The Service resisted this approach as an "unproven technology", preferring instead a human review by the Taxpayer, which would be more expensive. The Tax Court disagreed with the Service's assessment, revising both literature and precedents in other jurisdictions which supported its use, stating in part: "Where, as here, petitioners reasonably request to use predictive coding to conserve time and expense, and represent to the Court that they will retain electronic discovery experts to meet with respondent's counsel or his experts to conduct a search acceptable to respondent, we see no reason petitioners should not be allowed to use predictive coding to respond to respondent's discovery request."

Comment: Research indicates that predictive coding done properly can be more effective than human review. That is good for statisticians and technically adept; not so good for employment of young lawyers who used to be able to learn a few things while performing discovery review functions.

6. Presidential removal provision does not violate separation of powers, *Kuretski v. Commissioner*, 755 F.3d 929 (D.C. Cir. 2014), cert filed, Nov. 26, 2014.

Taxpayers owed \$22K in federal income taxes for the 2007 tax year, which the Service assessed and attempted to collect by a levy on their home. Taxpayers unsuccessfully challenged the levy in the Tax Court (TC Memo 2012-262), and then appealed to the D.C. Circuit, challenging, among other things, a potential risk of bias from the Tax Court judge because IRC § 7443(f) permits the president to remove Tax Court judges on grounds of “inefficiency, neglect of duty, or malfeasance in office.” Taxpayers argue that this violates separation of powers. The D.C. Circuit rejected this argument, finding that the removal of a tax court judge occurs within the Executive Branch, not between the Executive and Judicial Branches. After rehearsing the history of the genesis of the Tax Court, the Circuit Court noted that the Tax Court is an Article I court, not an Article III court. Although the Court agreed that the taxpayers had standing to challenge the statute in this case, it concluded that the Taxpayers’ theory is based on a false premise, i.e., that the Tax Court exercises judicial power under Article III, not as an Article I court. The so-called “public rights” doctrine permits matters of internal revenue and taxation to be resolved by non-Article III tribunals, and Congress intended as much by forming the Tax Court.

Comment: You have to give these taxpayers credit for trying an innovative theory. The case provides interesting reading for those who want to understand the nuances of the judicial power, including judicial bodies created by the Congress and operating within the Executive branch. (There are more of these than you might think!)

IV. Administrative Practice

1. A little more Loving means less regulation by the IRS, *Loving v. Internal Revenue Service*, 742 F.3d 1013 (D.C. Cir. 2014) & *Ridgely v. Lew* (D.D.C. 2014).

In *Loving*, the D.C. Circuit has affirmed the district court ruling that enjoined the IRS from administering its regulations requiring return preparers to pass a competency test and complete continuing education requirements before obtaining a preparer tax identification number. According to the court, this function of regulating return preparers did not fall within the accepted ambit of authority to regulate those engaged in representing taxpayers before the IRS.

Following this case, the IRS Office of Professional Responsibility determined that those suspended or disbarred as a result of disciplinary actions are thus not restricted from return preparation for compensation. However, the IRS has also announced a voluntary “Annual Filing Season Program” that allows individuals who are not attorneys, CPAs, or Enrolled Agents to represent persons before the IRS. See Rev. Proc. 2014-42, 2014-29 IRB 192.

Furthermore, a CPA has used the case to successfully challenge the IRS rule proscribing contingent fees for preparing and filing ordinary refund claims. See *Ridgely v. Lew*, 2014 WL 3506888 (D.D.C. July 16, 2014).

Comment: These regulations were well- intended, but they must rest on sound legal authority. The court got it right. There are significant problems with faulty service provided to taxpayers, and additional legislation has been considered. See Joint Committee on Taxation, Present Law and Background Related to the Regulation of Conduct of Paid Tax Return Preparers (JCX-34-14), April 4, 2014 (2014 WL 1374837). Query whether private ordering and marketplace signals, coupled perhaps with refinements to penalty regimes, may provide an alternative approach. For one approach, see Afield, A Market for Tax Compliance, 62 Clev. St. L. Rev. 315 (2014). And will fees for PTINs be upheld? They are currently being challenged in the federal district court in D.C., according to a recent online report in the Journal of Accountancy.

2. Amendments to Circular 230, T.D. 9668 (effective June 12, 2014).

The final regulations affecting practice before the IRS have been modified, with the outcomes being generally along the lines proposed in 2012. Among other things, the new guidance abandons the covered opinion rules in former § 10.35, which the Treasury recognized were costly and burdensome, in some cases even discouraging written advice. The new written advice requirements in section 10.37 are oriented toward practical and flexible principles rather than detailed rules, requiring among other things that advice be founded on reasonable factual and legal assumptions and consider all relevant facts. However, the extent to which facts are described in written advice is a matter for judgment depending on the scope of engagement and type and specificity of that advice. The preamble also clarifies the Treasury's intention to eliminate the Circular 230 disclaimers in e-mail and other writings as a consequence of eliminating the covered opinion rules. However, that is not to say that an appropriate statement describing reasonable and accurate limitations on advice may not still be prudent in some circumstances.

Comment: This development is worthy of its own program to further explain the new rules, which are more extensive than the above summary of highlights.

3. Guidance on virtual currencies, Notice 2014-21, 2014-16 IRB 938.

As virtual currency has become more commonplace, the Service has provided limited guidance as to "how existing general tax principles apply to transactions using virtual currency". Using Q&A format, this notice takes the position that virtual currencies like Bitcoin are to be treated as property, rather than a foreign currency, thus avoiding foreign currency gain or loss rules. Thus, exchanging bitcoin for goods potentially generates a gain or loss. Those who "mine" bitcoin also realize gross income when they receive the virtual currency. Payments made using bitcoin also fall within information reporting rules, including 1099-MISC, and intermediaries must follow the reporting rules for 1099-K.

Comment: This guidance is a good start, but there are many other unresolved issues. For example, should a holder of a bitcoin wallet disclose this as a foreign bank account? If it's property, not currency, then the answer is no. But given the penalty risks for FBAR violations, more guidance would be nice. For an interesting website by Professor Annette Nellen covering these topics, see http://www.21stcenturytaxation.com/Virtual_Currency_Tax.html.

4. Whistleblower entitled to Tax Court review when providing information to IRS before and after effective date of section 7623(b), Whistleblower 11332-13W v. Commissioner, 142 T.C. No. 21 (2014).

Whistleblower provided information about a tax fraud scheme involving his employer and related entities. Some of the information was provided in early 2006, prior to the December 20, 2006, effective date of amendments to section 7623(b) which permit a stated percentage award for productive whistleblower information, ranging from 15% to as much as 30% of the collected proceeds. The Service awarded a discretionary amount, but refused to award under section 7623(b) (presumably a greater amount). Whistleblower brought suit in the Tax Court, and the Service moved to dismiss for lack of jurisdiction.

In this case of first impression, the Tax Court ruled that it had jurisdiction over these circumstances, in which information both preceded and followed the 2006 amendments to section 7623. In this case, the whistleblower provided specific evidence to the IRS and DOJ after 2006, and his assistance jeopardized the safety of his family. See *Whistleblower 11332-13W v. Commissioner*, T.C. Memo 2014-92. These allegations are sufficient to state a claim that the whistleblower qualifies under section 7623(b), and thus the court has exclusive jurisdiction over the merits of that claim.

Comment: The Whistleblower awards program seems to be generating results. According to a report to Congress for FY 2013, awards paid out in FY 2012 and FY 2013 totaled over \$125 million and \$53 million, respectively, up sharply from only \$8 million in FY2011. See http://www.irs.gov/pub/whistleblower/Whistleblower_Annual_report_FY_13_3_7_14_52549.pdf Readers should also note that the IRS promulgated final regulations governing whistleblower claims this past August. See T.D. 9687, 79 Fed. Reg. 47246 (Aug. 12, 2014).

5. Letter rejecting whistleblower award was a determination for purposes of conferring jurisdiction on Tax Court, Comparini v. Commissioner, 143 T.C. No. 14 (2014).

Petitioners (husband and wife) each submitted information to the IRS along with a whistleblower claim on Form 211 dated January 11, 2012. The Service treated the information as four separate claims, and attributed two claims to each spouse. In identical letters dated in November 2012, the Service stated that they considered their application for an award, but the information provided did not result in the collection of any proceeds. Therefore, the award was denied. In January 2013, the Petitioners again sent a letter submitting additional information and making additional claims. The Service responded with another letter in February 2013, which stated in part that they had considered their additional information, the claim still does not qualify for an award, their determination (i.e., rejecting an award) remains the same regardless of additional information, and that they are closing the claim.

Taxpayers then filed a petition in the Tax Court within 30 days following the February letter. At issue is whether that letter was a “determination” for purposes of section 7623(b)(4), which confers jurisdiction on the Tax Court for review. According to the Tax Court, the letter could indeed be treated as a determination, as it contained a statement on the merits and suggested no further administrative procedures would be available. However, that raised the question of whether the earlier letters were also determinations, such that the petition would then be untimely. The Tax Court ruled that the grant of jurisdiction here, which refers to “any”

determination, allowed review despite the fact that they had received prior letters as well. If the rule were otherwise, the “Commissioner could frustrate judicial review by issuing ambiguous denials that did not seem to be, but were, determinations.”

Comment: Concurring opinions in this case raise an alternative basis for jurisdiction rooted in the newness or significance of the additional materials sent – but the majority viewed this as opening up the process for uncertainty and abuse. Nevertheless, the concurring opinion helps to contextualize the problem of when judicial review is appropriate. The case is an important read for those who are counseling whistleblowers, as your ticket to judicial review has a short 30-day window at stake in a process that may well involve repeated encounters with new information.

6. No jurisdiction to vacate final Tax Court judgment, *Snow v. Commissioner*, 142 T.C. No. 23 (2014)

Taxpayers brought a motion to vacate a Tax Court decision in 1996, which had ruled that the taxpayer’s petition was to be dismissed for lack of jurisdiction. That decision had been preceded by a report of a Special Trial Judge granting the taxpayer’s motion to dismiss on the basis that notices of deficiency were invalid. However, the regular judge assigned to the case did not follow that report, but ruled instead that the notices were valid but the petitions were untimely. Pursuant to the applicable statutes, that ruling became final in 1997.

Prior to 2005, the Tax Court’s practice was to treat a report of a special trial judge as an internal document, which was not made available to the parties. However, in *Ballard*, the Supreme Court ruled that the parties were entitled to have access to the initial report in making a decision to appeal. The Tax Court changed its practices, and eventually it served the original report of the Special Trial Judge on the parties by an order dated August 19, 2005. When the Taxpayers acquired new counsel, that counsel filed a motion to vacate the original judgment in 2013.

After rehearsing the rules for vacating a ruling that had otherwise become final, the Tax Court found that the narrow exception to finality involving fraud upon the court had no bearing here. After an order has become final, even the Supreme Court has ruled that it lacked jurisdiction over an appeal. And when there is no jurisdiction, that lack of jurisdiction even trumps equity considerations. Further, although FRCP 60 allows relief from a judgment that is void, this was not the case here. The Tax Court has jurisdiction to determine whether it has jurisdiction, and thus no adverse decision could be treated as void. Even if another reason existed, the Taxpayer failed to file his motion within a “reasonable time” as required by the rule.

Comment: While the factual context of this decision seems rather narrow, the case discussion may be helpful to those pondering how to catch the horse that has done left the barn. Catching that horse looks like an exceedingly difficult feat, indeed.

7. No jurisdiction over levy when request for hearing fails to raise issues that could justify relief, *Buczek v. Commissioner*, 143 T.C. No. 16 (2014).

Taxpayer filed a petition for review of a determination by the Appeals office to proceed with a levy to collect unpaid taxes for 2009. That determination letter states that, under section 6330(g), Appeals was disregarding the Taxpayer’s hearing request because his disagreement is either a position identified as frivolous or otherwise to delay or impede administration of the tax

laws. Taxpayer argued that *Thornberry v. Commissioner*, 136 T.C. 356 (2011), in which the IRS held that the court had jurisdiction to determine whether a position was frivolous, required the court to take jurisdiction in this case. The Service argued that *Thornberry* was wrongly decided and that it effectively eviscerates section 6330(g).

The Tax Court charted a middle ground, declining to overturn *Thornberry*, which the court clarified involved a mixture of improper and proper requests. The taxpayer's request for a hearing in that case had raised proper issues set forth elsewhere in section 6330. Section 6330(g) only deprives the court of jurisdiction to review frivolous portions of a request for hearing, which may be treated "as if it were never submitted". Here, the Taxpayer's request "does not challenge the appropriateness of the collection action, offer or request any collection alternatives, challenge the existence or amount of the underlying tax liability, or raise any spousal defenses." Neither does it raise legitimate issues by implication. Without raising any legitimate issues to include in an administrative hearing, the court found that there was no genuine request for a hearing. Appeals could thus treat the hearing request as if it had never been submitted. Unlike a situation where a portion of the claim may have been frivolous, thus allowing review of the determination of frivolity, there is no jurisdiction in this case as there was no claim in the first place!

Comment: How is that for an existential parsing of the situation! Nevertheless, taxpayer may be glad that there was no civil penalty under section 6702 on account of frivolous issues. See Kurka v. Commissioner, T.C. Memo 2014-96, noted in this case.

V. Partnerships.

Comment: Partnerships continue to grow in popularity. 2011 tax year data shows more than \$3 million returns, covering 24 million partners, and \$6 trillion in receipts, with total income of nearly \$1 trillion. LLCs made up 64.3 percent of entities filing partnership returns. See Partnership Returns, 2011, at <http://www.irs.gov/pub/irs-soi/2011PartnershipsReturnsOneSheet.pdf>.

1. Undistributed partnership income allocations recognized by transferor when attributable to a nonvested capital interest in the partnership, *Crescent Holdings LLC v. Commissioner*, 141 T.C. No. 15 (2013).

Taxpayer was an officer in Crescent Resources, a Georgia limited liability company that developed and managed real estate projects. In 2006, Crescent Resources was sold to a group of investors, including various entities owned by the Morgan Stanley investment firm. The assets were reformed into a new LLC, Crescent Holdings, which was classified as a partnership for federal income tax purposes. Taxpayer ultimately became a 2% owner in Crescent Holdings. However, an employment agreement concurrently restricted this membership interest in Crescent Holdings subject to section 83 of the Code. Taxpayer's interest would terminate if his employment terminated within 3 years of forming Crescent Holdings, and the interest was nontransferable until that restriction lapsed. However, the employment agreement also stated that taxpayer would be entitled to the same distributions as other holders of membership interests, and those distributions were not subject to forfeiture.

On April 17, 2007, Crescent holdings filed its partnership tax returns including a K-1 to taxpayer that allocated \$423,611 of ordinary business income to him. He received no cash distributions during the 2006 tax year. He expressed surprise about this K-1, but he was told that the other owners (including, apparently, his employer) did not want to file amended schedules and the matter would be corrected the next tax year. Taxpayer reported this income on his 2006 tax return, believing the matter would ultimately be resolved. However, he continued to receive a K-1 for the 2007 tax year reflecting \$3.6 million in income with no distribution, about which he complained without result. He also dutifully included this income on his 2007 return.

In 2008, he reached an agreement whereby Crescent Resources paid him \$1.9 million to cover his prior income tax payments on the income allocated to him. He received another \$.5 million in 2009 to cover taxes for the 2008 income allocation. Unfortunately, Crescent Holdings' financial condition began to deteriorate and it filed for bankruptcy. Taxpayer proceeded to resign his employment, causing him to forfeit his interest in Crescent Holdings. Crescent Holdings then proceeded to seek a clawback from the Taxpayer for the amounts paid to him to cover his tax liabilities, arguing in bankruptcy court that the termination of his interest "negat[ed] his income tax liability arising out of the forfeited interest." Creditors joined in the fray, seeking their share of Taxpayer's money. Taxpayer agreed to pay them \$600K, then to file amended returns and pay them more when he received a refund.

Meanwhile, the IRS issued a FPAA to the tax matters partner of Crescent Holdings, substantially increasing its ordinary income for 2006 and decreasing it by a lesser amount for 2007, while also alleging that Taxpayer was a partner during these years. A tax court petition ensued, in which Taxpayer argued that his unvested capital interest in the partnership was to be governed by section 83 of the Code, and thus no profit of the loss should be allocated during the years at issue because he is not the owner of the interest. Apparently, the IRS agreed that Taxpayer was not a partner after the petition was filed. However, intervenors contended that either Rev. Proc. 93-27 governs this matter (in which case Taxpayer must recognize the income associated with a profits interest in the partnership), or alternatively, his receipt of a capital interest for services is governed by Treas. Reg. 1.721-1, which denies him the benefit of nonrecognition treatment upon the receipt of an interest for services but leaves open the question of timing for recognizing that income.

The Tax Court was thus faced with the task of untangling this web of related rulings, adding Rev. Proc. 2001-43, which clarifies that whether a partnership interest is capital or profits is determined at the time he receives the interest. Looking to the terms of the partnership agreement, the Tax court ultimately concluded that Taxpayer would have been entitled to a share of the proceeds from a liquidation of Crescent holdings at the time it was formed. Accordingly, this was a capital interest, not a profits interest.

The dispute then turned upon whether regulations under section 83 applied to the outcome. Significantly, Treas. Reg. § 1.721-1 treats the recipient of a capital interest in exchange for services as receiving gross income, but it is silent as to who the owner of that interest should be if there are substantial restrictions on the right to dispose of that interest. In

contrast, Treas. Reg. § 1.83-1 states that the transferor remains the owner of property until that property becomes substantially vested in the transferee partners.

The Tax Court rejected the intervenor's attempts to use legislative history to restrict the scope of section 83 to something other than partnership. Instead, the court found that the language of section 83 was clear in applying to property; since a partnership interest is property, section 83 applies here. Moreover, it does not conflict with section 721, but instead can be harmonized by treating section 721 as a nonrecognition provision and section 83 as a timing provision. Consequently, no income allocations to Taxpayer were proper as he was never the owner of the partnership interest, nor any of the related allocations of undistributed income.

Comment: This case of first impression over the relationship between section 83 and 721 resolves the question based on statutory language, rejecting an attempt to use legislative history to narrow that language. It is curious that the IRS seems to have switched sides in this case – presumably they like the idea of collecting from the transferors (who have capital) rather than the transferee (who may only have his labor and may never get the capital to pay the tax)! Taxpayer will likely get a refund of taxes paid and have to pay back the tax-related distributions to the bankruptcy estate. Hopefully the statute of limitations for seeking a refund in those years is still open! But query, what about the cash payments to the taxpayer – are those taxable? And will they be deductible if and when he repays them?

2. Proposed regulations regarding section 752, REG-136984-12, 78 Fed. Reg. 76092 (Dec. 13, 2013).

These proposed changes affecting the complexities of the allocation of partnership debt have generated extensive comments from the ABA Tax Section. See <http://www.americanbar.org/content/dam/aba/administrative/taxation/policy/090214comments.authcheckdam.pdf> (September 2, 2014).

3. Proposed regulations under sections 752 and 707 regarding disguised sales, 79 Fed. Reg. 4826 (Jan. 29, 2014).

These proposed changes involving complexities in the areas of debt allocations and disguised sales also generated extensive comments from the ABA Tax Section. See <http://www.americanbar.org/content/dam/aba/administrative/taxation/policy/081114comments.uthcheckdam.pdf> (August 8, 2014).

4. Start-up costs, T.D. 9681, 79 Fed. Reg. 42679-01 (July 23, 2014).

Treasury issued final regulations to provide guidance for the deductibility of start-up expenditures and organizational expenses following the termination of a partnership under section 708(b)(1)(B). These regulations adopt the rules in proposed regulations, which permit the new partnership to continue to amortize capitalized expenditures using the same amortization period adopted by the terminating partnership. The final regulations clarify that this does not mean the amortization period restarts, but instead it involves the “remaining portion of the amortization period adopted by the terminating partnership.” The regulations are effective for terminations on or after December 9, 2013.

5. Tax Court has jurisdiction to determine outside basis in partner-level proceeding, *Greenwald v. Commissioner*, 142 T.C. No. 18 (2014).

Taxpayer was a partner in a TEFRA partnership. That partnership filed bankruptcy in 1995, and it ceased filing tax returns. It also owned property subject to a nonrecourse mortgage, which was foreclosed in 1997 (presumably triggering gains). The partnership terminated on July 31, 1997.

The Service prepared substitute returns for 1996 and 1997 based on information from the 1995 return, and it issued a FPAA to the partnership. Other partners filed a petition in the Tax Court on behalf of the partnership to challenge the FPAA. Taxpayer was appointed tax matters partner and participated in that case, which ultimately was settled.

After the TEFRA proceeding was completed, the IRS proposed a deficiency for Taxpayer based on the computational adjustments from the settled case and certain other adjustments. Taxpayers filed a petition in the Tax Court. After the court denied them the right to submit additional evidence based on alleged skimming by another partner, they filed a motion to dismiss their petition based on a lack of jurisdiction. According to the taxpayers, the deficiencies here involve determinations of their outside basis, which they claimed was a partnership item that could only be determined through a partnership proceeding.

The Tax Court disagreed. Although Taxpayer relied upon decisions in *Tigers Eye Trading, LLC*, 138 T.C. 67 (2012) and *United States v. Woods* (SCT 2013), which treated outside basis as a partnership item, the Tax Court distinguished those cases as involving sham partnerships, which was an “isolated situation” that was not applicable here when the partnership was genuine. Instead, it treated outside basis in this situation as an affected item, over which the court would have jurisdiction in a partner-level determination. Thus, it refused to dismiss the case.

Comment: This case should clarify the matter of partner vs. partnership level determinations regarding outside basis. As the court explains, in the sale of a partnership interest, the amount realized is a partner-level determination, while the basis of the partnership interest may have been the subject of numerous partnership-level determinations. If the partner were deprived of Tax Court jurisdiction whenever outside basis was involved, this would work an injustice of those with facts that may otherwise allow them to contest a computational adjustment from a TEFRA proceeding.

6. No charitable deduction or loss allowed on partnership cemetery scheme, *McElroy v. Commissioner*, T.C. Memo 2014-163.

Taxpayers participated in partnerships that were established to acquire cemetery sites, hold them for one year, and then contribute them charitable organization for the purpose of deducting the appraised value at the time of the contribution, which was substantially higher than the acquisition value. An audit and criminal tax investigation of the partnerships ensued. The promoter and tax matters partner (Johnson) later plead guilty to conspiracy to defraud the United States. However, on November 2, 1999, while under investigation, Johnson agreed to extend the statute of limitations on the partnership while it was under audit.

Taxpayers had contributed \$37,500 in each of three partnerships in 1995, claiming charitable deductions from the partnership which were carried over to subsequent tax years. Before the Tax Court, they argued that the statute of limitations had closed when a deficiency was proposed to disallow a substantial portion of those deductions. However, the Tax Court rejected that argument, recognizing that the limitations period for an individual partner is extended during the pendency of an audit of the partnership with regard to partnership items. In doing so, it rejected arguments about the invalidity of actions by the TMP, based on his ineligibility to serve in that role as a person under criminal investigation.

Taxpayers also pursued a second argument that the \$37,500 investment in each partnership should be deductible as a loss, even though charitable deductions were disallowed. The Tax Court agreed with the Service that no such loss was allowable here as there was no transaction entered into for profit, as required by section 165(a). Economic profit, considered without regard to tax benefits, was required.

Comment: The fact that a tax matters partner was involved in a criminal investigation did not contravene the operative effect of his decisions on behalf of the partnership. The wheels of justice sometimes turn slowly, and this taxpayer had to wait a long time to find out what he owed, plus interest of course. The loss disallowance under section 165 probably felt like adding insult to injury. Perhaps this case serves as a good example of what happens when you don't get professional advice before you invest?

7. Taxpayers bound by partnership level proceeding when they failed to opt-out, *Bedrosian v. Commissioner*, 143 T.C. No. 4 (2014).

In this reviewed opinion of the Tax Court, a divided court ruled that it lacked jurisdiction over the petition filed by the Taxpayers because it involved partnership items that were the subject of partnership-level proceedings. The partnership at issue here was formed by two other entities, an LLC and an S corporation, which were both owned by the Taxpayers. They used these entities in a son-of-boss transaction, which ultimately resulted in a large deficiency as the resulting losses in foreign currency transactions were disallowed. The case is very messy, as it has been going on in different fora (including the Ninth Circuit) for years. Moreover, the court itself described the proceedings as involving a “sideshow” in which the taxpayer and the Service traded barbs. But ultimately, the case comes down to some technical interpretations of TEFRA procedural provisions (I.R.C. §§ 6223(e) and 6231(g)(2)) and whether the statute of limitations had expired before the assessment. The majority rejected the taxpayer’s arguments about these provisions, and moreover cited the “law of the case” from its own decision in *Stone Canyon Partners*, TC Memo 2007-377 (which was affirmed by the Ninth Circuit) to prevent a different result. However, the dissent found the application of this doctrine to be plainly inappropriate, since *Stone Canyon Partners* involved the partnership, not the same individual taxpayer. The dissent also noted that the decision of a trial court should always be subject to revision before a final judgment. The dissent found that the IRS was “less than open and candid with both the [taxpayers] and this Court.” It also charged the majority with denying the taxpayers their day in court, which is part of our “deep-rooted historic tradition”.

Comment: Although this is a reviewed, regular decision of the Tax Court, the outcome here certainly fits the court’s own description of TEFRA procedures as “distressingly complex and confusing.”

8. Notes did not increase basis in partnership interest, VisionMonitor Software, LLC v. Commissioner, T.C. Memo 2014-182.

Taxpayers founded a company in 2002, which was formed as an LLC taxed as a partnership. The company burned through its cash for the next four years, and a corporate partner agreed to make an additional contribution only if the two individual founding partners had more “skin in the game.” Lacking liquidity, the partners contributed promissory notes in lieu of cash at the suggestion of their attorney. They asked the attorney whether the notes would get him basis, and the attorney “did some cursory research” to confirm his oral advice, but did not provide a written legal opinion. The partnership misreported the notes as an increase in each partner’s capital account, and it also carried the notes as assets on its books.

Further contributions of promissory notes occurred in 2004-2007. All notes were balloon notes maturing in 7 years with six percent interest rates. All were unsecured. When the partners could not make interest payments, they had the partnership report unpaid accrued interest. No payments were made until 2010.

In 2012, the partnership began to become profitable. But unfortunately, the Service audited the returns for 2007 and 2008, issuing a notice of deficiency and FPAA to the tax matters partner. The partners’ basis in their partnership interests is a partnership item for this purpose. Relying on longstanding precedent, the Tax Court agreed that the contribution of a partner’s own note does not increase the outside basis. It also distinguished a case in which a limited partner guarantees a preexisting debt as inapplicable to the current situation, where the only debt involved the partners’ own notes to the partnership. However, Taxpayers did get a break from penalties, which were found to be inapplicable at the partnership level due to the good faith reliance upon their attorney, who also prepared their tax returns.

Comment: Dissonance continues between the treatment of the taxpayer’s own note in the corporate context and in the partnership context. These partners were lucky that the partnership’s lawyer testified in their favor at trial on the penalty issue. But they would have avoided this mess if the lawyer had done proper research about the effect of contributing notes. Perhaps they could have found another way to increase basis if they had known better.

9. Community property funding partnership made spouse a partner for tax purposes, Carrino v. Commissioner, T.C. Memo 2014-34.

The Tax Court summarized this case as follows: “Ann and Vince Carrino legally separated in June 2002. Shortly thereafter, Vince used community property to fund a partnership that operated a wildly successful hedge fund. That partnership’s original 2003 return didn’t name Ann as a partner or report any distributions to her. A few years later—in November 2006—a state court approved the couple’s agreement that 72.5% of the then-current value of Vince’s investment in the partnership was community property. In response, Vince filed an amended 2003 partnership return that identified Ann as a partner. The Commissioner says that Ann owes tax on the income attributable to her share of the partnership in which she didn’t know she was a partner. Ann disagrees with this perplexing assertion.”

Ann argued that California community property laws only gave her a claim in Vince’s partnership interest, and did not make her a partner in the venture, which she knew nothing

about. The Service argued that it did not matter whether she was a partner; she had a present interest in the income from her husband's partnership share.

The Tax Court agreed with the Service. Here, section 66 requires that married couples in community property states must report half the total community income earned by the spouses in the taxable year. Tax liability follows ownership, which is determined under state law. This couple was still married in 2003, despite legal separation, and the applicable rules in Treas. Reg. § 1.66-1 required each spouse who filed separately to report half of the community property income. A divorce decree in 2006 recognized that community interest; it did not create it.

Comment: The wife in this case had not filed for innocent spouse relief, which might have changed the outcome if the facts were in her favor. This case merits study by those with clients in community property states, particularly if their marriages are shaky – or if that spouse wants to secretly form a successful hedge fund with community property.

VI. Corporations.

A. S Corporations

1. Basis of Indebtedness of S Corporations to Their Shareholders, T.D. 9682, 79 Fed. Reg. 42675-01 (July 23, 2014).

Treasury issued final regulations concerning the basis of S corporation shareholders arising from indebtedness. The final regulations follow the proposed regulations in focusing upon bona fide indebtedness as the principal standard for ascertaining whether a shareholder increases his adjusted basis. This approach rejects a "poorer in a material sense" approach adopted in some Tax Court cases which has been used to disallow loans financed from related entities. The regulations continue to restrict indebtedness arising from guarantees, requiring taxpayers to perform on a guarantee before increasing basis. The final regulations also clarify that a shareholder cannot increase basis by contributing his own note. The preamble to the regulations indicates that there are still outstanding issues that remain under study and which may be addressed in future guidance.

Comment: Taxpayers will likely find this approach to be friendlier to creating basis than reflected under the prior regime, particularly when loaned funds come from related entities.

2. Earn-out restriction creates substantial risk of forfeiture for purposes of section 83, Austin v. Commissioner, 141 T.C. No 18 (2013).

Taxpayers in these consolidated cases had formed a corporation together in 1998, which had elected S corporation status. Only 5 percent of the corporation was owned by an ESOP, and the rest of the stock was received by Taxpayers purportedly in exchange for their services. The ownership of their stock was subject to an employment agreement. If employment was terminated for cause, the employee was required to sell his stock to the company under a pricing schedule that allowed no more than 50% of the fair market value of the stock if employment terminated before January 1, 2004.

For purposes of filing individual income tax returns for 2000 through 2003, taxpayers took the position that there S corporation stock was “substantially nonvested” within the meaning of Reg. § 1.83-3(b), and therefore under Reg. § 1.1361-1(b)(3) was not to be treated as outstanding stock in the corporation. Since the ESOP is a tax exempt entity, this approach would result in no one reporting taxable income earned by the S corporation.

This case came to the tax court on a motion for summary judgment on the narrow question of whether the stock here is subject to substantial risk of forfeiture. The heart of the issue depends on the meaning of “for cause” in Reg. § 1.83-3(c)(2). The Tax Court examined the legislative history of the regulations, including the comments submitted while the regulations project was open, to ascertain what was meant. A substantial risk of forfeiture is present only if there is a sufficient likelihood that a restriction will actually be enforced. Accordingly, a threat of termination for cause or due to criminal conduct was deemed too remote to be taken into account. However, the regulations contemplated that a so-called earn out restriction can create a substantial risk of forfeiture if there is a sufficient likelihood that the restriction will be enforced.

Although the agreements here were inartfully drafted, the Tax Court interpreted the conditions of continued employment to be akin to an earn-out provision that was sufficient to create a substantial risk of forfeiture. According to the court, “an employee's inability or disinclination to work for the agreed-upon term of his employment contract is not a ‘remote’ event that is unlikely to occur.”

Comment: This will probably not be the last we hear about this case. The Service has also offered an alternative theory that the stock was “substantially vested” based on the fact that the Taxpayers controlled the board, thereby enabling them to remove ownership restrictions at will. This was deferred to a trial on the merits. Undoubtedly the structure presented here, in which no one is currently taxable on the earnings of the corporation, but those earnings inure to the economic benefit of the taxable owners when the stock vests, is vexing to the Government. Even though this structure seems to generate a result that may be too good to be true, it is a clever tax idea, no?

B. C Corporations

1. Bonus to sole shareholder not deductible to close corporation, Vanney Assoc. v. Commissioner, T.C. Memo 2014-184.

Vanney Associates was a personal service C corporation using the cash method. Mr. Vanney was an architect employed by the corporation, along with some 25 other employees. Mrs. Vanney was the bookkeeper for the company, and she was also employed by another company. On December 30, 2008, the company paid out a bonus of \$815,000 to Vanney, which was in addition to his usual wages totaling \$240,000. This was consistent with company practice of “zeroing out” the corporate profits at year-end. The actual paycheck, after withholding taxes, was \$464,183. As CEO, Vanney signed the check and endorsed it, making it payable to the company. The company recorded the check as a bonus, but then as a loan from Taxpayer to the company, which it repaid in March 2009.

Unfortunately, the company had only \$389,604 in the bank when the check was drafted. After adjusting for outstanding checks, the true book balance was only about \$283K. Both Mr.

and Mrs. Vanney testified that they knew there were insufficient funds for the check, but the company was financially strong enough to have gotten a loan if they had needed one. Since the Vanney's did not need the money, the loan arrangement worked just fine.

On audit, the Service challenged the deduction for this bonus on the ground that there was no absolute and irrevocable passing of property from the corporation to Vanney. A payment by check is subject to the condition subsequent that the check is paid by the drawee. If paid, payment relates back to the time the check was given. But this relation back doctrine is not applicable when the payee knows the payor has insufficient funds and thus refrains from cashing the check.

Here, Vanney could not cash the check at a bank, use it to pay a debt, or use it to make a loan to anyone else besides the company. This result was also consistent with other authorities holding that the amount of a check cannot be treated as a distribution and may not be included in gross income when the account has insufficient funds to honor the check. Moreover, it was also consistent with special scrutiny applied to transactions between related parties.

Comment: Hopefully Vanney's personal tax year was kept open, lest he be required to pay the taxes on the income and yet have his corporation lose the benefit of a deduction. Presumably the company actually paid the withholding taxes. If so, note the potential for Vanney to bail out the withholding taxes without an apparent tax consequence to him, though at the cost of the corporate-level tax! (Is this a better deal than a dividend?) Given the magnitude of the deduction in relation to his regular salary, the Company may have faced a different set of barriers to a deduction if the check had been honored, making dividend characterization a likelihood.

2. Nothing to distribute here, folks: no goodwill in liquidation, Bross Trucking, Inc. v. Commissioner, T.C. Memo 2014-107.

Mr. Bross had a road construction business, which he founded in Missouri in 1966 and which he incorporated in 1972. In 1982, he incorporated a separate trucking company, Bross Trucking (BT), to engage in hauling construction materials and equipment for road construction projects. The company leased most equipment from another Bross entity, and it used independent contractors as drivers. Mr. Bross used his personal relationships to arrange services, and Bross entities were its principal customers. He had no employment agreement with BT, and there was no covenant not to compete.

In the late 1990s, BT was targeted for investigation by the DOT for safety violations. Mr. Bross thought the company was being subjected to heightened scrutiny compared to other trucking companies, and he decided to cease trucking operations. However, he consulted an attorney who suggested that the company remain viable in order to address any regulatory claims.

In 2003, Mr. Bross and his three sons met with their attorney to discuss finding a suitable trucking provider for their various family businesses. The sons had not been previously involved with BT, and they organized a new corporation, LWK, to provide these services. LWK was owned by Roth IRAs for the benefit of the sons, which owned 98% of the company; the balance was owned by an unrelated party. LWK obtained new licenses to operate. It leased some of the

equipment that BT had previously leased from a related Bross entity after those leases terminated. Occasionally, LWK kept the same BT signs on the trucks but it got magnetic signs to cover the BT logo after it recognized heightened scrutiny concerns from regulators. It hired about half of its employees from drivers who had previously worked for BT. And it later expanded into other business areas after serving some of the same Bross entities as previously served by BT. BT continued to hold some cash and accounts receivable, which were later used to pay legal fees for the corporation.

The Service alleged that BT understated its corporate tax because it had distributed an intangible asset, which the court would later characterize as goodwill, which Mr. Bross would then in turn have gifted to his sons. Accordingly, it asserted both corporate tax under section 311(b) as well as income and gift taxes on Mr. Bross. However, the Tax Court ruled that there was no corporate goodwill to be distributed in this case. As in *Martin Ice Cream*, Mr. Bross had personal relationships that were instrumental to the business, but these were never owned by BT. Any goodwill that the corporation may have had in the past was lost because of the negative attention from regulators, which might have resulted in suspension of their license. That impending suspension would have made customers wary of continuing their patronage, which is an essential element of goodwill. At most, there would have been some workforce in place for the company, but only half the workforce eventually went to LWK. Mr. Bross did not receive any goodwill from BT; any success by LWK was created by its own employees, not transferred from Mr. Bross. Accordingly, the other issues raised by the Service were moot.

Comment: The result here was a complete taxpayer victory, avoiding a corporate deficiency and penalties of over \$1 million. This favorable outcome apparently reflects careful lawyering by counsel familiar with Martin Ice Cream-type risks, and it merits attention from others representing closely held companies. But query whether the Roth IRA approach for ownership passed muster (or perhaps even triggered additional scrutiny of the transaction); let's not go there this time.

VII. Selected International Tax Litigation/Developments.

1. Tax Court has jurisdiction over foreign tax credit claims, *Sotiropoulos v. Commissioner*, 142 T.C. No. 15 (2014).

Taxpayer was a U.S. citizen who worked abroad for Goldman Sachs in the UK during 2003-05. On her U.S. returns, she claimed a foreign tax credit for UK taxes withheld by her employer. But on her UK returns, she claimed large deductions from film partnerships, which reduced her UK liabilities. She received payments from the UK taxing authorities of several hundred thousand dollars each year, but she did not claim those payments as “refunds” within the meaning of section 905(c)(1) because she claimed that her entitlement to the funds remains under investigation. Therefore, she did not notify the IRS of those refunds as required in section 905.

On audit, the Service issued a notice of deficiency for 2003-05, which showed tax increases from downward adjustments in foreign tax credits plus accuracy penalties. A tax court petition followed. Then, one year later, the Service contends that the notice of deficiency was in error, since section 905(c) authorizes the adjustment and allows collection upon notice and demand, asserting that credit adjustments are removed from deficiency procedures. It moved to

dismiss the case for lack of jurisdiction. To the extent the court has jurisdiction over accuracy penalties, the Service offered to concede them.

The Tax Court rejected this argument. Noting its role as a prepayment forum for resolving tax disputes, the court pointed to section 6213 as imposing important restrictions on the Service's ability to assess and collect tax until a decision of the Tax Court has become final. While exceptions exist, those exceptions are essentially limited to those in which the assessment is uncontroverted and does not need independent review. Relying in part on its 1976 decision in *Comprehensive Designers*, which involved a dispute over foreign exchange rates in determining the appropriate amount of the foreign tax credit, the Tax Court concluded that it had jurisdiction, thereby affording the Taxpayer a prepayment forum and saving her from an immediate assessment and collection proceeding while the controversy is resolved.

Comment: The fact that it took a year for the Service to change its position and to challenge jurisdiction perhaps provides additional equity in the taxpayer's favor, though of course jurisdiction is a matter of law and may properly be raised at any point in the proceeding. The rationale of keeping a prepayment forum open to the taxpayer also seems just in this context. When, as here, the taxes due may be substantial, the rules requiring complete payment before a refund suit can present a daunting barrier to having one's day in court.

2. Slot machine gambling not a trade or business for foreign taxpayer; substantial variance doctrine bars alternative legal theory, *Free-Pacheco v. United States*, __ Fed. Cl. __, 2014 WL 3533968 (June 25, 2014).

Taxpayer was a Mexican citizen who engaged in construction, agricultural, and investment activities in his home in Mexico, earning in excess of \$10 million (Mexican) annually. During 2007-2010, he frequently traveled to the U.S. (primarily Las Vegas) to play slot machines, which he had been doing for the past 25-30 years. Whereas he used to play the slots because "I would like the pictures that they had on", beginning in 2007, Taxpayer testified that his play was different because of the amount of money and the frequency of gambling. And the amount was indeed substantial. During this period, he often played high limit slots where bets of \$100 or \$200 per spin were taken. Although he did not win on a net basis, tax withholding rules required the casino to withhold 30 percent on the jackpots he did win. During this period, those tax withholdings totaled over \$16 million. The frequency and volume of his activities caused him to hire an employee who spent up to 80 percent of her time tracking expenditures, complying with tax laws, and making travel arrangements for Taxpayer and various family members.

On his 2004-06 U.S. tax returns, taxpayer claimed he was a "professional gambler" and claimed deductions in excess of his wagering income. He apparently received refunds of taxes previously withheld. However, in 2006 the IRS did challenge the substantiation of amounts, but taxpayer ultimately received a "no-change" letter. There was no challenge as to the trade or business characterization until 2010, when the IRS ultimately took the position that he was not in the trade or business of gambling, which put taxpayer in a difficult legal position on account of the foreign tax rules.

Under section 871(a)(1), a thirty percent tax is imposed on amounts received from sources within the U.S. by a nonresident alien individual who is not engaged in a trade or

business. If the income is effectively connected to a trade or business, the individual is taxed under section 871(b), which imposes a tax in the same manner as on a U.S. person, allowing deductions for losses to the extent of gains as per IRC § 165(d). Unfortunately, if you are not engaged in a trade or business, a nonresident alien taxpayer is not permitted to deduct those losses.

Here, the Court of Federal Claims applied the Supreme Court's decision in *Groetzinger* (1988) to analyze the facts presented in this case. Despite the fact that slot machines are known to have a house advantage, there are legal precedents that allow slot players to be treated as professional gamblers. Unfortunately for this taxpayer, the facts of his case, including his style of play and lack of complete records, as well as his lack of any business plan or strategy, lack of expertise (including knowledge of a random number generator in slot machines designed to make them unpredictable) were among the factors that tilted against his claim. Notably, however, the court was willing to look at the potential for profit from a big jackpot as favoring the Taxpayer, even though such expectation is not rational. But ultimately, the court noted that the income here "supported a lifestyle that included lavish wagering," which leaned the outcome toward the government's view that no trade or business was involved. His overriding desire as a "hunter" to catch "the deer" through a jackpot was also pursued with family along, suggesting this was a recreational pursuit in unplanned holiday pursuits.

In addition, the Taxpayer argued a new alternative theory to the Court of Federal Claims, which was not presented in its original claim for refund. Based on *Park v. Commissioner*, 722 F.3d 384 (D.C. Cir. 2013), which reversed the Tax Court in holding that nonresident aliens could calculate their gambling winnings and losses on a per session basis, rather than a per bet basis, for purposes of computing income under IRC § 871(a), the Taxpayer argued that even if he was not engaged in a trade or business, he should be entitled to a refund based on a recalculation of his total winnings as reported on the withholding documents. The Court of Federal Claims rejected this argument as untimely and as inconsistent with its jurisdictional authority over refund claims. New claims, as this one, are not permitted when they vary substantially from theories raised under the original claim for refund. According to the court, none of the exceptions to the substantial variance doctrine could be invoked by the Taxpayer here.

Comment: This case is a tome which spans a range of factual issues about slot machine play (to summarize my view: it's stacked in favor of the house and you will lose if you play long enough), as well as the factual analysis of whether a trade or business is involved. But perhaps the most important lessons for practitioners come from the discussion of the jurisdictional constraints on the court in a refund claim. While Park was not decided by the DC Circuit until this case was well along, the claimant was still required to raise the theory within his claim if it is to be considered. That requires a careful lawyer indeed (and perhaps even a prescient one). Congress should probably fix these rules in section 871, if indeed we want foreign "whales" to continue their patronage of U.S. gaming establishments – some of which seem to be having a hard time staying in business.

3. FBAR penalties for online poker accounts – Oh My!, *United States v. Hom*, 2014 WL 2527177 (N.D. Cal. June 4, 2014)

The Government sought to impose civil penalties totaling \$50,000 against a *pro se* defendant for the failure to file an FBAR for foreign financial accounts exceeding \$10,000.

During 2006, the defendant gambled on online Internet sites. He used his Wells Fargo bank account to deposit money into a “FirePay” account, which he then used to transfer to offshore Internet gambling sites. Later in 2006, after the enactment of UIGEA, FirePay ceased allowing US customers to transfer funds to those sites, causing the defendant to use Western Union and other online financial institutions to transfer money to his online poker accounts. The defendant admitted that at times during 2006 and 2007, the aggregate amount of funds in his accounts exceeded \$10,000 in United States currency. After the service detected discrepancies in tax returns for 2006 and 2007, it opened in FBAR examination and imposed civil penalties for defendants non-willful failure to submit the required FBAR forms.

According to the District Court, the Government was entitled to summary judgment on these penalties. The defendant did indeed maintain an account in another country that was subject to reporting requirements. The fact that some of the gambling sites maintained bank accounts in the United States, which defendant argued created a possibility that his funds were in an American bank, was deemed irrelevant. Final regulations issued by FINCEN make it clear that an account is not a foreign account if maintained with a financial institution located in the United States. However, his accounts with foreign Internet gambling firms were all located outside the United States, as those firms were established and operated in foreign countries.

Comments: This case shows how the FBAR requirements contain a real sting for taxpayers with foreign accounts. This is also an area of considerable complexity that requires careful lawyering for those who have been noncompliant. Unfortunately for this defendant, the court stated: “The Court has tried to appoint a free lawyer for defendant—but no one would take the case.” It was, after all, only a civil penalty. While FirePay is not a significant player in U.S. online payments, other firms could present similar challenges when the taxpayer chooses to do business abroad. The emergence of fiat currencies like bitcoin present additional regulatory challenges, as noted elsewhere in the outline. A hat tip to the Journal of Accountancy (Sept. 2014, p. 101-02) for bringing this case to light. A brief article there by Scott Novak, see id. pp. 94-95, also discusses the dilemmas presented by new information reporting requirements under FATCA.

4. Sale of line of business did not reduce 936 credit cap, OMJ Pharmaceuticals, Inc. v. United States, 753 F.3d 333 (1st Cir. 2014).

Although the section 936 credit regime for investment in Puerto Rico was repealed in 1996, firms that had previously claimed the credit are allowed to continue participation during a ten-year transition period. The credit was capped at an amount that roughly reflected amounts claimed in previous years, and this amount was adjusted to account for purchases and sales of businesses that generated credit-eligible income. Generally, if one corporation sold a business with \$1 million in annual credits, the buyer would increase its credit cap by \$1 million with a corresponding reduction to the seller. However, in this case of first impression, the First Circuit considered whether this regime would require a reduction in the credit cap of a corporate seller to another foreign corporation that did not pay U.S. taxes, and thus would not be affected by the credit cap.

Reversing the district court, the First Circuit ruled in favor of the Taxpayer. After engaging in a technical analysis of the statutory language involving section 41 and related

regulations, the First Circuit found that the language favored the taxpayer position, and that this also had support in the legislative history. In a rebuke to the Government, the court stated:

The government's suggestion that Congressional intent requires us to read subparagraph (j)(9)(B) more broadly than its text would seem to allow also runs counter to the principle that, as a general matter, “[t]he best indication of Congress's intentions ... is the text of the statute itself.” *E.g.*, *South Port Marine, L.L.C. v. Gulf Oil Ltd. P'ship*, 234 F.3d 58, 65 (1st Cir.2000); *see also In re Rudler*, 576 F.3d 37, 44 (1st Cir.2009) (“If the statute's language is plain, ‘the sole function of the courts—at least where the disposition required by the text is not absurd—is to enforce it according to its terms.’ ” (quoting *Lamie v. United States*, 540 U.S. 526, 534, 124 S.Ct. 1023, 157 L.Ed.2d 1024 (2004) (internal quotation marks omitted))).

Id. at 340.

Comment: Those with section 936 issues still in controversy will find the history and explanation of the regime here to be useful. But perhaps of even greater significance is the rule of law value reinforced here: the language enacted, not later explanations of policy intentions, is the law. Query whether that approach will be followed in the ACA cases discussed below?

5. Taxpayer was not a German resident, and thereby not entitled to treaty benefits for U.S. income, *Topsnik v. Commissioner*, 143 T.C. No. 12 (2014).

Taxpayer was a citizen of Germany. In 1977, he applied for a green card and became a lawful permanent resident of the United States. In 2004, he made an installment sale of stock in a U.S. Corporation, and he received payments on the installment obligation during 2004-09. His 2004 and 2005 returns reported gain from the sale, though the amounts were erroneous. He failed to file U.S. returns during 2006-09, and the Service filed substitute returns for those years based on the installment sale income. Taxpayer argued that he had informally abandoned his status as a lawful permanent resident in 2003, and thus he was not taxable in the U.S. during any of the taxable years at issue.

He relied upon the U.S.-Germany tax treaty for his exempt status. However, he did not formally abandon his lawful permanent resident status until he filed Form I-90 and surrendered his green card in 2010, when he intended to become a resident of the Philippines. Although he sold his house in Hawaii in 2003, he continued to use it as his home address and to receive mail there pursuant to an agreement with the new owner. His ties to Germany were not so clear, as he spent only a few days there each year. German authorities did not consider him to be a German resident, and thus did not seek to tax the installment sale gains. However, he did own a small inn in Germany where he sometimes stayed in a vacant room. He had substantial physical presence during the years at issue in the Philippines and other countries, including the United States.

Although Taxpayer relied upon a D.C. Circuit opinion dealing with immigration law status, the Tax Court ruled that immigration status for federal tax purposes turns on federal income tax law, which is explicit on the matter of changing one's status. As the regulations require, abandonment requires an application or letter, which was not filed until 2010. Taxpayer was also not entitled to an exemption under the treaty because he was not a German resident that was taxable as such during the years at issue.

6. Taxpayer's tax home was in Iraq, making him eligible for the foreign earned income exclusion under § 911, *Eram v. Commissioner*, T.C. Memo 2014-60.

Taxpayer was born in Iraq but emigrated to the United States at the age of 19. He became a naturalized citizen in 1985, and some family members moved to the United States. His personal life involved three serial marriages, two of which ended in divorce and he was separated from his third wife. He had rare contact with his children, and he was further alienated from his family when he returned from 14 months abroad working in Qatar, and instead of going home to his family, he chose to spend six months in Mexico.

In 2008, he became a State Department translator and eventually moved to Iraq, where he continued to have family ties. He worked in the Green Zone controlled by the U.S., which was handed over to the Iraqi government in 2009. At issue here was whether Taxpayer could claim an exclusion for foreign earned income during the 2009 taxable year under section 911, which required that he establish that his tax home was in Iraq, rather than in the United States. In these circumstances, the Tax Court held that this taxpayer was eligible for the exclusion.

7. Sand in the Bearings for Inversions? Notice 2014-52, 2014-42 I.R.B. 712.

Inversions have been all the rage this year. This Notice provides the Treasury's approach toward making them less profitable. But short of legislation that changes the tax code (perhaps making it more competitive?), the effects are viewed with some skepticism. See generally *Donald J. Marples & Jane G. Gravelle, Corporate Expatriation, Inversions, and Mergers: Tax Issues* (Congressional Research Service, September 25, 2014), available at <http://fas.org/sqp/crs/misc/R43568.pdf>.

VIII. Selected Tax Shelter Litigation.

1. Another Son-of-Boss bites the dust, *The Markell Co. v. Commissioner*, T.C. Memo 2014-86.

In this challenge to a Son-of-Boss transaction involving the creation of a \$15 million loss through the use of an LLC classified as a partnership, the Tax Court focused on whether a partnership had indeed been created and, if so, whether there was business activity essential for respecting the partnership. As the court noted, "What we find is a scrupulous adherence to the formal requirements of making [the entity] look like a partnership, but a complete absence in the partnership's operating agreement and actual operations of any objective indication of a mutual combination for the present conduct of an ongoing enterprise." Tax avoidance is not a business activity that validates partnership status.

Even if the taxpayer had been able to establish a valid partnership, the temporary regulations issued in 2003, which were made effective for the assumption of liabilities issued after October 18, 1999 and before June 24, 2003, would also lead to the same result. (This was a 2002 transaction). Although the Tax Court noted the continuing disagreement in the courts as to whether these regulations could be applied retroactively, they used the regulations as an alternative holding supporting their primary ruling: no partnership here, folks, so no loss was created.

Comment: The recent partnership decisions in Historic Boardwalk Hall (3d Cir. 2012) and Superior Trading (7th Cir. 2013) were invoked in this decision, which may be useful in other contexts in which partnership validity is challenged.

2. Disallowed losses from disposition of stripped investment in money market funds, Principal Life Ins. Co. v. United States, 116 Fed. Cl. 82 (2014).

In this refund action concerning the Principal Life Insurance Company (PLIC), the Court of Federal Claims considered two issues involving investments that PLIC made in 2000 and 2001, which resulted in refund claims totaling nearly \$400 million in tax, interest, and penalties. Although the penalties were left for future trial and resolution, the court rejected PLIC's tax refund claims. In the course of doing so, it gave a grand tour of tax rules involving losses, assignment of income, and apportionment of basis when an asset is sold.

Two investments were involved here. In the first, generally known as the "CSR's", PLIC (with assistance from investment banking firms) engaged various entities to act as custodians of deposits in money market funds. A financial institution would deposit funds or shares in money market funds into a trust. The custodian would divide the funds into two components: one involving the right to receive current dividends for a period of 20-23 years, and the other involving residual rights (CSRs). It would then sell these separate interests. PLIC acquired the CSRs while various banks acquired the right to the current dividends from the trust. Based on the expected future value, PLIC calculated an annual internal economic pretax yield of from 7.225 to 9.903 percent on these residual investments, which PLIC would purportedly use to meet future payouts under life insurance policies.

The second investment, known as "Perpetuals" was similar, except this time PLIC sold the residual interest but retained the right to current income. Morgan Stanley sold floating rate securities to PLIC, which held them for a couple of months. At the end of the holding period, PLIC would contribute them to a "trust" maintained by Chase Manhattan Bank, which in turn issued Interest Certificates and Principal Certificates. PLIC retained the interest certificates, which entitled it to interest for the next 16 to 18 years, while it sold off the principal certificates that entitled the holder to the principal value after the interest certificates terminated or, if sooner, a defined "reference event" occurred. Morgan Stanley purchased those interests and remarketed them to investors. Termination agreements also covered PLIC as a form of insurance from Morgan Stanley to protect against loss (all this, of course, for a price).

With regard to the Perpetual transaction, PLIC allocated all of its basis to the principal certificates. Thus, when it sold those certificates to Morgan Stanley, it recorded capital losses of approximately \$291 million. With regard to the CSR transaction, PLIC did not record the revenues from the sales by the "trusts" as income or any amount of OID during the holding period, which potentially involved some \$21 million. The Service disallowed the capital losses and treated PLIC as taxable on income from the CSR transaction, which PLIC had excluded. It also imposed penalties.

With regard to the losses, the Government first sought to justify its position based on the theory that only "actual economic losses" are deductible under section 165. However, the court noted that the regulations require only that a "bona fide loss is allowable", which does not necessarily provide such a limitation. The Government relied principally on *United States v.*

Flannery (1925), which disallowed a claimed deduction for loss based on increased basis allocated as of March 1, 1913, when the property being sold had a fair market value in excess of its original purchase price. However, the Court of Federal Claims limited this holding to the rarified factual context of the transition to a new income tax regime, rather than announcing a loss disallowance rule favoring the Government. *Flannery* might be preparatory for anti-abuse rules that would come later, but it did not support the Service's broad claim.

Nevertheless, the Government would prevail on other grounds. First, the basis allocation rules under Reg. § 1.61-6(a), which required an apportionment of basis rather than allocation only to the residual portion, as PLIC had argued, would provide a path for disallowing the losses incurred. Here, the court rejected PLIC's arguments that a common law approach should be followed which differed from the approach under the regulations.

Second, the court also found that the "trust" arrangements were to be classified as partnerships under the so-called "Sears regulations" in which PLIC and Morgan Stanley were to become partners. There would be no loss because there was an exchange of property for partnership interests, and the deemed sale from PLIC to Morgan Stanley would not generate a loss because the basis allocated would equal the amount realized.

With regard to the CSR transactions, PLIC treated the CSRs as long-term bonds. However, it argued that there was no taxable income on the accretions in value because the money market shares were equity, and thus not subject to OID rules or stripped bond rules in section 127 and 1286. However, here, too, the finding that the "trusts" involved were not trusts, but partnerships, caused PLIC's return positions to be erroneous. The actual amount of income remains to be determined under this approach.

Comment: This is a difficult case, which ultimately turns on the careful allocation of basis as reflected in regulations. The trust theories raised here add complexity, and ultimately require a stretch to reach the same results that are otherwise generated from the basis rules. Although there is also considerable discussion about anticipatory assignment of income, the real action here seems to turn on these other rules, which did not work to the advantage of PLIC.

3. Sham partnership disallowed, opening door for penalties, *Chemtech Royalty Associates, LP v. United States*, 766 F.3d 453 (5th Cir. 2014).

Dow Chemical, aided by clever planners at Goldman Sachs, entered into a transaction which was promoted as a tax shelter. In this transaction, Dow selected 73 patents with a value of about \$867 million, which had a tax basis near zero. It created two U.S. subsidiaries and a foreign subsidiary, which it then used to form a Delaware limited partnership with a principal place of business in Switzerland. The patents were contributed to the partnership, in which five foreign banks participated as limited partnerships for an investment of \$200 million. The governing agreements allowed Dow to continue using the patents in its business, and it required Dow to indemnify the banks against any liabilities, including tax liabilities, arising from their participation. In return, the banks were paid a priority return of 6.97% on their invested capital plus a relatively small return allowing each partner to pay Swiss taxes. Dow got a royalty deduction of about \$646 million during 1993-98 for the royalties it paid to the partnerships, but the bulk of the cash in the partnership was loaned back to the company, thus allowing them to

avoid income taxes. Following the termination of this transaction in 1998, Dow tried the same kind of deal again with a chemical plant. This continued through 2008.

The IRS sought to disallow the partnerships and it asserted accuracy penalties for the tax years at issue. The district court agreed with the IRS finding that the partnership was to be disregarded on the ground that they were shams, that the transactions lacked economic substance, and the bank's interest in the partnership were debt, not equity. It also assessed penalties. The partnerships appealed.

The Fifth Circuit upheld the trial court finding that the partnership was a sham. In doing so, it rejected Dow's arguments that because the foreign banks had equity under Fifth Circuit precedent, it must be a real partnership. According to the Fifth Circuit, they were not required to focus on whether the bank's interest had characteristics of equity before focusing on whether the relationship was based on sharing profits and losses of a genuine business. Here, the banks got a fixed annual return on their investment, regardless of the success of the investment. In this sense, it resembled the partnership deemed invalid by the Second Circuit in *Castle Harbour II*. Several aspects of the agreement ensured that Dow bore all non-insignificant risks, showing no intent to share losses. The banks would not have participated if they would have had to bear such risks. Moreover, there was no meaningful share in any upside potential. Even if the patents contributed to the partnership increased substantially in value, the banks would get only 1 percent of the increased value.

The Fifth Circuit remanded for the question of whether the partnerships could face a 40% valuation misstatement penalty, as opposed to only the 20% negligence or substantial understatement penalty. In light of the Supreme Court's decision in *Woods v. United States* (2014), the statute does not prevent a gross valuation misstatement from occurring due to a legal error (like the use of a sham partnership).

Comment: Another IRS victory in the tax shelter area – but query whether the sham partnership holding will create any problems for legitimate partnerships where guaranteed payments fix the downside risk and the upside risk is small.

4. Tax Court determined listed transaction reporting penalty base in the context of collection action, *Yari v. Commissioner*, 143 T.C. No. 7 (2014).

Taxpayer petitioned the Tax Court to review a notice of intent to levy regarding a penalty assessed against the taxpayer in 2004 in connection with the failure to report a listed transaction. In this case of first impression, the Tax Court held that section 6707A requires the Service to use the tax shown on the return giving rise to the violation of the of the disclosure obligation, rather than the amount shown on any amended return for that taxable year.

Taxpayer used a Roth IRA formed with \$3K in 2002 to become the sole shareholder of an S corporation. The company showed \$1.2 million in income for the 2002-07 tax years, which was not taxed. The IRS listed this as an abusive transaction in Notice 2004-8, subjecting participants who did not disclose their participation to penalties. Taxpayer was audited and paid substantial additional taxes and interest, but pursuant to a closing agreement no excise taxes under section 4973 were imposed. However, during the course of the audit, Taxpayer determined that errors had been made in the 2004 return, resulting in an amended return that

showed negative taxable income. A second amended return further claimed an NOL carryback from 2008, which also offset any positive adjustments from the audit.

Nevertheless, the Service persisted in imposing a penalty under section 6707A of \$100K for the 2004 tax year based on the failure to disclose the listed transaction. The taxpayer conceded that he was liable for a penalty, but he challenged the maximum penalty of \$100K, arguing instead that the minimum penalty of \$5K was appropriate. After a retroactive amendment in 2010, the penalty in section 6707A is “75 percent of the decrease in tax shown on the return as a result of such transaction (or which would have resulted from such transaction if such transaction were respected for Federal [income] tax purposes).”

Looking to the plain meaning, the Tax Court found it appropriate to compute the penalty based on the tax shown on the return in which the omission occurred. In doing so, it rejected language from the Blue Book that suggests that tax savings was most relevant. Here, the culpable act was the failure to disclose, and this generated the maximum penalty based on the size of the transaction. Moreover, the Tax Court also noted that section 6651 language illustrates that Congress knows how to ameliorate harsh penalties when the tax due is less than the tax shown, but it did not do so here.

Comment: This strict liability penalty is potentially harsh, though perhaps effective in accomplishing the desired effect of disclosure. On the matter of divining legislative intent, the Tax Court noted that this process is “hardly an exact science”, citing the divergent results in Halbig v. Burwell (D.C. Cir. 2014) and King v. Burwell (4th Cir. 2014) as examples. See part ___ of the outline for further discussion of these cases.

5. More finesse on the economic substance doctrine, Reddam v. Commissioner, 755 F.3d 1051 (9th Cir. 2014).

In affirming the Tax Court’s decision in TC Memo 2014-106, the Ninth Circuit held that an OPIS transaction through which the taxpayer claimed a \$50 million capital loss lacked economic substance. Although the Taxpayer argued that the Ninth Circuit required only that a taxpayer have a business purpose and not be motivated solely by tax benefits, the court rejected a “rigid two-step analysis” and focused instead “holistically” on the “practical economic effects” other than tax losses. Here, there was ample evidence to show the tax motivations behind the investment, including promotional materials that state that the OPIS transaction minimizes gain and maximizes losses, “anathema to a profit-seeking investor”. Although a subjective motivation to seek tax avoidance is not sufficient to sustain the disallowance of a loss (as argued by the Service), the Ninth Circuit looked at the practical realities around the transaction, including the relative magnitude of gains and losses, as supportive of the Tax Court’s position that this transaction was not designed for economic benefits. “Put differently, the small percentage chance that Reddam’s OPIS transaction could have created a sizeable economic gain in return for his multi-million dollar investment pales in comparison to the expectation that it would *always* create a tax loss of \$42,000,000 to \$50,000,000.” [Footnote omitted.]

Comment: The Tax Court followed this case in Hunter v. Commissioner, T.C. Memo 2014-132, as reflecting Ninth Circuit law regarding economic substance, which is considered a question of fact.

6. More distress for investors in distressed debt scheme, Kenna Trading, LLC v. Commissioner, 143 T.C. No. 18 (2014).

The particulars of this tax shelter scheme were litigated previously in *Superior Trading, LLC*, T.C. Memo 137 T.C. 70 (2011), *supplemented by* T.C. Memo 2012-110, *aff'd*, 728 F.3d 676 (7th Cir. 2013). This consolidated case addresses other issues arising from a similar shelter transaction for 2004, which were also affected by new rules affecting the allocation of built-in loss property contributed to a partnership, which further constrained the efficacy of using a partnership for this deal (if it could be considered efficacious at all, given the thorough thrashing of the taxpayer position in *Superior Trading*). The promoter here tried to circumvent those rules by using a trust variation, which did not prove effective. It is fair to say that the legal thrashing continued in this lengthy (89 pages in the advance sheets) decision, which delivered a complete victory to the IRS on ten enumerated issues.

IX. Selected Employment Tax Issues.

1. LLC membership status continues controversy on self-employment tax front. IRS CCA 201436049, 2014 WL 4383321 (Issued Sept. 5, 2014).

Citing *Renkemeyer, Campbell and Weaver, LLP*, 136 T.C. 137 (2011), as well as other authorities, this Chief Counsel advice attempts to address the scope of limited partnership protection from self-employment tax in the context of an LLC that provided services as an investment management company. The advice concludes that income to those members did not bear a sufficient relationship to capital investment to elude the obligation for self-employment tax.

2. CRP Payments excluded from self-employment tax base, Morehouse v. Commissioner, 769 F.3d. 616 (8th Cir. 2014), reversing 140 T.C. No. 16 (2013).

The Eighth Circuit reversed the Tax Court's controversial decision extending self-employment tax burdens on CRP payments to a non-farmer, stating in part:

"In arriving at our conclusion, we embrace the agency's longstanding position that land conservation payments made to non-farmers constitute rentals from real estate and are excluded from the self-employment tax. See Rev. Rul. 60-32; Rev. Rul. 65-149. While CRP contracts may require farmers to conduct a small subset of activities similar to those used in a portion of their general farming operations, *Wuebker*, 205 F.3d at 903, the same cannot be said for non-farmers. The only reason they even indirectly engage in or arrange for any "tilling, seeding, fertilizing, and weed control" activities on their CRP land is because the agreement with the government requires them to do so. *Id.*"

Comment: A dissenting opinion by Judge Gruender shows that this is a close question. The Tax Court found that the taxpayer was carrying on a trade or business concerning his CRP properties, and the activities of the farmer hired to do the maintenance were attributed to him for this purpose. Even with no deference to the IRS Notice 2006-108, which purported to obsolete Rev. Rul. 60-32, the dissent disagreed that the CRP payment was factually consistent with a rental from real estate otherwise excluded from the self-employment tax base.

3. Supreme Court clarifies severance payments are FICA wages, *United States v. Quality Stores*, 134 S.Ct. 1395 (2014).

Reversing the Sixth Circuit and resolving a circuit split, the Supreme Court held that severance payments to employees in connection with a Chapter 11 reorganization of their employer were indeed FICA wages subject to withholding. This affirms the broad definition of FICA wages as “all remuneration for employment”. The specific exemption for severance payments made because of retirement for disability was noted as an additional reason for this approach, since a specific exemption would have otherwise been unnecessary. The Court also rejects a limiting argument embraced by the Sixth Circuit that IRC § 3402(o), which address income tax withholding for supplement unemployment benefits “as if “ they were wages, had restricted the scope of FICA wages. However, the ruling appears to have left in place Rev. Rul. 90-72, which exempts payments tied to the receipt of state unemployment benefits from FICA taxes.

4. Tax Court has jurisdiction over informal determination that was not a NDWC, *SECC Corp. v. Commissioner*, 142 T.C. No. 12 (2014).

Taxpayer was under audit concerning the employment tax classification of workers, and the matter was being considered by Appeals. In November 2009, Appeals returned the case to the Examination Division for further consideration. It eventually returned back to Appeals, and it seems that the Appeals Officer continued his prior assessment of the Taxpayer’s position, i.e., that Taxpayer did not qualify for relief from employment tax claims raised during the examination. However, rather than issuing a formal Letter 3523, Notice of Determination of Worker Classification (NDWC), the Appeals Office sent a letter that stated they were unable to reach agreement with the taxpayer and that employment tax liability would be assessed. That letter was not sent by certified or registered mail.

Taxpayer filed a petition in the Tax Court on February 13, 2012, which was more than 90 days after the letter from Appeals. The Service moved to dismiss the petition for lack of jurisdiction, and Taxpayer also moved to dismiss on jurisdictional grounds, albeit due to the fact that no NDWC had ever been issued, which it argued deprived the Service of authority to collect the disputed employment taxes.

Although both parties contest jurisdiction, agreement is not dispositive, but is a matter to be determined independently by the court. Here, section 7436 provides a prepayment venue for determining employment status. According to the court, this provision needs to be read in light of the expressed intent of Congress to provide a convenient prepayment hearing forum. The legislative history included discussion of a “failure to agree” as a determination for purposes of invoking judicial review by the Tax Court. Moreover, the particulars of section 7436 allowed the court to distinguish between a 90 day rule for petitions in response to a notice of determination sent by certified or registered mail (which was not applicable here) and an unspecified time period for filing a petition in response to a determination not sent by registered and certified mail. Thus, the taxpayer could seek relief in the Tax Court despite failing to file his petition within 90 days.

X. Selected Affordable Care Act Developments.

In addition to the important Supreme Court rulings in *Burwell v. Hobby Lobby Stores, Inc.*, 134 S.Ct. 2751 (2014) (holding that RFRA protects for-profit corporation from HHS regulations) and in *Wheaton College v. Burwell*, 134 S.Ct. 2806 (2014) (granting injunction from enforcement of notice procedures upon religious nonprofit) and yet another revision of the so-called HHS mandate (see 79 Fed. Reg. 51002 (nonprofits) 51119 (for profits) (Aug. 27, 2014)), the Affordable Care Act has generated many new rulings from lower courts, as well as more new lawsuits. For a useful site in tracking these developments, see www.becketfund.org. Here are a few selected tax-related decisions and administrative pronouncements which may be of particular interest to tax professionals.

1. Rules Regarding the Health Insurance Premium Tax Credit, T.D. 9683, 79 Fed. Reg. 43622-01 (July 28, 2014).

These regulations cover the premium tax credit under section 36B as well as the deduction under section 162(l) for health insurance costs of self-employed individuals. Detailed rules also address the treatment of married individuals who desire to claim a premium credit on a separate return due to domestic abuse, abandonment, and similar circumstances. See also Notice 2014-23, 2014-16 IRB 942 (March 26, 2014). The regulations also deal with computation of the premium tax credit based on household income. See also Rev. Proc. 2014-37, 2014-33 I.R.B. 363, for updates to the “applicable percentage table” used to calculate premium credits, and Rev. Proc. 2014-41, 2014-33 I.R.B. 364, for guidance concerning the special calculations for premium credits applicable to self-employed persons eligible for deductions under section 162(l).

Comment: These regulations do not recognize the concerns raised in *Halbig v. Burwell* and similar cases (see below) regarding the definition of “Exchange” for purposes of eligibility for credits.

2. Conflicting rulings on “Exchange” treatment for premium tax credits, *Halbig v. Burwell*, 758 F.3d 390 (D.C. Cir. 2014); *King v. Burwell*, 759 F.3d 358 (4th Cir. 2014); *State of Oklahoma v. Burwell*, 2014 WL 4854543 (E.D. Okla., Sept. 30, 2014).

Section 36B(b)(2)(A) limits the availability of a premium tax credit to taxpayers who enroll in qualified health plans “through an Exchange established by the State under section 1311.” In T.D. 9590, 77 Fed. Reg. 30377-01 (May 23, 2012), the Treasury issued regulations that allowed a taxpayer to qualify for a credit through either state or federal exchanges. Individual taxpayers who reside in states that did not establish an exchange could thus become eligible for individual penalties they would otherwise avoid because their coverage would not be affordable. Moreover, business taxpayers could thus be subjected to employer penalties through having employees who enroll in healthcare plans and who receive premium tax credits, which otherwise might avoid those penalties if no credits were available. These adversely affected taxpayers brought suit to challenge the validity of these regulations. While the DC Circuit’s 2-1 decision upholds the integrity of the statutory language, the Fourth Circuit applied *Chevron* deference to uphold the agency interpretation, effectively modifying the statutory language in order to achieve what it interpreted to be the intention behind the ACA.

The Eastern District of Oklahoma has recently ruled in favor of the plaintiff invalidating the applicable regulations as “arbitrary, capricious, an abuse of discretion, or otherwise not in

accordance with law...”, but it stayed its decision pending appeal. Meanwhile, a certiorari petition has been filed by the state (Nov. 18, 2014). While the Oklahoma court followed the D.C. Circuit’s original decision in *Halbig* as more persuasive than the Fourth Circuit’s decision in *King*, the D.C. Circuit has recently vacated that decision and announced that it would conduct an *en banc* hearing on the matter. Oral argument was originally scheduled for December 17, but this appears to be stayed pending the Supreme Court’s decision in *King*.

Comment: These cases surely test a court’s willingness to abide by law as written vs. rewriting laws to achieve a desired result. As even the Fourth Circuit recognized, “There can be no question that there is a certain sense to the plaintiffs’ position. If Congress did in fact intend to make the tax credits available to consumers on both state and federal Exchanges, it would have been easy to write in broader language, as it did in other places in the statute. See 42 U.S.C. § 18032(d)(3)(D)(i)(II) (referencing Exchanges “established under this Act”). However, it concluded that when conducting statutory analysis, “a reviewing court should not confine itself to examining a particular statutory provision in isolation. Rather, [t]he meaning—or ambiguity—of certain words or phrases may only become evident when placed in context.” Of course, there is a plethora of authority against rewriting law based on principles of limited judicial power. Stay tuned for what is likely to be an important future SCT decision, due to a late breaking development: Certiorari was granted in King, above.

3. Controversies continue over question of substantial burden for nonprofits based on accommodation issued by DHS, *Assoc. of Christian Schools Int’l v. Burwell*, No. 14-cv-02966-PAB, (D. Colo. Nov. 26, 2014); *Insight for Living Ministries v. Burwell*, No. 4:14-cv-675 (E.D. Tex. Nov. 25, 2014).

Two very recent cases illustrate the tensions presented in the matter of compliance with new regulations involving the so-called HHS mandate. The Association of Christian Schools case rejects a request for preliminary injunction by religious nonprofits seeking relief from the new interim final rules issued in response to *Wheaton Coll. v. Burwell*, 134 S.Ct. 2806 (2014). The nonprofits argued that the interim final rules which permits them to object to mandated coverage by submitting notice to the HHS, along with other information including the plan name and time and the name and contact information for third-party administrator, in order to facilitate the government’s provision of mandated coverage violates their sincerely held religious beliefs. Following decisions in the D.C. Circuit (*Priests for Life*, 2014 WL 5904732 Nov. 14, 2014), the Seventh Circuit (Univ. of Notre Dame, 743 F.3d 547 (7th Cir. 2014)) and Sixth Circuit (Mich. Catholic Conf., 755 F.3d 372 (6th Cir. 2014)), the district court ruled that there was not a substantial burden in complying with the requirements. It rejected the plaintiffs’ argument to follow Judge Pryor’s concurring opinion in *Eternal Word TV Network*, 756 F.3d 1339 (11th Cir. 2014), which would have treated this burden as substantial for purposes of granting relief under RFRA.

However, the plaintiff in *Insight for Living* fared better, as the court found that there was a substantial burden and a lack of compelling interest for the government to impose additional compliance requirements. The court found that it should rule in favor of the First Amendment when the issue is a close one.

Comment: Look for more controversies to be resolved here, as well as in the matter of compliance with the HHS mandate for for-profit firms with religious objections following Hobby Lobby.

4. No standing based on indirect effects of taxing scheme in ACA, Association of American Physicians and Surgeons, Inc. v. Koskinen, 768 F.3d 640 (7th Cir. 2014).

Physician and an association of physicians who operate cash-only practices challenged the Obama Administration's enforcement practices (and lack thereof regarding businesses) on the theory that they violate separation of powers (or as the court stated, "perhaps more accurately, of Art. II § 3, which requires the President to 'take Care that the Laws be faithfully executed'") and the Tenth Amendment. The district court dismissed their complaint based on want of standing, and the Seventh Circuit affirmed.

As Judge Easterbrook explained for the court, the theory advanced by the plaintiffs here is flawed both factually and legally. The physicians apparently believe that if the workers are not covered by insurance (as a result of failing to enforce employer-level penalties), they will have to pay for their own insurance, thereby leaving less income to purchase medical care from them. This is doubtful, of course, as the employers who fail to provide insurance may also be able to pay higher wages, which might benefit a cash business after all. But even if their economic theory is true, the legal theory fails, as this would mean any policy that affected a change in demand for services could confer standing. In a market economy everything is connected to everything else through the price system. "To allow a long, intermediated chain of effects to establish standing is to abolish the standing requirement as a practical matter—and the decisions we have cited are just a few among the many that refuse to follow that path." Their claims to enforce the Tenth Amendment fared no better, as the court noted that citizen standing to enforce the Tenth Amendment (as granted in *Bond v. United States* (2014)) still required particularized injuries, which are not present here.

XI. Notable Legislation (or Lack Thereof): Expiring Provisions.

More than 50 provisions expired and are no longer effective in 2014, including some which are very popular with individuals (including deductions for teachers, state sales taxes, tax free distributions for charity from retirement plans, and mortgage debt forgiveness, as well as popular business provisions (including R&E credit, favorable depreciation for qualified leasehold improvements, bonus depreciation, generous 179 limits, and qualified small business stock preferences). Legislation to extend them may wait until after the elections. Bills to watch include S.2260: Expiring Provisions Improvement Reform and Efficiency Act (EXPIRE Act). For background, see <http://www.finance.senate.gov/legislation/details/?id=67094f10-5056-a032-52ff-257830e0a938> . We may have more to discuss during the program this year, but as of the end of October, members of Congress were more worried about keeping their seats than enacting legislation. And it seems that this lame duck session is also tangled in intrigue over what will be included, and the length of time attached to renewing these provisions. Stay tuned.